

DELIVERING PERFORMANCE BUILDING THE FOUNDATION

CAPITAMALLS MALAYSIA TRUST

ANNUAL REPORT 2010

PENANG
KUALA LUMPUR
SELANGOR

GURNEY PLAZA
SUNGEI WANG PLAZA
THE MINES

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PENANG
KUALA LUMPUR
SELANGOR

GURNEY PLAZA
SUNGEI WANG PLAZA
THE MINES

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CAPITAMALLS MALAYSIA TRUST
REPORT TO UNITHOLDERS

2010

CapitaMalls
Malaysia Trust

PENANG KUALA LUMPUR SELANGOR

VISION

To be Malaysia's leading shopping mall real estate investment trust through value creation and continuous innovation.

MISSION

To deliver long term and sustainable distribution of income and potential capital growth to unitholders.

- For Investors : Provide sustainable returns and enhanced asset value
- For Tenants : Create profitable opportunities
- For Shoppers : Create delightful shopping experiences
- For Employees : Provide opportunities for personal and career growth
- For the Community : Commit to corporate social responsibility and environmental sustainability

GURNEY PLAZA SUNGEI WANG PLAZA THE MINES

CORPORATE PROFILE

CapitaMalls Malaysia Trust (CMMT), which listed on the Main Market of Bursa Malaysia Securities Berhad (Bursa Securities) on 16 July 2010, is the Malaysia's largest pure-play shopping mall real estate investment trust (REIT) by market capitalisation and property value. As at 31 December 2010, CMMT had a market capitalisation of about RM1.5 billion and its portfolio had been independently valued at RM2.14 billion.

CMMT invests, on a long-term basis, in income-producing real estate which is primarily used for retail purposes and located primarily in Malaysia.

Its shopping mall portfolio comprises Gurney Plaza in Penang, an interest in Sungei Wang Plaza¹ in Kuala Lumpur and The Mines in Selangor. The portfolio had a total net lettable area of approximately 1.88 million square feet (sq ft) as at 31 December 2010.

CMMT is managed by CapitaMalls Malaysia REIT Management Sdn. Bhd. (the Manager) – a joint venture between CapitaMalls Asia Limited (CMA), one of Asia's largest listed shopping mall developers, owners and managers, and Malaysian Industrial Development Finance Berhad (MIDF). AmTrustee Berhad (the Trustee) is the trustee for CMMT.

¹ CMMT's interest in Sungei Wang Plaza comprises (i) 205 strata parcels within the mall which represents approximately 61.9% of the aggregate retail floor area of Sungei Wang Plaza and (ii) 100.0% of the car park bays in Sungei Wang Plaza.

CONTENTS

01	Corporate Profile	22	Board of Directors	68	Tenants Speak
04	Letter to Unitholders	29	Trust Management Team	70	Shoppers Speak
08	Salient Features of CMMT	31	Corporate Governance	73	Portfolio at a Glance
09	Key Milestones in 2010	43	Statement on Internal Control	78	Gurney Plaza
10	Investment Objectives and Strategies	46	Risk and Capital Management	80	Sungei Wang Plaza
11	Independent Retail Market Overview	48	Human Capital	82	The Mines
18	Financial Highlights	50	Investor and Media Relations	84	Mall Directory
20	Trust Structure	52	Corporate Social Responsibility	85	Corporate Information
21	Organisation Structure	58	Financial Review	90	Financial Statements
		60	Operations Review	126	Statistics of Unitholders
		64	Marketing and Promotions		

PAVING THE WAY

4 GROWTH STRATEGIES

ENHANCING VALUE THROUGH
PROACTIVE ASSET MANAGEMENT AND ASSET
ENHANCEMENT INITIATIVES;

ACTIVELY PURSUING ACQUISITION
OPPORTUNITIES;

LEVERAGING ON CMA'S EXTENSIVE NETWORK
OF STRATEGIC AND LOCAL PARTNERS,
INCLUDING ITS TENANT NETWORK ACROSS
91 SHOPPING MALLS IN 49 CITIES IN FIVE
COUNTRIES, AS WELL AS ITS LOCAL INDUSTRY
KNOWLEDGE THROUGH ITS EXPERIENCED
STAFF IN MALAYSIA; AND

OPTIMISING CAPITAL MANAGEMENT.



Gurney Plaza, Penang

LETTER TO UNITHOLDERS

The recovery in the world economy towards the end of 2009 gathered momentum in 2010. The Malaysia economy rebounded strongly, with gross domestic product (GDP) and retail sales growth for 2010 estimated to be 6.7%¹ and 8.3%² respectively.

CMMT was successfully listed on the Main Market of Bursa Securities on 16 July 2010. Its trading price has performed well, strengthening from RM0.98 at listing to RM1.12 at 30 December 2010, which represents a 14.3% gain. CMMT has also since listing been included in the FTSE indices.

CMMT is the largest 'pure-play' shopping mall REIT in Malaysia. As at 31 December 2010, CMMT's shopping malls, which have a total gross floor area (GFA) of about 2.9 million square feet, were valued at RM2.14 billion. CMMT's malls are strategically located in established or growing population catchment areas and are well-served by public transportation systems. For the year 2010, CMMT's malls' occupancy and rental rates remained strong and shopper traffic increased by approximately 18.5% compared to 2009.

In the following sections, we are pleased to share with our unitholders more details about CMMT's performance for the financial period 14 July 2010 to 31 December 2010 (FP2010), and our outlook for CMMT for 2011.

STRONG FINANCIAL PERFORMANCE

For FP2010, CMMT achieved a distributable income of RM45.9 million, which translated into a distribution per unit (DPU) of 3.40 sen (7.26 sen annualised). This was 2.1% better than the forecast DPU for the relevant period as stated in CMMT's initial public offering prospectus of 3.33 sen (7.16 sen annualised).

Gross revenue and property operating expenses for FP2010 were RM94.6 million and RM28.8 million respectively, which were in line with the forecast for the same period. Net property income was RM65.8 million, which was 0.5% higher compared to the forecast for the same period.

Overall, total comprehensive income of RM109.4 million was achieved for FP2010, which included the fair value gain on investment properties of RM81.3 million (unrealised) and distributable income amounting to RM45.9 million.

In accordance with CMMT's distribution policy as disclosed in CMMT's initial public offering prospectus, for FP2010 100.0% of CMMT's distributable income of RM45.9 million, or 3.40 sen per unit, will be paid to eligible unitholders on 25 February 2011.

PROACTIVE CAPITAL MANAGEMENT

At listing, CMMT secured credit facilities of RM811.0 million. As at 31 December 2010, RM753.0 million of the secured credit facilities (of which RM3.0 million is related to a bank guarantee) had been drawn down, with a debt profile of about 70.0% in fixed interest rates, and varying loan tenures of up to seven years. The gearing of CMMT is at 33.6%, providing CMMT with substantial capacity to raise debt for the acquisition of properties and/or asset enhancements initiatives (AEIs) without breaching the borrowing limits of 50.0% as set out in the Guidelines on Real Estate Investment Trusts (REITs Guidelines) issued by Securities Commission Malaysia.

ASSET ENHANCEMENT AND ACQUISITION FOR GROWTH

In 2010, AEIs continued to be the focus in order to enhance the performance and value of the malls in CMMT's portfolio.

Significant AEIs included the refurbishment of Sungei Wang Plaza's car park, re-tiling works at The Mines and completion of 16 open concept kiosks in Basement 1 of Gurney Plaza.

¹ International Monetary Fund

² Department of Statistics (Malaysia)



Lifestyle Avenue at the concourse level of Sungei Wang Plaza, Kuala Lumpur

In March 2010, The Mines, which underwent a major overhaul in 2008 and 2009 and was previously known as 'Mines Shopping Fair', was renamed and a rebranding campaign, centered on the theme 'fun, food, fashion and future', was launched.

A major AEI has been planned at Gurney Plaza, which includes the conversion of car park lots surrounding the atrium void at Levels 5 and 6 to retail units, food kiosks and restaurants, re-configuration of a mini-anchor space at Basement 1 to improve the trade mix and to allow direct access from the main entrance's drop-off, and re-configuration of the main entrance to increase the leasable area.

In July 2010, a put option was exercised by a third party to require a wholly-owned subsidiary of CMA to acquire Gurney Plaza Extension and certain car park bays. Subsequently, CMA's subsidiary granted CMMT a first right to purchase Gurney Plaza Extension. In November 2010, CMMT accepted the offer and entered into a conditional sale and purchase agreement to acquire the property, subject to, among other conditions, unitholders' approval. Gurney Plaza Extension, which commenced operation in 2008, is a nine-storey retail extension block adjoining Gurney Plaza and has a tenant mix which complements the latter. This proposed acquisition would significantly strengthen CMMT's presence in Penang.

¹ International Monetary Fund

LOOKING AHEAD

The government targets to transform Malaysia into a developed country by 2020. Towards this end, the Tenth Malaysia Plan (10MP), a medium-term spending plan covering 2011 – 2015, has been unveiled. The plan focuses on high impact projects such as new highways and land developments, and the promotion of 12 key sectors, including tourism. The economy is expected to deliver an average real GDP growth of 5.3% in 2011 and 5.2% in 2012.¹

Against this backdrop, we believe that Malaysia will continue to offer significant opportunities for growth, especially given the fragmented nature of shopping mall ownership. Besides directly sourcing for acquisition opportunities, CMMT will also benefit from its strategic relationship with CMA, which owns 41.74% of the units in CMMT. CMA has announced a plan to set up a RM1.0 billion development fund for Malaysian retail properties, which could potentially provide CMMT with acquisition opportunities and growth. In addition, to strengthen CMMT's competitiveness in the market place, CMMT can continue to leverage on its access to CMA's business scale, competencies, and extensive tenant network, with more than 9,000 leases in Singapore, China, Malaysia, Japan and India. We are confident that CMMT is well positioned to capitalise on the growth opportunities in Malaysia.

Letter To Unitholders

For the year 2011, the current macroeconomic outlook for Malaysia is favourable, and the 10MP targets retail sales to grow by 8.3%. We are confident that CMMT can achieve our forecast DPU of 7.45 sen this year as stated in CMMT's initial public offering prospectus. We also expect to complete CMMT's proposed acquisition of Gurney Plaza Extension.

ACKNOWLEDGEMENTS

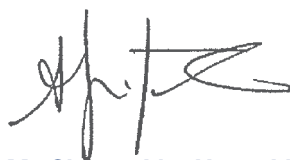
We would like to thank all unitholders, business partners, fellow colleagues, tenants and shoppers for their support. We would also like to put on record our appreciation for the guidance and wise counsel of both the Trustee and our fellow Directors in the Board of Directors of CapitaMalls Malaysia REIT Management Sdn. Bhd. as

the Manager of CMMT. We look forward to all of your continued support as we strive to grow CMMT.



Mr Kee Teck Koon

Chairman,
CapitaMalls Malaysia REIT Management Sdn. Bhd.



Ms Sharon Lim Hwee Li

Chief Executive Officer,
CapitaMalls Malaysia REIT Management Sdn. Bhd.



Shoppers were entertained by the Mr Bean, Irma and Mrs Wicket character show at The Mines, Selangor

ACHIEVING STRONG RESULTS IN 2010

Gross Revenue

RM94.6mil

Distributable Income

RM45.9mil

Net Property Income

RM65.8mil

Mr Kee Teck Koon
Chairman,
CapitaMalls Malaysia
REIT Management Sdn. Bhd.



Ms Sharon Lim Hwee Li
Chief Executive Officer,
CapitaMalls Malaysia REIT
Management Sdn. Bhd.

SALIENT FEATURES OF CMMT

Fund Name	CapitaMalls Malaysia Trust (CMMT)
Fund Category	Real estate investment trust
Fund Type	Income
Fund Duration	CMMT shall terminate on the earlier of: - the occurrence of any of events listed in Clause 25.2 of the Deed¹; or - the expiration of a period of twenty-one (21) years after the death of the last survivor of the issue now living of his majesty, the current Yang di-Pertuan Agong of Malaysia or until such further period as the law may permit.
Approved Fund Size	1,350,000,000 units
Authorised Investments	Real estate, single-purpose companies, real estate-related assets, liquid assets, non-real estate-related assets, asset-backed securities and any other investments permitted by Securities Commission Malaysia or the REITs Guidelines.
Authorised Investments Limits	- At least 50.0% of CMMT's total asset value must be invested in real estate and/or single-purpose companies; - Not more than 25.0% of CMMT's total asset value may be invested in non-real estate-related assets and/or cash, deposits and money market instruments; and - Such other investments or limits as may be permitted by Securities Commission Malaysia or the REITs Guidelines.
Distribution Policy	Payout policy ratio: - At least 90.0% of CMMT's distributable income in each financial year. - For FP2010 and FY2011, 100.0% of CMMT's distributable income. Distribution payment: - Semi-annual basis for each six-month period ending 30 June and 31 December of each year.
Borrowing Limitations	Up to 50.0% of CMMT's total asset value at the time the borrowing is incurred (or such other limit permitted by the REITs Guidelines) or greater with the prior approval of CMMT's unitholders.
Performance Benchmarks	- FTSE Bursa Malaysia Kuala Lumpur Composite Index (KLCI) - FTSE Bursa Malaysia EMAS Index
Revaluation Policy	Investment properties are valued: - Semi-annually based on internal valuation or independent professional valuation; and - At least once every three years based on an independent professional valuation pursuant to the REITs Guidelines.
Financial Period (FP)	14 July 2010 – 31 December 2010 ²
Quotation	Main Market of Bursa Malaysia Securities Berhad
Initial Public Offering Retail Price	RM0.98
Minimum Investment	100 units per board lot
Bursa Securities Stock Number	CMMT 5180

¹ The trust deed dated 7 June 2010 and registered with Securities Commission Malaysia on 9 June 2010

² CMMT was established on 7 June 2010 and registered with Securities Commission Malaysia on 9 June 2010. The acquisition by CMMT of the properties was completed on 14 July 2010 and CMMT was listed on the Main Market of Bursa Malaysia Securities Berhad on 16 July 2010. The financial results reported refer to the financial period from 14 July 2010 to 31 December 2010.

KEY MILESTONES IN 2010



The listing ceremony of CapitaMalls Malaysia Trust (CMMT) in July 2010

03/2010

On 10 March 2010, 'Mines Shopping Fair' was rebranded as 'The Mines' and a rebranding campaign, centered on the theme 'fun, food, fashion and future', was launched.

06/2010

On 7 June 2010, CMMT was constituted by the trust deed (the Deed) entered into between the Trustee and the Manager. The Deed came into effect on 9 June 2010 when it was registered with Securities Commission Malaysia.

06/2010

On 28 June 2010, CMMT's initial public offering prospectus was launched.

07/2010

On 14 July 2010, the acquisition of Gurney Plaza, an interest in Sungei Wang Plaza and The Mines was completed.

07/2010

On 16 July 2010, CMMT was listed.

11/2010

On 12 November 2010, the proposed acquisition of Gurney Plaza Extension was announced.

INVESTMENT OBJECTIVES AND STRATEGIES

INVESTMENT OBJECTIVES

The principal investment objective of CMMT is to invest, on a long-term basis, in a portfolio of income-producing real estate primarily used for retail purposes and located primarily in Malaysia or such other non-real estate investments as may be permitted under the Deed, the REITs Guidelines or by Securities Commission Malaysia, with a view to providing unitholders with long-term and sustainable distribution of income and potential capital growth.

INVESTMENT STRATEGIES

The key financial objective is to provide unitholders with long-term and sustainable distribution of income and potential capital growth. Specifically, the aim is to seek to increase the cash flow, income and, consequently, the value of CMMT's properties, and to seek continued growth through the following strategies:

- enhancing the value of CMMT's portfolio through proactive asset management and asset enhancement initiatives;
- actively pursuing acquisition opportunities;

- leveraging on CMA's extensive network of strategic and local partners, including its tenant network across 91 shopping malls in 49 cities in five countries, as well as its local industry knowledge through its experienced staff in Malaysia; and
- optimising capital management.

STRATEGIC REVIEW FOR FP2010

The Manager believes that CMMT has achieved its investment objective in FP2010. In FP2010 there were no changes in the strategy vis-a-vis the strategy disclosed in CMMT's initial public offering prospectus and above.

FUTURE PROSPECTS OF THE MARKET

The Manager views the future prospects of the Malaysian retail sector to be positive and, going forward, will continue to pursue the abovementioned investment strategies. For more information on the market in which CMMT invests in, refer to the section 'Independent Retail Market Overview.'

INDEPENDENT RETAIL MARKET OVERVIEW

Prepared by: CB Richard Ellis (Malaysia) Sdn Bhd
Date: 24 February 2011

ECONOMIC OVERVIEW

As a heavily export-oriented country, Malaysia was exposed to the slowdown in global trade during 2H2009, and full-year 2009 GDP growth measured -1.7%. However, the economy bounced back during 2010, with a 9M2010 growth of around 8.0%. The International Monetary Fund (IMF) estimates full-year 2010 GDP growth at 6.7% while also projecting GDP growth to be 5.3% in 2011 and 5.2% in 2012.

2010 full-year Consumer Price Index (CPI) growth was 2.2%, compared to 0.6% in 2009. Global commodity prices are rising and subsidies have been reduced on petrol prices. The government announced in the first week of January 2011 that both petrol and kerosene prices would increase by about 4.0%. The IMF projects 2011 inflation to be 2.1%, with 2012 inflation at 2.3%.

To help keep inflation in check, the Malaysian Institute of Economic Research (MIER) is forecasting an increase in Bank Negara Malaysia's (BNM) key overnight rate to 3.00% in 2011, up from 2.75% at end-2010. BNM has left the rate at this level since the last increase in July 2010. Prior to this date, BNM raised this key rate three times, by a total of 0.75%, between March to July 2010. The Base Lending Rate (BLR) currently stands at 6.27%.

The employment situation in the country has been relatively stable as well, with 2010 unemployment estimated at 3.5% by the IMF, compared to 3.7% in 2009 and a range of 3.2-3.4% between 2004-2008. Going forward, the IMF projects unemployment to be 3.2% in 2011 and 3.1% in 2012.

The national mean gross monthly household income has increased from RM2,472 in 1999 to RM4,025 in 2009 at a compounded annual growth rate (CAGR) of 5.0%. The mean gross monthly household income in Kuala Lumpur and Selangor was RM5,488 (1999 – 2009 CAGR 3.0%) and RM5,962 (4.9%), respectively, in 2009, while that for Penang was RM4,407, up at a CAGR of 4.1% since 1999.

The Deputy Minister of Tourism, James Dawos Mamit, stated in January 2011 that tourist arrivals for 2010 were estimated at 26 million, up 10.2% from 2009's 23.6 million. Earlier, in June 2010, Tourism Minister Yang Berhormat (YB) Dato' Seri Dr Ng Yen Yen indicated a target of 36 million tourist arrivals by 2020, suggesting a growth of 3.3% per annum over the next decade.

Additionally, YB Dato' Seri Dr Ng Yen Yen announced in February 2010 that she expected total tourist spending in 2010 to be around RM54.0 billion, up from RM53.4 billion in 2009. Going forward, tourism spending is projected to grow at a rate of 16.2% per annum to reach RM115.0 billion, as planned under the Tenth Malaysia Plan (10MP), a comprehensive roadmap prepared by the Economic Planning Unit (EPU) of the Prime Minister's Department and the Finance Ministry of Malaysia to allocate the national budget from the year 2011-5 to all economic sectors in the country. The 10MP was announced on 10 June 2010 by the Prime Minister.

Year 2010 total retail trade sales value was estimated to be RM132.7 billion by the Department of Statistics, up 8.3% from 2009's RM122.5 billion. The 10MP calls for annual retail sales growth of 8.30% during its five year period.

GDP Growth in Malaysia (%)



Source: 2005 – 2009 (Department of Statistics)
2010 – 2012 (IMF World Economic Outlook Database Oct 2010)

Main Economic Indicators, Malaysia

	2007	2008	2009P ¹	2010E ¹	2011F ¹	2012F ¹
GDP at Constant 2000 Prices (RM'million)²						
Malaysia	506,341	530,181	521,095	556,090	585,570	616,020
Kuala Lumpur	69,830	74,334	77,138			
Selangor	108,242	117,284	115,355			
Penang	44,695	47,148	42,036			
Real GDP Growth²	6.5%	4.7%	-1.7%	6.7%	5.3%	5.2%
GDP at Current Prices (RM'billion)²	642,049	740,907	679,687	744,428	804,288	868,626
GDP per Capita (Current Price RM)²						
Malaysia	23,617	26,902	24,366	26,367	28,011	29,746
Kuala Lumpur	44,801	49,996	51,197			
Selangor	25,481	28,544	27,609			
Penang	31,039	33,257	29,569			
Household Income³						
Malaysia	3,686		4,025			
Kuala Lumpur	5,322		5,488			
Selangor	5,580		5,962			
Penang	4,004		4,407			
Domestic Aggregate Demand (RM million)³						
Private Consumption	293,040	334,712	338,894			
Private Investment	76,577	79,801	65,155			
Public Consumption	78,396	92,531	95,918			
Public Investment	61,816	64,834	71,670			
Consumer Price Index (Average Prices)² (2005=100)	105.7	111.4	112.1	114.5	116.9	119.6
Inflation²	2.0%	5.4%	0.6%	2.2%	2.1%	2.3%
Unemployment Rate²	3.2%	3.3%	3.7%	3.5%	3.2%	3.1%
Interest Rate (Overnight Policy Rate)⁴	3.50%	3.25%	2.00%	2.75%	3.00%	3.25%

¹ 2009P – preliminary statistics for 2009. 2010E – estimated statistics for 2010. 2011F and 2012F – forecasted statistics for 2011 and 2012.

² Department of Statistics (2007-2009), IMF World Economic Outlook Database October 2010 (2010-2012)

³ Department of Statistics

⁴ Bank Negara Malaysia (2007-2010), Malaysian Institute of Economic Research (2011-2012, as published in the The Star on 25-1-2011)

Based on the Population and Housing Census of Malaysia Preliminary Count Report 2010 dated 15 November 2010, the total population in Malaysia stands at 27.6 million. The state of Selangor has the largest population in the country at 5.4 million, equivalent to 19.6% of the country's total population. The population in the country's capital city of Kuala Lumpur stands at about 1.6 million in 2010. The combined total population of the Klang Valley (Selangor and Kuala Lumpur) stands at 7.0 million. The population of Penang is 1.5 million, roughly 21.0% of that of the Klang Valley and 5.5% of the national total.

The average population per household in the country is 4.3 according to the Preliminary Count Report Census 2010 from the Department of Statistics Malaysia. Kuala Lumpur has an average population per household of 3.7 whilst Selangor has an average of 3.9 persons per household and Penang has an average of 3.9.

RETAIL MARKET OVERVIEW

Overall Malaysian Retail Market

Overall, the Malaysian retail market performed strongly during 2010 as it recovered from the weak demand that characterised 2009. A number of retailers opened new outlets or prepared plans to do so in 2011. High-profile new entrants to the market included Japanese fast-fashion brand UNIQLO, which saw long queues of customers during the first two weeks of opening.

On the supply side, Malaysian REITs (M-REITs) and foreign funds made a significant impact on the market with the launch of SunREIT, which has Sunway Pyramid Shopping Centre in Petaling Jaya, among other properties in the portfolio, and CapitaMalls Malaysia Trust (CMMT), which includes Sungei Wang Plaza (61.9% of the aggregate retail floor area) and The Mines in the Klang Valley along with Gurney Plaza in Penang. Additionally, ARA Asia Dragon Fund purchased the newly-completed 1 Mont'Kiara in the Klang Valley and AEON Bandaraya Melaka in Melaka.

Investor interest in the Malaysian retail market was also evident from the sales process involving Carrefour's 23 local outlets, which saw bids from five interested parties before the company announced it would not sell its local operations.

As of end-2010, total retail stock in shopping centres, arcades and hypermarkets in Malaysia is 114.0 million square feet (sq ft), according to the Valuation and Property Services Department, Ministry of Finance, Malaysia (JPPH). Of the total stock, 71.8% is located within shopping centres. Within Kuala Lumpur, 77.9% of all retail space is in shopping centres, compared to 60.4% in Selangor and 69.0% in Penang.

Additionally, JPPH estimates that 18.1 million sq ft of net lettable retail space is under construction throughout the country. Assuming a three-year construction period, it is expected that this additional stock will be completed by 2013, increasing total retail stock by 15.9%.

Shopping Centre Stock and Occupancy in Malaysia

State	No. of Properties	Total Space (sq ft)	% of Total Space in Malaysia	Occupied Space (sq ft)	Occupancy Rate
WP Kuala Lumpur	52	17,922,034	21.9%	15,001,755	83.7%
Selangor	46	16,203,649	19.8%	14,063,089	86.8%
Johor	62	10,716,179	13.1%	6,553,337	61.2%
Pulau Pinang	34	10,327,244	12.6%	6,828,762	66.1%
Perak	36	4,463,832	5.5%	3,694,467	82.8%
Negeri Sembilan	28	2,479,634	3.0%	1,891,873	76.3%
Melaka	18	2,596,771	3.2%	1,951,227	75.1%
Kedah	32	3,572,400	4.4%	2,637,912	73.8%
Pahang	16	2,206,437	2.7%	1,712,336	77.6%
Terengganu	7	513,369	0.6%	266,093	51.8%
Kelantan	6	1,081,163	1.3%	1,025,414	94.8%
Perlis	4	237,998	0.3%	237,998	100.0%
Sabah	30	5,081,173	6.2%	4,026,706	79.2%
Sarawak	40	3,579,968	4.4%	2,816,943	78.7%
WP Putrajaya	1	622,002	0.8%	517,524	83.2%
WP Labuan	1	280,549	0.3%	274,898	98.0%
MALAYSIA	413	81,884,392	100.0%	63,500,344	77.5%

Source: Valuation and Property Services Department, Ministry of Finance

Of this total sum of shopping centre space, about 21.9% is located within Kuala Lumpur, with another 19.8% in Selangor. Combined, this means that the Klang Valley accounts for over two-fifths (41.7%) of all shopping centre space in Malaysia. The next largest market is Johor, which accounts for 13.1% of all shopping centre stock in the country, followed by Penang with 12.6%. Together, these four markets account for over two-thirds of all the shopping centre stock in the country.

Overall occupancy for retail spaces in Malaysia is estimated at 80.2% by JPPH. The lowest occupancy rate is believed to be in Penang, at just 66.1%, as a number of the older centres in this city find it difficult to compete

for tenants with the newer, better-managed centres. For shopping centres alone, JPPH estimates nationwide occupancy to be 77.5%, while that for Kuala Lumpur is 83.7%, Selangor is 86.8% and Penang is 66.1%.

For prime centres within the Klang Valley, CBRE data shows that occupancy in Kuala Lumpur is 92.9% while Selangor is 95.4%, leading to an overall prime occupancy rate in the Klang Valley of 94.7%.

Based on shopping centre transactions conducted during 2010, CBRE Research has found that capital values and yields/ capitalisation rates have varied widely. Generally, capitalisation rates for retail property in Malaysia range from 6.0 to 8.0%.

Capital Values and Yields from Selected Shopping Centre Transactions in 2010

No.	Property	NLA (sq ft)	Transaction Price (RM)	Capital Value (RM psf)	Purchaser
1	Aeon Bandaraya Melaka	615,608	377,000,000	612	ARA Asia Dragon Fund
2	SACC Mall	185,178	90,000,000	486	ARREIT
3	1 Mont' Kiara	410,000 ¹	333,000,000	812	ARA Asia Dragon Fund
4	Gurney Plaza	707,503	800,000,000	1,131	CMMT
5	Sungei Wang Plaza (62%)	450,470	724,000,000	1,607	CMMT
6	The Mines	719,563	530,000,000	737	CMMT
7	Sunway Pyramid Shopping Mall	1,685,568	2,300,000,000	1,365	SunREIT
8	Sunway Carnival Shopping Mall	484,364	250,000,000	516	SunREIT
9	Gurney Plaza (Extension)	139,964	215,000,000	1,536	CMMT
10	Queensbay Mall (90.7% of retail strata area and 100% of carpark)	892,361	651,800,000	730	CapitaMalls Asia

¹The total net lettable area and acquisition price for 1 Mont' Kiara includes the shopping centre and a 20-storey office tower with roughly 185,000 sq ft of net lettable area

Source: CBRE Research, REIT Prospectuses and Annual Reports, Published News Sources

Based on end-2010 stock data, retail stock per capita for the entire country is currently about 4.1 sq ft per capita, compared to 14.1 sq ft per capita in Kuala Lumpur, 5.0 sq ft per capita in Selangor and 9.9 sq ft per capita in Penang. However, shopping centre stock per capita is 3.0 sq ft per capita nationally, 11.0 sq ft per capita in

Kuala Lumpur, 3.0 sq ft per capita in Selangor and 6.8 sq ft per capita in Penang.

In terms of ownership, the retail market in Malaysia is extremely fragmented. The vast majority of retail assets are independently owned, with a few larger national players having portfolios of multiple assets.

Retail Stock per Capita

	Malaysia	Kuala Lumpur	Selangor	Penang
Retail Stock (sq ft)	113,980,108	23,012,142	26,840,118	14,972,530
Shopping Centre Stock (sq ft)	81,884,392	17,922,034	16,203,649	10,327,244
Shopping Centre Stock as a % of Retail Stock	71.8%	77.9%	60.4%	69.0%
Retail Stock per Capita (sq ft)	4.13	14.14	4.96	9.85
Shopping Centre Stock per Capita (sq ft)	2.97	11.01	2.99	6.79

Source: JPPH, Preliminary Count Report Census 2010

Owners of Multiple Shopping Centres in Malaysia

Owner	Properties	Location	Net Lettable Area (million sq ft)	% of Total for Malaysia
IGB Corporation	Mid Valley Megamall The Gardens Mall	Kuala Lumpur Kuala Lumpur	1.65	2.0
			0.80	1.0
			2.45	3.0
SunREIT	Sunway Pyramid Sunway Carnival	Selangor Penang	1.69	2.1
			0.48	0.6
			2.17	2.7
CMMT	Sungei Wang Plaza The Mines Gurney Plaza (including extension)	Kuala Lumpur	0.45	0.6
		Selangor	0.72	0.9
		Penang	0.85	1.0
			2.02	2.5
Kuala Lumpur Pavilion	Pavilion KL Fahrenheit88	Kuala Lumpur Kuala Lumpur	1.30	1.6
			0.28	0.3
			1.58	1.9
Asia Retail Mall Fund II	SSTwo Mall 1 st Avenue Mall Island Plaza	Selangor	0.46	0.6
		Penang	0.43	0.5
		Penang	0.33	0.4
			1.22	1.5
Hektar REIT	Subang Parade Mahkota Parade Wetex Parade	Selangor	0.47	0.6
		Melaka	0.46	0.6
		Johor	0.17	0.2
			1.10	1.3
Starhill REIT	Starhill Gallery Lot 10	Kuala Lumpur	0.36	0.4
		Kuala Lumpur	0.26	0.3
			0.61	0.7

In the recently announced Budget 2011, there are a number of provisions potentially affecting the retail market. Prime among them is the removal of import taxes on over 300 retail goods, including apparel (previously taxed at 20.0%). Additionally, the government services tax has been raised from 5.0% to 6.0%, but this will likely have a negligible effect on the retail market.

Klang Valley Retail Market Summary

In the Klang Valley, which comprises Kuala Lumpur and the majority of Selangor, a number of leading shopping centres, such as Suria KLCC, Sunway Pyramid, 1 Utama and Gardens, underwent rent reviews during 2010, and

top prime rents, defined as rents for prime space on the concourse or ground floors, reached as much as RM 100 per square foot (psf), a level similar to that of Singapore's Orchard Road. Overall, CBRE Research shows that prime rents at the top retail centres within the Kuala Lumpur ranged between RM 15-100 psf, while those in the suburban areas ranged from RM 15-70 psf.

New openings during the year were mostly limited to suburban centres, while a few centres delayed their scheduled openings until 2011. Overall, total retail supply in the Klang Valley grew by 4.4% to 42.3 million sq ft in 130 centres and hypermarkets, roughly equal to about 6.2 sq ft per capita.

In the first half of 2010, six shopping centres and hypermarkets were completed, of which two, Wangsa Walk (273,243 sq ft) and Axis Atrium (218,000 sq ft) are located in Kuala Lumpur. The other four centres and hypermarkets, which are Giza @ Dataran Sunway (85,900 sq ft), Carrefour Kota Damansara (71,000 sq ft), Empire Gallery (350,000 sq ft) and Jusco Mahkota Cheras (150,000 sq ft) are located in Selangor.

Completions during the second half of the year included the 276,000 sq ft fahrenheit88 (the refurbished KL Plaza) and 1 Mont' Kiara (225,000 sq ft) in Kuala Lumpur. Fahrenheit88 re-opened after a RM100 million refurbishment and is aimed at trendy, mid-range shoppers in an attempt to differentiate itself from neighboring high-end centres such as Pavilion KL and Starhill Gallery. UniqLo's first store in Malaysia is located in fahrenheit88.

Within Selangor, three shopping centres opened in 2H2010. These are Kepong Village Mall (120,000 sq ft), Subang Avenue (247,000 sq ft) and SSTwo Mall (460,000 sq ft). The latter is owned by Pramerica's Asian Retail Mall Fund II (ARMF II).

CBRE Research shows that occupancy for selected prime shopping complexes throughout the Klang Valley was 94.7% as of end-2010, with 94.2% occupancy in Kuala Lumpur and 95.1% occupancy in Selangor, and these occupancy rates are expected to remain stable during 2011.

As much as 4.0 million sq ft of new retail space may be completed in Klang Valley during 2011, but the bulk of this is in specialised centres (such as Viva Mall, rebranded into a home products centre) or in secondary locations, such as newly-completed townships, and should not have a significant effect on prime existing retail centres.

Also announced in Budget 2011 were the government's plans to build a number of covered elevated pedestrian walkways in the city-centre, linking KLCC with Pavilion

KL, Berjaya Times Square and other key developments in an effort to transform the city-centre Bukit Bintang area into a retail destination to rival those seen in Singapore and Hong Kong. Work on these has started already.

Penang Retail Market Summary

In Penang, CBRE Research tracks a total retail supply of about 9.5 million sq ft in 26 significant retail complexes, of which 18 are located on the island and eight on the mainland of Seberang Perai. CBRE Research further shows that occupancy for these significant retail complexes on Penang island stood at about 77.4% as of end-2010. Prime shopping malls such as Gurney Plaza and Queensbay Mall averaged occupancy rates between 90% - 100%, whereas some of the secondary complexes averaged between 50% to 75%.

New retail complexes introduced in 2010 include Waterside @ Straits Quay (270,000 sq ft) in Tanjung Tokong, which focuses on international food and beverage (F&B) outlets, 1st Avenue Mall (430,000 sq ft) near KOMTAR in Georgetown, owned by Pramerica's Asian Retail Mall Fund II (ARMF II), and a Tesco hypermarket in Bukit Mertajam.

Other new shopping centre retail developments expected to come on-stream in the near future include Gurney Paragon (700,000 sq ft in 2012), All Seasons Place in Air Itam (228,000 sq ft in 2011), and Penang Times Square Phases 2 and 3 (520,000 sq ft between 2011 and 2015).

CBRE Research indicates that prime rents, defined as rents for prime space on the concourse or ground floors, at the top retail centres in Penang ranged from RM 9-28 psf in the city-centre and RM 18-40 psf in suburban areas during 2010.

The most notable event in the Penang retail market in 2010 was the acquisition of 90.7% of the retail strata area and entire car park of Queensbay Mall by CapitaMalls Asia (CMA), sponsor of CapitaMalls Malaysia Trust (CMMT), in December. With this recent acquisition, CMA now owns or controls the two most significant shopping centres on Penang island.

Future Supply of Retail Space in Shopping Centres in Kuala Lumpur, Selangor and Penang

Year	Net Lettable Area (sq ft)		
	Kuala Lumpur	Selangor	Penang
2011	2,397,000	1,884,000	228,000
2012	645,000	700,000	700,000
2013	190,000	309,000	290,000
Total	3,232,000	2,893,000	1,218,000

FINANCIAL HIGHLIGHTS

KEY FINANCIALS

	Actual ¹	FP2010 Forecast ²	Variance
Gross Revenue (RM'000)	94,636	93,936	700
Net Property Income (RM'000)	65,825	65,489	336
Distributable Income (RM'000)	45,910	45,000	928
Distribution per Unit (DPU) – Final ³ (sen)	3.40	3.33	0.07
Annualised DPU (sen)	7.26	7.16	0.10
Annualised Distribution Yield ⁴ (%)	6.48	6.39	0.09

¹ CMMT was established on 7 June 2010 and registered with the Securities Commission of Malaysia on 9 June 2010. The acquisition by CMMT of Gurney Plaza, an interest in Sungei Wang Plaza and The Mines (the properties) was completed on 14 July 2010 and CMMT was listed on the Main Market of Bursa Malaysia Securities Berhad on 16 July 2010. The financial results reported refer to the period from 14 July 2010 to 31 December 2010.

² Extracted from the profit forecast for the 8-month period ended 31 December 2010 for the relevant period as disclosed in CMMT's initial public offering prospectus.

³ This is the final distribution for FP2010. No interim distribution was provided in FP2010. CMMT's distribution policy is described in the section 'Salient Features of CMMT.'

⁴ Based on the annualised distribution per unit of 7.26 sen for FP2010 and the closing unit price as at 30 December 2010 of RM1.12 per unit.

TRADING PERFORMANCE

	FP2010
Closing Market Price per Unit (RM)	1.120
Highest Traded Price for the Year (RM)	1.140
Lowest Traded Price for the Year (RM)	0.975
Capital Appreciation ¹	14.3%
Average Total Return Since Inception ²	20.8%
Annual Total Return ²	20.8%
Units in Circulation ('000)	1,350,000
Market Capitalisation ³ (RM'000)	1,512,000

¹ Based on the initial public offering unit price of RM0.98 and the closing unit price of RM1.12 on 30 December 2010.

² Summation of the distribution yield (annualised) for FP2010 and capital appreciation since CMMT's listing date to 30 December 2010. As CMMT does not have any distribution yield and capital appreciation history other than that pertaining to FP2010, there is no difference between the average total return since inception and the annual total return.

³ As at 30 December 2010.

CMMT's Unit Price Performance

16 July 2010 (Listing Date) to 30 December 2010



Financial Highlights

BALANCE SHEET AND OTHER FINANCIAL RATIOS

	FP2010 ¹
Portfolio Property Valuation ² (RM'000)	2,143,000
Total Assets (RM'000)	2,278,220
Net Asset Value (NAV) (Before Income Distribution) (RM'000)	1,434,956
Net Asset Value (NAV) (After Income Distribution) (RM'000)	1,389,046
NAV per Unit (Before Income Distribution) ³ (RM)	1.0629
NAV per Unit (After Income Distribution) ³ (RM)	1.0289
Highest NAV per Unit (After Income Distribution) (RM)	1.0289
Lowest NAV per Unit (After Income Distribution) (RM)	1.0265
Earnings per Unit (sen)	8.10
Borrowings (Before Unamortised Transaction Costs) (RM'000)	750,000
Gearing Ratio (%)	33.6
Interest Cover (times)	3.6
Management Expense Ratio ⁴ (%)	1.1

¹ CMMT was established on 7 June 2010 and registered with Securities Commission Malaysia on 9 June 2010. The acquisition by CMMT of Gurney Plaza, an interest in Sungei Wang Plaza and The Mines was completed on 14 July 2010 and CMMT was listed on the Main Market of Bursa Malaysia Securities Berhad on 16 July 2010. The financial results reported refer to the period from 14 July 2010 to 31 December 2010 (FP2010).

² Based on the valuation of Gurney Plaza, 205 strata parcels of Sungei Wang Plaza and The Mines as at 31 December 2010. Independent valuations of CMMT's interest in Sungei Wang Plaza and The Mines were undertaken by CB Richard Ellis (Malaysia) Sdn Bhd, while the independent valuation of Gurney Plaza was conducted by PPC International Sdn Bhd.

³ CMMT's NAV per unit has increased from RM1.03 at listing to RM1.06 as at 31 December 2010, due to the revaluation of the properties. After income distribution, CMMT's NAV per unit will be RM1.03.

⁴ Refers to the expenses of CMMT excluding property expenses and interest expense but including the performance component of the Manager's management fees, expressed as a percentage of weighted average net assets.

DPU CONSISTENTLY OUTPERFORMED FORECASTS

Period	Actual ¹ DPU (Annualised sen)	Forecast ² DPU (Annualised sen)	Variance from DPU Forecast
3Q 2010 ³	7.22	7.16	0.8%
4Q 2010 ⁴	7.29	7.13	2.3%

¹ CMMT was established on 7 June 2010 and registered with the Securities Commission Malaysia on 9 June 2010. The acquisition by CMMT of Gurney Plaza, an interest in Sungei Wang Plaza and The Mines was completed on 14 July 2010 and CMMT was listed on the Main Market of Bursa Malaysia Securities Berhad on 16 July 2010. The financial results reported refer to the period from 14 July 2010 to 31 December 2010 (FP2010).

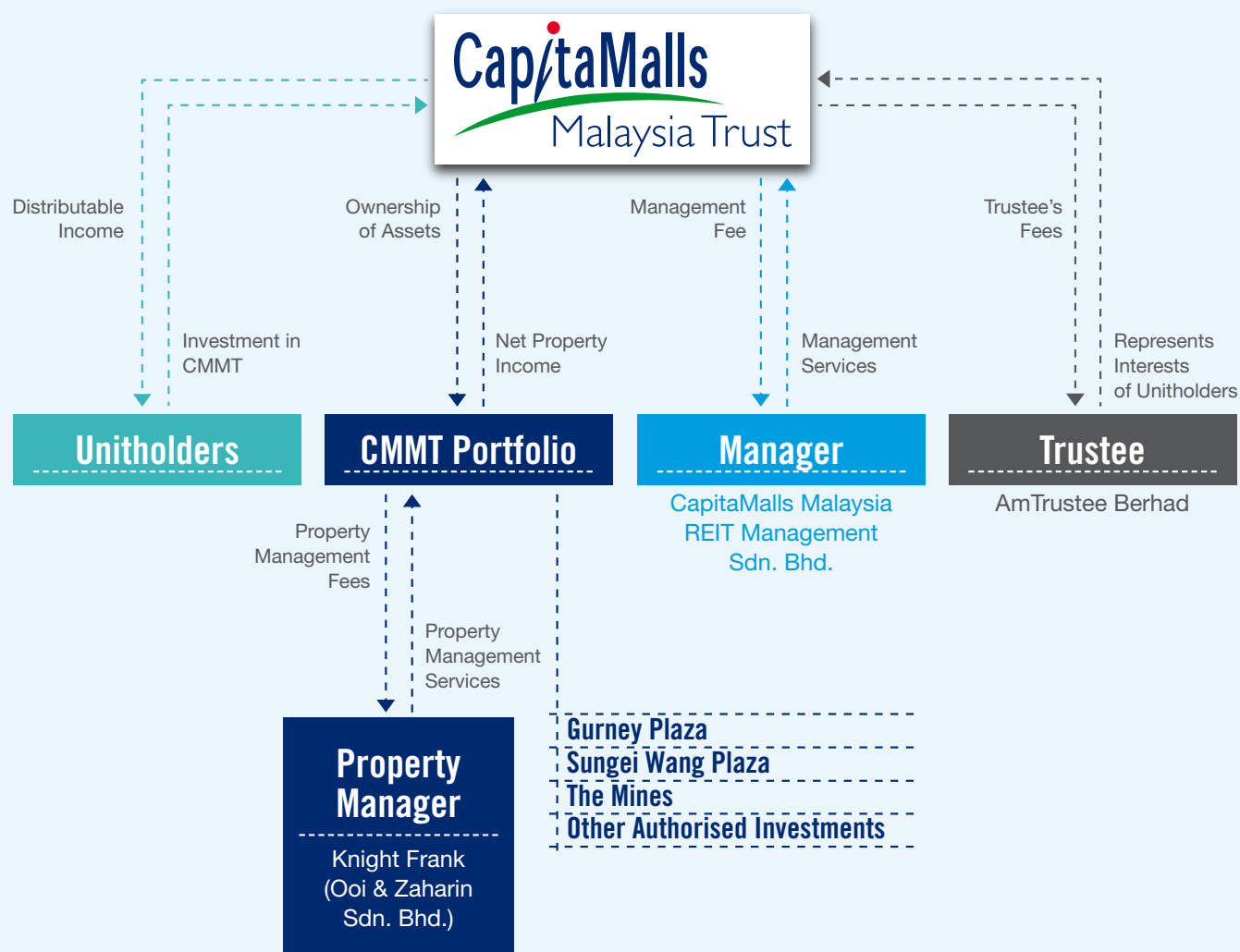
² Extracted from the profit forecast for the 8-month period ended 31 December 2010 for the relevant period as disclosed in CMMT's initial public offering prospectus.

³ For the period from 14 July 2010 to 30 September 2010.

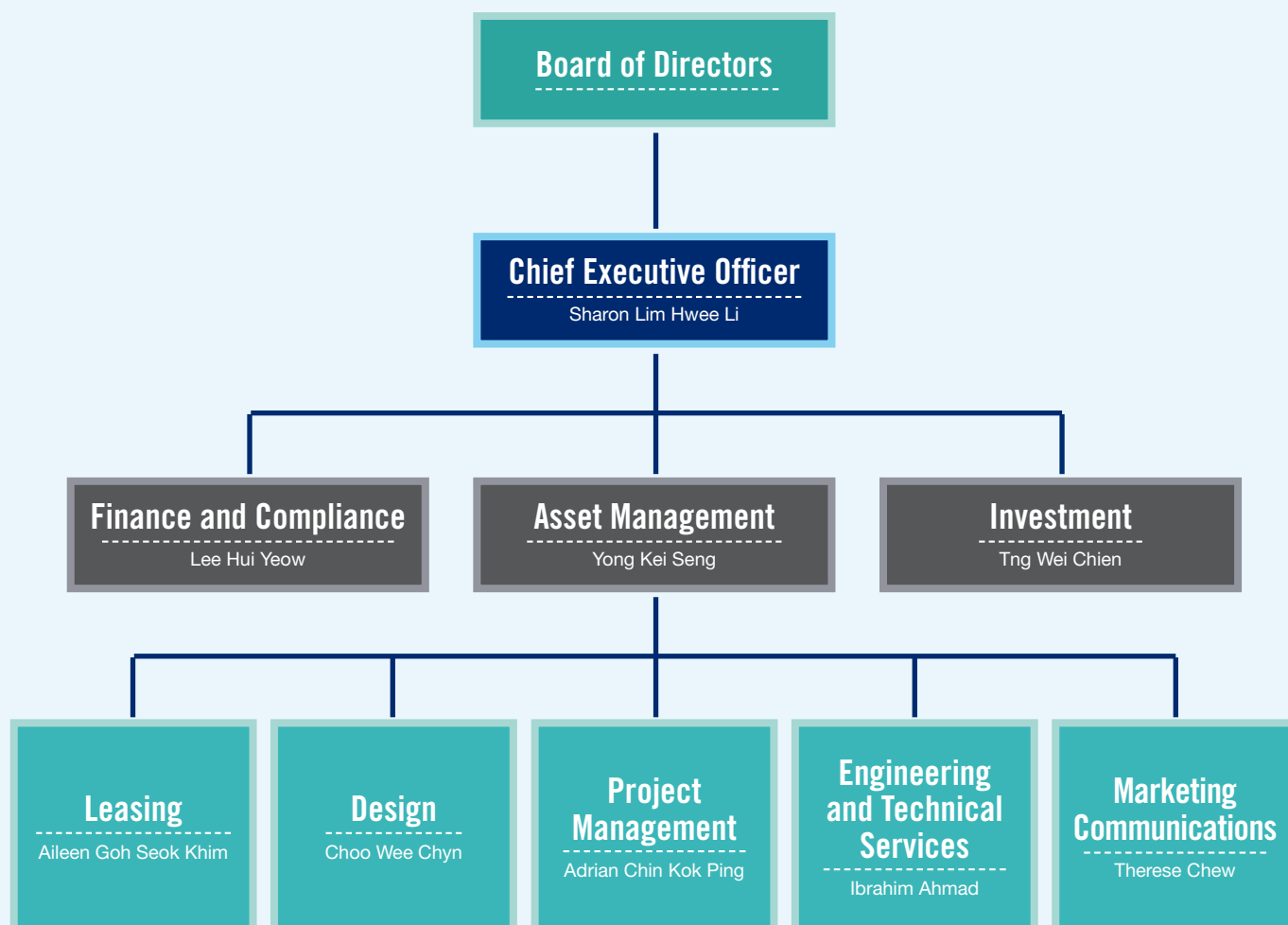
⁴ For the period from 1 October 2010 to 31 December 2010.

Unitholders are advised that past performance is not necessarily indicative of future performance and unit prices and investment returns may fluctuate.

TRUST STRUCTURE



ORGANISATION STRUCTURE



BOARD OF DIRECTORS



SEATED:

KEE TECK KOON

*Chairman and Non-Independent
Non-Executive Director*

STANDING FROM LEFT TO RIGHT:

NG KOK SIONG

Non-Independent Non-Executive Director

TAN SIEW BEE

Independent Non-Executive Director

DATUK MOHD. NAJIB BIN HJ. ABDULLAH

Non-Independent Non-Executive Director

LIM BENG CHEE

Non-Independent Non-Executive Director



SEATED:

SHARON LIM HWEE LI

Non-Independent Executive Director

STANDING FROM LEFT TO RIGHT:

IG CHANDRAN

(Gnanachandran S Ayadurai)

Independent Non-Executive Director

LOCK WAI HAN

Non-Independent Non-Executive Director

PETER TAY BUAN HUAT

Independent Non-Executive Director

BOARD OF DIRECTORS

KEE TECK KOON

Chairman and
Non-Independent Non-Executive Director

Mr Kee, aged 54 and a Singaporean, joined the Board on 10 June 2010. He is also Chairman of the Corporate Disclosure Committee.

Mr Kee is currently a Non-Executive Director of CapitaMall Trust Management Limited (the manager of CapitaMall Trust listed on the Singapore Exchange Securities Trading Limited (SGX-ST)), a Non-Executive Director of Changi Airports International Pte Ltd and the Non-Executive Chairman of NTUC First Campus Co-Operative Ltd.

Mr Kee retired as the Chief Investment Officer of CapitaLand Limited (CapitaLand) (listed on the SGX-ST) on 1 July 2009, a position he assumed since February 2007. Between April 2003 and January 2007, he was responsible for overseeing the CapitaLand Group's financial advisory services, commercial real estate and retail real estate businesses. He was the Managing Director and Chief Executive Officer (CEO) of The Ascott Limited from November 2000 to April 2003. Mr Kee has held senior management appointments with several other organisations. He started his career in 1979 with the Singapore Armed Forces and the Ministry of Defence where he remained until 1991.

Mr Kee holds a Master of Arts in Engineering Science from the University of Oxford, United Kingdom.

LIM BENG CHEE

Non-Independent Non-Executive Director

Mr Lim, aged 43 and a Singaporean, joined the Board on 1 November 2008. He is also Chairman of the Executive Committee and a member of the Corporate Disclosure Committee.

Mr Lim is currently the CEO and Executive Director of CMA (listed on the SGX-ST). He is also a Director of CapitaMall Trust Management Limited (the manager of CapitaMall Trust listed on the SGX-ST) and CapitaRetail China Trust Management Limited (the manager of CapitaRetail China Trust listed on the SGX-ST).

Mr Lim has more than 10 years of real estate investment and asset management experience. He has held various positions within the CapitaLand Group since 2000 and has been CMA's CEO since 1 November 2008. Mr Lim has played an instrumental role in the creation of CMA's retail real estate funds and retail REITs. Mr Lim was appointed as the Deputy CEO of CapitaMall Trust Management Limited from March 2005 to December 2006. He then led the team that spearheaded the listing of CapitaRetail China Trust, the first pure-play China shopping mall REIT listed in Singapore (S-REIT) and was appointed as CEO of CapitaRetail China Trust Management Limited from December 2006 to September 2008, during which he was mostly stationed in Beijing. Mr Lim then returned to Singapore and assumed his appointment as CEO for both CMA and CapitaMall Trust Management Limited in November 2008. Mr Lim stepped down as CEO of CapitaMall Trust Management Limited on 25 November 2009 upon the listing of CMA.

Mr Lim holds a Master of Business Administration (Accountancy) from the Nanyang Technological University of Singapore and a Bachelor of Arts in Physics (Honours) from the University of Oxford, United Kingdom.

Board of Directors

NG KOK SIONG

Non-Independent Non-Executive Director

Mr Ng, aged 39 and a Singaporean, joined the Board on 10 June 2010. He is also a member of the Audit Committee, Corporate Disclosure Committee and Executive Committee.

Mr Ng is currently the Chief Financial Officer of CMA (listed on the SGX-ST). He is also a Director of CapitaRetail China Trust Management Limited (the manager of CapitaRetail China Trust listed on the SGX-ST), Singapore's first pure play China shopping mall S-REIT.

Mr Ng joined CapitaLand in September 2005. He later assumed the position of Senior Vice President of CapitaLand Eurasia where he was involved in business development. In October 2008, he was appointed as Senior Vice President, Strategic Finance, CapitaLand, where he was responsible for overseeing the corporate finance matters of the CapitaLand Group. Prior to joining CapitaLand in 2005, Mr Ng spent more than a decade in the oil and gas industry across Asia Pacific and Europe, holding various finance and investment management positions in Exxon-Mobil and Royal Dutch Shell. He was appointed as the Chief Financial Officer of CMA in September 2009.

Mr Ng graduated with a Degree of Bachelor of Accountancy (Honours) from Nanyang Technological University of Singapore.

LOCK WAI HAN

Non-Independent Non-Executive Director

Mr Lock, aged 43 and a Singaporean, joined the Board on 10 June 2010. He is also a member of the Executive Committee.

Mr Lock is currently the Deputy CEO, CMA China, which is part of CMA (listed on the SGX-ST). Prior to his position as the Deputy CEO, CMA China, Mr Lock was the Chief Corporate Officer of CMA and was responsible for CMA's corporate support functions including corporate planning, human resources, legal and secretariat, corporate communications administration, as well as business processes and information technology.

Mr Lock has more than 20 years of working experience in various capacities in the Singapore Civil Service, including his appointment as Director of the Criminal Investigation Department/Singapore Police Force and as the Commissioner of the Immigration & Checkpoints Authority, Singapore. Most recently, Mr Lock was the Deputy Secretary (Industry & the Arts) at the Ministry of Information, Communications and the Arts, Singapore. He had previously served on various boards of directors and board committees, including as Chairman, Audit Committee of International Enterprise, Singapore; Member, Nominating Committee of The Esplanade Company Limited; and Member, Finance Committee of the Singapore Arts School Limited.

Mr Lock holds a Master of Arts in Engineering and a Bachelor of Arts in Engineering (Honours) from the University of Cambridge, United Kingdom. He also holds a Master of Science in Management from the Leland Stanford Junior University, United States of America.

Board of Directors

DATUK MOHD. NAJIB BIN HJ. ABDULLAH

Non-Independent Non-Executive Director

Datuk Mohd. Najib Bin Hj. Abdullah, aged 50 and a Malaysian, joined the Board on 10 June 2010.

Datuk Mohd. Najib Bin Hj. Abdullah is concurrently the Group Managing Director of Malaysian Industrial Development Finance Berhad. A board member and member of the Executive Committee of Malaysian Industrial Development Finance Berhad, he is also a director of MIDF Amanah Investment Bank Berhad, MIDF Amanah Capital Berhad, MIDF Amanah Asset Management Berhad, MIDF Property Berhad, ACR ReTakaful SEA Berhad and ACR ReTakaful MEA B.S.C. He is also a commissioner of P. T. MIEL Nusantara Development.

Datuk Mohd. Najib Bin Hj. Abdullah was appointed as Group Managing Director of Malaysian Industrial Development Finance Berhad with effect from 8 July 2006. He was formerly the CEO/Executive Director of Malaysia National Insurance Berhad. He started his career as the Management Accountant with Hewlett Packard Kuala Lumpur, and later served in Citigroup whereby he held several senior managerial roles including as Chief of Staff and Country Financial Controller with Citibank N.A. and Head, Malaysian Business Group, Corporate and Investment Banking, Citibank Berhad.

Datuk Mohd. Najib Bin Hj. Abdullah holds a Bachelor of Science degree in Computer Science and Mathematics (magna cum laude) and a Masters degree in Business Administration from Northern Illinois University, United States of America.

His Majesty Seri Paduka Baginda Yang di-Pertuan Agong recently conferred the “Panglima Jasa Negara” to Datuk Mohd. Najib Bin Hj. Abdullah for his services to the nation.

IG CHANDRAN (Gnanachandran S Ayadurai)

Independent Non-Executive Director

Mr Chandran, aged 58 and a Malaysian, joined the Board on 10 June 2010. He is also Chairman of the Audit Committee.

Mr Chandran has over 35 years of working experience in the accounting profession. He joined KPMG Malaysia in 1973 and from 1977 to 1983 articulated in the United Kingdom and rejoined KPMG Malaysia in 1984. He was admitted as an audit partner in 1994 and later took on responsibilities in the Advisory practice from where he retired in 2007. He then joined KPMG Thailand as the head of the Advisory practice and retired in March 2009.

Mr Chandran's regional roles included as KPMG's Asia Pacific Chief Operating Officer of the Internal Audit Services for two years (2003-2004), leader for the Corporate Governance Advisory in KPMG Asia Pacific. He has led a number of KPMG's large internal audit, governance advisory and enterprise risk management assignments. He has also served as the audit engagement partner on several listed companies covering various industries including property, hospitality and leisure and insurance (for which he was accredited by Bank Negara Malaysia).

Mr Chandran was the lead partner in KPMG for the provision of internal audit services to over 60 United Nations offices throughout Asia, the Pacific, Arab States and Eastern Europe from 1998 to 2008, and has led several audit missions to post conflict countries including Afghanistan, Iraq, Iran and Timor Leste. Mr Chandran was previously the partner-in-charge of the Forensic Practice in KPMG Malaysia and has undertaken several investigative engagements within Malaysia and internationally. Since mid-2009, he has been providing advisory services to certain government agencies and is a guest lecturer in local universities and government institutions.

Mr Chandran is a Fellow of the Institute of Chartered Accountants in England and Wales, and also a Chartered member of the Malaysian Institute of Accountants, the Institute of Internal Auditors, the Chartered Institute of Taxation, Malaysia and an Associate Certified Fraud Examiner. Mr Chandran is an accredited member of the Institute of Directors, Thailand.

Board of Directors

TAN SIEW BEE

Independent Non-Executive Director

Ms Tan, aged 51 and a Malaysian, joined the Board on 10 June 2010. She is also a member of the Audit Committee.

Ms Tan was called to the Malaysian Bar in 1986 and worked as a lawyer in Kuala Lumpur from that date. She was initially involved in court litigation work and, subsequently, the capital markets and corporate banking sectors. Ms Tan was involved in a significant number of capital markets transactions and debt and equity issuances, including work relating to REITs.

Ms Tan was a founding senior partner of the legal firm, Messrs Shahrizat & Tan, which was formed in 1993. She was actively involved in expanding the operations of Messrs Shahrizat & Tan, including the training of its lawyers as well as managing the Corporate & Corporate Banking Department. Messrs Shahrizat & Tan subsequently opened a branch in Penang.

In 2003, Messrs Shahrizat & Tan merged with Messrs Rashid & Lee to form Messrs Shahrizat Rashid & Lee. Ms Tan was the head of the Finance and Property department before leaving the firm in May 2007.

Ms Tan holds an LL.B (Honours) degree from the University of East Anglia and an LL.M from the University College London. She was admitted to the English Bar and the Malaysian Bar in 1984 and 1986, respectively.

PETER TAY BUAN HUAT

Independent Non-Executive Director

Mr Tay, aged 62 and a Singaporean, joined the Board on 10 June 2010.

Mr Tay is currently a Corporate Advisor, engaging in business development and coaching budding business leaders. He serves on the boards of companies involved in food and education, and writes on management issues in 'Asian Meat', and 'AgriFood Magazine', two international food publications.

For 17 years, from 1989 to 2006, Mr Tay was the President and CEO of Singapore Food Industries Ltd (SFI), a publicly listed food distribution and manufacturing company in Singapore. Under his leadership, SFI expanded internationally from its base in Singapore to include operations in the United Kingdom, the Republic of Ireland, China and Australia.

During the period from 1992 to 2004, he concurrently held other positions, including Group Coordinator for Human Resource and Group Director (Strategic Development) in Singapore Technologies. Prior to that, Mr Tay held several general management and corporate function positions and was the Director of Manpower in the Singapore Ministry of Defence. Mr Tay was also Chairman of the Working Group on Wage Restructuring for the Food Manufacturing Industry in 2004.

A Colombo Plan Scholar, Mr Tay graduated with Bachelor degrees in both Engineering (Honours) and Economics from the University of Newcastle in Australia. In 1986, he obtained an MSc in Management (Sloan Fellows Program) from the Massachusetts Institute of Technology. He is a Fellow of the Chartered Institute of Management Accountants, United Kingdom, and a Member of the Institution of Engineers, Australia.

Board of Directors

SHARON LIM HWEE LI

Non-Independent Executive Director

Ms Lim, aged 38 and a Singaporean, joined the Board on 15 April 2010. She is also a member of the Executive Committee.

Ms Lim has over 14 years of real estate experience including property investment and development, sales and marketing and asset management activities in Australia, the Philippines, Thailand, Vietnam and Singapore. Ms Lim has extensive experience in property investment covering the retail, industrial, mixed developments and residential sectors.

Prior to her position as CEO and Non-Independent Executive Director of CapitaMalls Malaysia REIT Management Sdn. Bhd., Ms Lim was Country Head for CMA's operations in Malaysia, and was instrumental in establishing CMA's retail platform in Malaysia. This involved steering Gurney Plaza, Sungei Wang Plaza and The Mines and building the local team in preparation for expansion. Before this appointment, she was a Vice President of CapitaMall Trust Management Limited, where she was responsible for actively seeking out new investment opportunities in Singapore. She focused on identifying and evaluating new retail investment opportunities, which involved performing financial analyses and structuring deals. She also worked closely with the centre management teams to evaluate, plan and steer the assets under management to optimise investment returns.

Ms Lim holds a Master of Business Administration from Murdoch University, Australia and a Bachelor of Business (Distinction) from the Royal Melbourne Institute of Technology, Australia.



The Splash Park, The Mines, Selangor

TRUST MANAGEMENT TEAM

SHARON LIM HWEE LI

Chief Executive Officer

Please refer to description under the section on 'Board of Directors'.

LEE HUI YEOW

Head, Finance and Compliance

Mr Lee has more than 15 years of experience in finance and accounting where his responsibilities covered corporate finance, consolidation, tax, insurance, treasury, compliance as well as supporting acquisition and divestment activities.

Prior to joining the Manager, he was the Head of Finance and Corporate Services of CapitaLand Retail Malaysia Sdn. Bhd. (CMA Malaysia), an indirect wholly-owned subsidiary of CMA, which is responsible for the business operations of CMA in Malaysia. He was responsible for the reporting of the financial conditions of CMA Malaysia as well as the development of a comprehensive system of business score cards and key performance indicators to facilitate the effective management of CMA Malaysia's assets. His responsibilities also covered the treasury functions, preparation of statutory accounts, management of tax affairs, compliance and corporate governance issues, liaising with external auditors and all other finance-related matters. He also actively participated in corporate fund raising in the capital markets and successfully brokered numerous refinancing and new loan financings for CMA. He was previously the Deputy Finance Manager of CapitaRetail China Trust Management Limited and a Finance Manager of CapitaLand Limited. Prior to joining CMA, he worked with Singapore Technologies Pte. Ltd., New Toyo International Holdings Limited and KPMG.

He holds a Bachelor of Accounting (First Class Honours) degree from the University of Wales College of Cardiff, United Kingdom and is a Fellow of the Association of Chartered Certified Accountants.

YONG KEI SENG

Head, Asset Management

Kei Seng has more than 20 years of real estate experience covering business development, property development, asset and property management, retail operations, leasing and marketing.

Prior to joining the Manager, he was the General Manager of CMA Malaysia and was responsible for the overall strategies and management of leasing, operation, marketing communication, project, tenancy design and management of CMA Malaysia. He has successfully enhanced the capital values of Gurney Plaza, The Mines and Sungei Wang Plaza through asset enhancement initiatives and strengthening of the tenancy mix. He is currently the Chairman of the Sungei Wang Plaza Management Corporation and acted as the retail advisor of Gurney Plaza before its acquisition by CMA in 2007. Previously he was responsible for the asset management and retail operations of a portfolio of Singapore shopping malls.

Mr Yong holds a Master of Business Administration (Accountancy) degree from the Nanyang Technological University, Singapore and a Bachelor of Science (Estate Management) (Honours) degree from the National University of Singapore.

TNG WEI CHIEN

Manager, Investment

Prior to joining the Manager, Mr Tng was the Investment and Asset Manager of CMA Malaysia and the acting Centre Manager for Gurney Plaza. He was responsible for developing and maintaining financial and asset models to analyse the performance of various CMA Malaysia assets and driving their performance. He worked closely with the centre management teams of the properties to execute the business plans at the property level. He was actively involved in the feasibility study, budgeting and execution of the asset enhancement initiatives which enhanced the capital values of Gurney Plaza and Sungei Wang Plaza. Prior to joining CMA, Mr Tng was the Deputy Director (Air Transport) in the Singapore Ministry of Transport where he formulated policies and strategies to enhance the competitiveness of Singapore Changi Airport.

Mr Tng holds a Master of Science in Wealth Management from the Singapore Management University and a Bachelor of Science in Electrical and Computer Engineering (Honours) from Carnegie Mellon University, United States of America, on an overseas merit scholarship from the Singapore Government.

Trust Management Team

IBRAHIM AHMAD

Manager, Asset Management (Engineering and Technical Services)

Mr Ibrahim has 20 years of experience in real estate covering both project and property management.

Prior to joining the Manager, he was the Head of Engineering and Technical Services of CMA Malaysia and was responsible for the implementation of the standard operating procedures and emergency response procedures for the respective shopping malls. He was also involved in the preparation of the operations and maintenance budget, reviewing equipment performance and procurement of service contracts.

He graduated with a Bachelor of Science (Real Estate Management) degree from Oxford Brookes University, United Kingdom, and has a Diploma in Building from Singapore Polytechnic. He is a qualified Fire Safety Manager registered with the Fire Safety Bureau of Singapore.

AILEEN GOH SEOK KHIM

Manager, Asset Management (Leasing)

Prior to joining the Manager, Ms Goh was the Deputy Head of Asset Management (Leasing) of CMA Malaysia where she monitored and worked closely with the leasing teams of CMMT's retail properties to improve the tenancy mix and occupancy rates of the properties through timely tenancy renewals and replacements where required. She was a key team member in planning and implementing the asset enhancement initiatives executed by CMA Malaysia at The Mines, Sungei Wang Plaza and Gurney Plaza. She continues to oversee the leasing strategies for CMMT's shopping malls. Before joining CMA Malaysia, Ms Goh worked with Mid Valley City Sdn Bhd as the Leasing Manager and was responsible for the budgeting and leasing of retail space at Mid Valley Megamall. Ms Goh was also previously attached to an international tax consultancy firm providing corporate tax compliance and advisory services to multinational and publicly listed companies, both in Malaysia and Singapore.

She holds a Bachelor of Commerce (Accounting and Finance) degree from Monash University (Clayton), Australia.

ADRIAN CHIN KOK PING

Manager, Asset Management (Projects)

Mr Chin has more than 13 years of combined experience in architecture and property development, master

planning, architectural design and project management. He managed various building types including commercial, retail, education and residential, covering Singapore, Malaysia and Indonesia. He was involved in master planning design for projects in China, Vietnam and the Middle East. Prior to joining the Manager, Mr Chin was the Project Manager of CMA Malaysia and was responsible for managing the asset enhancement initiatives on the existing properties as well as serving as the key coordinator between external and internal stakeholders.

Mr Chin holds both a Bachelor of Environmental Design and a Bachelor of Architecture from the University of Tasmania, Australia. He is a registered Architect with the Singapore Board of Architects and a member of several architectural institutes in Singapore, Malaysia, the United Kingdom and the United States of America.

CHOO WEE CHYN

Manager, Asset Management (Design)

Mr Choo has more than 10 years of experience in the design and development of housing and commercial projects. Prior to joining the Manager, Mr Choo was the Design Manager of CMA Malaysia and was responsible for overseeing the design management and tenancy design for the shopping malls in Malaysia and the design and execution of asset enhancement initiatives. He was also responsible for establishing and implementing shop fit-out design standards and guidelines as well as ensuring that tenants' shop designs were of a standard befitting the respective mall's positioning.

Mr Choo holds a Masters of Architecture and a Bachelor of Arts (Architecture Studies) from the National University of Singapore and is a registered Architect with the Board of Architects (Singapore).

THERESE CHEW

Manager, Asset Management (Marketing Communications)

Ms Chew has 20 years of experience managing various consumer brands across Asia, including 11 years with CMA and CMA Malaysia. As the head of the Manager's Marketing Communications function, Ms Chew drives initiatives to increase shopper traffic, improve tenants' turnover, achieve portfolio synergies and deliver non-leasing income for the properties.

Ms Chew holds a Master of Arts degree in Mass Communications from Oklahoma City University, United States of America, and a Bachelor of Commerce degree from Curtin University of Technology, Australia.

CORPORATE GOVERNANCE

Strong corporate governance has always been our priority as the Manager. We recognise that an effective corporate governance culture is critical to our performance and, consequently, to the success of CMMT. As such, corporate governance will always be at the top of our agenda.

We are committed to high standards of corporate governance and transparency in our management of CMMT, and operate in the spirit of the Malaysian Code on Corporate Governance (the Code) in the discharge of our responsibilities as the Manager in our dealings with unitholders and other stakeholders.

THE MANAGER

The primary role of the Manager is to set the strategic direction of CMMT and make recommendations to the Trustee on the acquisition of new assets and divestment or enhancement of CMMT's assets in accordance with its stated investment strategy. The research, evaluation and analysis required for this purpose is co-ordinated and carried out by the Manager. The Manager is also responsible for the risk management of CMMT.

The Manager has general powers of management over the assets of CMMT. The Manager's primary responsibility is to manage the assets and liabilities of CMMT for the benefit of unitholders. This is done with a focus on generating rental income and enhancing asset values over time so as to maximise the returns from the investments, and ultimately the distributions and total return to unitholders.

Other functions and responsibilities of the Manager include:

- Carrying out and conducting CMMT's business in a proper and efficient manner and to conduct all transactions with, or on behalf of, CMMT at arm's length.
- Preparing asset plans on an annual basis, including forecasts of revenue, net income and capital expenditure, explanation of major variances to previous years' numbers, commentary on key issues and justification of the assumptions underlying rental

rates, operating income and operating expenses. These plans explain the past performance and expected future performance of CMMT's assets.

- Ensuring compliance with relevant laws and regulations, including the Capital Markets and Services Act 2007, the Main Market Listing Requirements of Bursa Malaysia Securities Berhad (Listing Requirements), the REITs Guidelines and the tax rulings issued by the Inland Revenue Board of Malaysia on the taxation of CMMT and its unitholders.
- Attending to all regular communications with unitholders.
- Supervising Knight Frank (Ooi & Zaharin Sdn. Bhd.) (Property Manager), which performs the day-to-day property management functions (including lease administration, accounting, advertising and promotion activities, liaison and customer services, and car park management) for CMMT's malls pursuant to the property management agreement.

CMMT, constituted as a trust, is externally managed by the Manager and therefore has no personnel of its own. The Manager appoints and has a team of experienced and well qualified individuals to run its day-to-day operations. The individual members of the Board of Directors of the Manager (Directors) as well as employees of the Manager are remunerated by the Manager and not CMMT.

CapitaMalls Malaysia REIT Management Sdn. Bhd. is appointed as the Manager in accordance with the terms of the trust deed dated 7 June 2010 and registered with the Securities Commission Malaysia on 9 June 2010 (the Deed). The Deed outlines certain circumstances under which the Manager can be removed, which include a resolution passed by a majority consisting of not less than three-fourths of the unitholders present and voting at a meeting of unitholders duly convened and held in accordance with the provisions of the Deed, on the grounds of a breach of its obligations under the Deed which the Manager has failed to remedy despite the request from the Trustee to remedy the breach.

The following paragraphs describe the Manager's corporate governance policies and practices in 2010 as the Manager, with specific references to the Code. They encompass proactive measures adopted by the Manager for avoiding situations of conflict and potential conflict of interest, including prioritising the interests of unitholders over the Manager's and ensuring that applicable laws and regulations are complied with. For ease of reference, the relevant provisions of the Code under discussion are identified in *italics* (excluding sub-headings which have **bold italic** formatting).

BOARD OF DIRECTORS

The Board

Every listed company should be headed by an effective board which should lead and control the company.

The Board of Directors of the Manager (the Board) has overall responsibility for managing and governing the Manager and CMMT in the best interests and for the benefit of unitholders.

The Board provides leadership to the Manager, sets the strategic direction and oversees the competent management of CMMT, including the deployment of necessary financial and human resources, to meet its objectives. The Board establishes goals for management and monitors the achievement of these goals. It ensures that proper and effective controls are in place to assess and manage business risk, and compliance with applicable laws. It also sets the disclosure and transparency standards for CMMT and ensures that obligations to unitholders and other stakeholders are understood and met.

Each Director must act honestly, with due care and diligence, and in the best interests of unitholders.

This obligation is aligned with the Manager's prime responsibility of managing the assets and liabilities of CMMT for the benefit of unitholders. Decisions are taken objectively in the interests of CMMT. The Manager has adopted guidelines, details of which are set out on pages 40 to 42, to deal with Related Party Transactions (as defined herein) and conflicts of interest.

The Board meets regularly to discuss and review the Manager's key activities, including its business strategies and policies for CMMT. Board meetings are scheduled in advance, and are held at least once every quarter, to deliberate on matters of strategic significance for CMMT, including any significant acquisitions and disposals, review the annual budget and performance of the Manager and CMMT, as well as approve the release of the quarterly and full-year results. The Board also reviews the risks to the assets of CMMT and acts upon any comments from the auditors of CMMT. Additional Board meetings are held, where necessary, to address significant transactions or issues. The Articles of Association of the Manager permit Board meetings to be held by way of teleconference and videoconference.

Board Committees

In the discharge of its functions, the Board is supported by specialty Board committees that provide independent oversight of management, and which also serve to ensure that there are appropriate checks and balances. These Board committees are the Audit Committee, Executive Committee and Corporate Disclosure Committee. Each of these Board committees operate under delegated authority from the Board. Other committees may be formed as dictated by business imperatives and/or to promote operational efficiency.

The number of Board and Board committee meetings held in the period, as well as the attendance of their membership, are set out on page 36.

Executive Committee

Currently, the members of the Executive Committee are Mr Lim Beng Chee, Mr Ng Kok Siong, Mr Lock Wai Han and Ms Sharon Lim Hwee Li. The Executive Committee oversees the day-to-day activities of the Manager on behalf of the Board including, to:

- Approve or make recommendations to the Board on new investments and acquisitions.
- Approve or make recommendations to the Board on divestments and write-offs of property assets/equity investments.

Corporate Governance

- Approve specific budgets for capital expenditure for development projects, acquisitions and enhancements/upgrading of properties.
- Review management reports and operating budgets.
- Award contracts for development projects.
- Review adequacy and completeness of overall risk management framework of CMMT.
- Evaluate and make recommendations for the Board's approval of the risk guidelines and limits for CMMT.
- Review CMMT's risk portfolio mix and risk level as and when required.
- Report to the Board on decisions made by the Executive Committee.
- Perform such other functions as varied or delegated by the Board.

The members of the Executive Committee also meet informally during the course of the period.

Audit Committee

The Audit Committee is established by the Board from among the Directors of the Manager and comprises three members, all non-executive, the majority of whom (including the Chairman of the Audit Committee) are independent.

The Manager is of the view that the Audit Committee members have the relevant expertise to discharge the functions of an Audit Committee and one member of the Audit Committee is a member of the Malaysian Institute of Accountants. The composition of the Audit Committee as at 31 December 2010 are Mr IG Chandran (Gnanachandran S Ayadurai), Ms Tan Siew Bee and Mr Ng Kok Siong.

The Audit Committee has a set of terms of reference defining its scope of authority which includes, in relation to its management of CMMT:

- Monitoring and evaluating the effectiveness of the Manager's internal control process (including financial, operational and compliance controls and risk management policies and systems) through reviewing internal and external audit reports to ensure that where deficiencies in internal controls have been identified, appropriate and prompt remedial action is taken by management.

- Reviewing the quality and reliability of information prepared for inclusion in the financial reports and approving the financial statements and the audit report before recommending to the Board for approval.
- Reviewing the adequacy and effectiveness of the internal audit function.
- Monitoring the procedures established to regulate Related Party Transactions (as defined herein) including ensuring compliance with applicable provisions of the Listing Requirements and the REITs Guidelines.
- Reviewing the appointment and re-appointment of auditors (including remuneration and terms of engagement) before recommending them to the Board for approval and reviewing the adequacy of existing audits in respect of cost, scope and performance.
- Reviewing the scope and results of the audit and its cost effectiveness, and the independence and objectivity of the external auditors and non-audit services provided by the external auditors and confirming that they would not, in the Audit Committee's opinion, impair the independence of the auditors.
- Monitoring the procedures in place to ensure compliance with applicable legislation, the Listing Requirements and the REITs Guidelines. The Audit Committee is authorised to investigate any matters within its terms of reference. The Audit Committee has full access to and co-operation of the management and the internal auditors and has full discretion to invite any executive director or officer to attend its meetings.

The internal auditors and CMMT's external auditors have unrestricted access to the Audit Committee. Reasonable resources have been made available to the Audit Committee to enable it to discharge its duties.

The Audit Committee meets CMMT's external auditors, without the presence of management, at least twice a year. In its review of the audited financial statements for FP2010, the Audit Committee discussed with management and external auditors the accounting principles that were applied. Based on the review and discussions

with management and the external auditors, the Audit Committee is of the view that the financial statements are fairly presented, and conform to generally accepted accounting principles in all material aspects.

The Audit Committee has also conducted a review of all non-audit services provided by the external auditors during the financial year and is satisfied that the nature and extent of such services will not prejudice the independence and objectivity of the external auditors. The non-audit fee paid and payable to the external auditors for FP2010 amount to RM515,000. Audit Committee meetings are generally held after the end of every quarter of every financial year. An Audit Committee meeting was held during the period.

Corporate Disclosure Committee

The Corporate Disclosure Committee reviews corporate disclosure matters relating to CMMT, including announcements to the Bursa Malaysia Securities Berhad, and pursues best practices in terms of transparency. Currently, the members of the committee are Mr Kee Teck Koon, Mr Lim Beng Chee and Mr Ng Kok Siong.

Delegation Of Authority

The Board has adopted a set of internal controls which sets out approval limits for, among other things, capital expenditure, new investments and divestments, operating of bank accounts, bank borrowings and cheque signatories' arrangements at Board level. Apart from matters that specifically require the Board's approval – such as the issue of new units in CMMT, income distributions and other returns to unitholders – the Board approves transactions exceeding certain threshold limits, while delegating authority for transactions below those limits to Board committees. Appropriate delegation of authority and approval sub-limits are also provided at management level to facilitate operational efficiency.

BOARD APPOINTMENT AND COMPOSITION

Board Composition and Balance

The board should include a balance of executive directors and non-executive directors (including independent non-executives) such that no individual or small group of individuals can dominate the board's decision-making.

Currently, the Board consists of nine Directors of whom three are Independent Non-Executive Directors. The majority of the Board members are Non-Executive with one-third of the Board being independent. Non-Executive Directors actively participate in setting and developing strategies and goals for management, and reviewing and assessing management's performance. This enables the management to benefit from their external and objective perspective of issues that are brought before the Board. It also enables the Board to interact and work with management through a healthy exchange of ideas and views to help shape the strategic process. Coupled with a clear separation of the roles of the Chairman and the CEO, this provides a healthy professional relationship between the Board and management with clarity of roles and robust deliberation on the business activities of CMMT.

A Director is considered independent if he/she is independent of management of the Manager and is free from any business or other relationship which could interfere with the exercise of the independent judgment or the ability to act in the best interests of CMMT. Mr IG Chandran (Gnanachandran S Ayadurai), Ms Tan Siew Bee and Mr Peter Tay Buan Huat are considered to be Independent Directors.

The Board is of the view that its current composition comprises persons who, as a group, provide the necessary core competencies and that the current Board size is appropriate, taking into consideration the nature and scope of CMMT's operations. The profiles of the Directors are set out on pages 24 to 28 of this Report.

Appointments to the Board

There should be a formal and transparent procedure for the appointment of new directors to the board.

Re-election

All directors should be required to submit themselves for re-election at regular intervals and at least every three years.

The Manager issues formal letters upon appointment of new Directors. Newly appointed Directors are briefed on CMMT's business activities, strategic direction and policies, the regulatory environment in which CMMT operates, the Manager's corporate governance practices, and their statutory and other duties and responsibilities as Directors. Directors are routinely updated on developments and changes in the operating environment, including revisions to accounting standards, and laws and regulations affecting the Manager and/or CMMT. Directors are also encouraged to participate in industry conferences, seminars and training programmes in connection with their duties.

The Manager does not consider it necessary for the Board to establish a nominating committee as it believes that the performance of the Manager, and hence, its Board, is reflected in the long term success of CMMT. Thus, the Board performs the functions that such a committee would otherwise perform, namely, it administers nominations to the Board, reviews the structure, size and composition of the Board, and reviews the independence of Board members.

Directors of the Manager are not subject to periodic retirement by rotation. The composition of the Board is reviewed regularly to ensure that the Board has the appropriate size and mix of expertise and experience. In particular, the Manager strives to ensure that the Board as a whole has the background, experience and knowledge in business, finance and management skills appropriate for CMMT's business activities, and that each Director with his special contribution brings to the Board an independent and objective perspective to enable balanced and well-considered decisions to be made.

The composition of the Board, including the selection of candidates for new appointments to the Board as part of the Board's renewal process, is determined using the following principles:

- The Board should comprise Directors with a broad range of commercial experience.
- At least one-third of the Board should comprise Independent Directors.

The selection of candidates is evaluated taking into account various factors including the current and medium needs and goals of CMMT, and hence, the Manager, as well as the relevant expertise of the candidates and their potential contributions.

The independence of each Director is reviewed upon appointment, and thereafter annually, by the Board. Reviews of Board performance as appropriate are informal. Renewal or replacement of Board members do not necessarily reflect their contributions to date, but may be driven by the need to position and shape the Board in line with the medium term needs of CMMT and its business.

Chairman and CEO

The roles of Chairman and CEO are separate and the positions are held by two separate persons. This is to ensure an appropriate balance of power, increased accountability and greater capacity of the Board for independent decision making. The division of responsibilities between the Chairman and the CEO facilitates effective oversight and a clear segregation of duties. The Chairman and the CEO are not related to each other and the Chairman is a Non-Executive Director.

The Chairman leads the Board to ensure the effectiveness on all aspects of its role and sets its agenda. He ensures that the members of the Board receive accurate, clear and timely information, facilitates the contribution of Non-Executive Directors, encourages constructive relations between Executive Directors, Non-Executive Directors and management, ensures effective communication with unitholders and promotes a high standard of corporate governance.

The Chairman also ensures that the Board and the management work together with integrity, competency and moral authority, and the Board engages management in constructive debate on strategy, business operations and enterprise risks.

The CEO has full executive responsibilities over the business directions and operational decisions of managing CMMT.

Board and Board Committee Attendance

The matrix of Board members' participation and attendance record at meetings of the Board and the specialty Board committees during the financial period are provided below. The participation and attendance records also reflect each Board member's additional responsibilities and special focus on the respective Board committees.

One Board meeting was held in 2010. The tables contain the attendance record of Directors at Board meeting and committee meeting during the period, and details of their memberships in the Board and committees.

Board Committee Composition

Board Members	Audit Committee	Executive Committee	Corporate Disclosure Committee
Kee Teck Koon	–	–	C
Lim Beng Chee	–	C	M
Ng Kok Siong	M	M	M
Lock Wai Han	–	M	–
Datuk Mohd. Najib Bin Hj. Abdullah	–	–	–
IG Chandran (Gnanachandran S Ayadurai)	C	–	–
Tan Siew Bee	M	–	–
Peter Tay Buan Huat	–	–	–
Sharon Lim Hwee Li	–	M	–

Denotes: C – Chairman, M – Member

Meeting Attendance for FP2010

Board Members	Board No. of meetings held: 1	Audit Committee No. of meetings held: 1	Verification No. of meetings held: 1
Kee Teck Koon ¹	1	N.A. ³	1
Lim Beng Chee	1	N.A. ³	1
Ng Kok Siong ¹	1	1	0
Lock Wai Han ¹	1	N.A. ³	0
Datuk Mohd. Najib Bin Hj. Abdullah ¹	1	N.A. ³	1
IG Chandran (Gnanachandran S Ayadurai) ¹	1	1	1
Tan Siew Bee ¹	1	1	0
Peter Tay Buan Huat ¹	1	N.A. ³	1
Sharon Lim Hwee Li ²	1	N.A. ³	1

¹ Appointed as a Director on the Board of the Manager with effect from 10 June 2010.

² Sharon Lim Hwee Li appointed as a Director of the Manager on 15 April 2010 and the CEO of the Manager with effect from 10 June 2010.

³ N.A. means 'non applicable' as the directors are not members of the Audit Committee.

ACCOUNTABILITY AND ACCESS TO INFORMATION

Supply of Information

The board should be supplied in a timely fashion with information in a form and of a quality appropriate to enable it to discharge its duties.

Financial Reporting

The Board should present a balanced and understandable assessment of the company's position and prospects.

Management provides the Board with complete and adequate information in a timely manner. This is done through regular updates on financial results, market trends and business developments. Changes to regulations, policies and accounting standards are also monitored closely. To keep pace with regulatory changes, where these changes have an important and significant bearing on CMMT and its disclosure obligations, the Directors are briefed by management during Board meetings, at specially convened sessions or via circulation of Board papers. Information provided to the Board include explanatory background materials relating to matters to be brought before the Board, budgets, forecasts and management accounts. In relation to budgets, any material variance between projections and actual results are disclosed and explained.

The Secretary of the Manager works with the Chairman and management to ensure that Board papers and agenda are provided to each Director in advance of Board meetings so that they can familiarise themselves with the matters prior to the Board meetings. Senior executives who can provide additional insights into matters to be discussed are requested to also attend the Board meetings so as to be at hand to answer questions. Board meetings are usually half-a-day affairs and include presentations by senior executives, external consultants and experts on strategic issues relating to specific business areas.

The Board has separate and independent access to the Manager's senior management and the Secretary, and vice versa. The Secretary will give the Board the necessary assistance and is also responsible for assisting the Chairman in ensuring that Board procedures are followed and that the applicable laws and regulations are complied with.

Under the direction of the Chairman, the Secretary's responsibilities include ensuring good information flows within the Board and its committees and between senior management and Non-Executive Directors as well as facilitating orientation and assisting with professional development as required. The Secretary attends Board meetings and committee meetings to take minutes.

Where necessary, the Manager will, upon the request of Directors (whether as a group or individually), provide them with independent professional advice, at the Manager's expense, to enable them to discharge their duties. The Secretary assists the Directors in obtaining such advice. The Manager has implemented quarterly financial reporting for CMMT since inception. Financial results and other price sensitive public announcements are presented in a balanced and understandable assessment of CMMT's performance, position and prospects.

DIRECTORS' REMUNERATION AND TRAINING

The Level and Make-up of Remuneration

Levels of remuneration should be sufficient to attract and retain the directors needed to run the company successfully. The component parts of remuneration should be structured so as to link rewards to corporate and individual performance, in the case of executive directors. In the case of non-executive directors, the level of remuneration should reflect the experience and level of responsibilities undertaken by the particular non-executive concerned.

Procedure

Companies should establish a formal and transparent procedure for developing policy on executive remuneration and for fixing the remuneration packages of individual directors.

Disclosure

The company's annual report should contain details of the remuneration of each director.

Directors' Remuneration

The remuneration of Directors of the Manager is paid by the Manager, and not by CMMT. The Manager adopts the remuneration policies and practices of its holding company, CMA, which has a remuneration committee that determines and recommends to the CMA board of directors the framework of remuneration, compensation and benefits, which include the CEO of the Manager. It is hence not necessary for the Manager to have a remuneration committee.

Since CMMT does not bear the remuneration of the Manager's Board, the Manager does not consider it necessary to include a report on remuneration of its Directors (other than as set out below).

The remuneration of Directors for FP2010 is shown in the table below. The CEO does not receive directors' fees. Non-Executive Directors have no service contracts with the Manager. They receive a basic fee, an additional fee for serving on any of the committees and an attendance fee for participation in meetings of the Board and any of the committees and verification meetings. In determining the quantum of such fees, factors such as frequency of meetings, time spent and responsibilities of directors are taken into account. The Chairman and members of the Audit Committee receive additional fees to take into account the nature of their responsibilities and the greater frequency of meetings.

Board Members	FP2010 Director's Fees ¹ (RM)
Kee Teck Koon ²	72,158
Lim Beng Chee	57,641 ³
Ng Kok Siong ²	70,899 ³
Lock Wai Han ²	42,708 ³
Datuk Mohd. Najib Bin Hj. Abdullah ²	35,450 ⁴
IG Chandran (Gnanachandran S Ayadurai) ²	61,317
Tan Siew Bee ²	48,383
Peter Tay Buan Huat ²	41,450

¹ Additional fees of RM4,000 (local director) and RM6,000 (foreign director) per meeting attendance. The Directors' fees are applied on a pro-rata basis from 10 June 2010 to 31 December 2010.

² Appointed as a Director on the Board of the Manager with effect from 10 June 2010.

³ Fees to Directors who are CMA's nominees (i.e. Mr Lim Beng Chee, Mr Ng Kok Siong and Mr Lock Wai Han) are payable to CMA.

⁴ The Director's fee to Datuk Mohd. Najib Bin Hj. Abdullah is payable to MIDF.

Directors' Training

During the financial period under review, the Directors attended various conferences/programmes to enhance their knowledge and expertise and to keep abreast with the relevant changes in law, regulations and the business environment. In this regard, the Board will continue to evaluate and determine the training needs of its Directors on an ongoing basis.

The training programmes, conference and seminars attended by the Directors during the financial period ended 2010 were, *inter alia*, on areas relating REITs, corporate leadership and governance, professional development, risk management and financial and tax issues, the details of which are listed below:

- Mandatory Accreditation Programme by Bursatra Sdn. Bhd.
- Strategic Islamic Finance by PNB Investment Institute Sdn. Berhad
- MIDF Investment Forum 2010 at Kota Kinabalu, Sabah

COMMUNICATION WITH UNITHOLDERS

Dialogue Between Companies and Investors

Companies and institutional unitholders should each be ready, where practicable, to enter into a dialogue based on the mutual understanding of objectives.

The Listing Requirements require that a listed entity discloses to the public all material information necessary for informed investing. In line with the disclosure obligations of CMMT, the Board's policy is to inform unitholders, in a timely manner, of all major developments that impact CMMT. During the period, a continuous disclosure process was in place to ensure that compliance with such obligations was constantly adhered to.

CMMT believes that it should engage in regular, effective, unbiased and transparent communication with unitholders. The Manager communicates information on CMMT to unitholders and the investing community through announcements that are released to the Bursa Malaysia via Bursa LINK. Such announcements include the quarterly and full-year results, material transactions,

and other developments relating to CMMT requiring disclosure under the corporate disclosure policy of Bursa Malaysia. Communication channels with unitholders are also made accessible via:

- Media and analysts' briefings.
- One-on-one/group meetings or conference calls, investor luncheons, local/overseas roadshows and conferences.
- Annual reports.
- Press releases on major developments of CMMT.
- Notices of, and explanatory memoranda for, extraordinary general meetings (EGMs).
- CMMT's website at www.capitamallsmalaysia.com (An email alerts option is available to subscribers who wish to be notified of newly posted announcements, press releases, presentations and publications).

With the majority of units in CMMT held by institutional investors, the Manager considers meetings with local and foreign fund managers an integral part of investor relations. During the period under review, the Manager met with institutional investors from Singapore, Hong Kong, Japan, the United Kingdom and various European countries. These meetings and roadshows with investors enabled the Manager to update potential and current unitholders on CMMT's significant developments and its medium to long term strategies. CMMT also participates in various local and overseas conferences as part of its efforts to build interest in the Malaysia REIT market. The Manager will continue to pursue opportunities to educate and keep retail investors informed of the latest developments in the Malaysia REIT industry, through relevant seminars and conferences.

Unitholders and potential stakeholders have 24-hour access to CMMT's website for information on CMMT's major developments, property descriptions, announcements and other corporate information.

CMMT's unit price information (15 minutes lag-time) is also made available on the website. In addition, the public can pose questions via a dedicated 'Ask Us' email address, and have their queries addressed accordingly. Also available on the website is an archive of CMMT's announcements, press releases, annual reports and

operational details. The latest information is posted on the website as soon as it is released to the Bursa Malaysia and the media.

All unitholders are sent a copy of the CMMT's annual report. As and when an EGM of the unitholders is to be held, each unitholder is sent a copy of a circular to unitholders which contains details of the matters to be proposed for unitholders' consideration and approval.

Notices for the general meetings of unitholders setting out all items of business to be transacted at the general meeting, are also announced on Bursa LINK and advertised in the newspapers. Members of the Board, the Manager's senior management and the external auditors of CMMT are in attendance at such general meetings, and unitholders are given the opportunity to air their views and ask questions regarding the matters to be tabled at the general meetings. A unitholder is allowed to appoint one proxy, and in certain cases, two proxies, to attend and vote at the general meetings in his/her stead.

ACCOUNTABILITY AND AUDIT

Internal Control

The board should maintain a sound system of internal control to safeguard shareholders' investment and the company's assets.

The Manager has put in place a system of internal control and a set of procedures and processes to safeguard the assets of CMMT, interest of unitholders as well as to manage risk.

Relationship with Auditors

The board should establish formal and transparent arrangements for maintaining an appropriate relationship with the company's auditors.

The Board has established a formal and transparent arrangement for maintaining an appropriate relationship with the auditors of CMMT. CMMT's auditors report to members of the Board on their findings, which are included as part of CMMT's financial reports with respect to each year's audit on the statutory financial statements. From time to time, the auditors highlight matters that require attention to the Board of Directors.

OTHERS

Dealings with Related Parties

Review Procedures for Related Party Transactions

The Manager has established internal control procedures to ensure that all transactions involving the Trustee and a related party of the Manager (Related Party Transactions) are undertaken in compliance with the REITs Guidelines, the Deed and the Listing Requirements on an arm's length basis and on normal commercial terms, which are generally no more favourable than those extended to unrelated third parties. The Manager has adopted a set of approval/authority limits when dealing with related parties as follows:

- Transactions (either individually or as part of a series or if aggregated with other transactions involving the same related party during the same financial year) equal to or exceeding RM 250,000 in value but below 0.25% of the total asset value of CMMT will be subject to review of the Audit Committee; and
- Transactions (either individually or as part of a series or if aggregated with other transactions involving the same related party during the same financial year) equal to or exceeding 0.25% but below 5.0% of the total asset value of CMMT will be subject to review and approval of the Audit Committee.
- Transactions (either individually or as part of a series or if aggregated with other transactions involving the same related party during the same financial year) equal to or exceeding 5.0% of the total asset value of CMMT will be subject to review and approval of the Audit Committee which may as it deems fit request advice on the transaction from independent sources or advisors.

Where matters concerning CMMT relate to transactions entered into, or to be entered into, by the Trustee for and on behalf of CMMT with a related party of the Manager, the Trustee is required to ensure that such transactions are conducted on normal commercial terms, and will not be prejudicial to the interest of CMMT and unitholders, and in accordance with the relevant provisions of the REITs Guidelines, the Deed and the Listing Requirements.

In dealing with any Related Party Transactions, it is the Manager's policy that all related party transactions carried out by or on behalf of CMMT should be:

- Carried out on an arm's length basis and on normal commercial terms.

- In the best interest of unitholders of CMMT.
- Adequately disclosed to the unitholders of CMMT.
- In relation to a real estate transaction:
 - o Consented by the Trustee;
 - o Consistent with the investment objective and strategy of CMMT; and
 - o Transacted at a price that is equivalent to the value stated in the valuation report.

Acquisition/disposal may be transacted at a price other than as per the valuation report PROVIDED THAT (a) the acquisition price is not more than 110% of the value assessed in the valuation report; (b) the disposal price is not less than 90% of the value assessed in the valuation report; and (c) the Trustee provides written confirmation that the transaction is based on normal commercial terms, at arm's length, and not prejudicial to unitholders' interest.

The Manager and Trustee must determine whether the prior approval of unitholders by way of an ordinary resolution is required. Where the transaction value with related parties in relation to a real estate transaction (a) is equal to or greater than 5% of the total asset value of CMMT (after acquisition), the prior approval of the unitholders by way of an ordinary resolution is required; or (b) does not exceed 5% of the total asset value of CMMT (after acquisition), the Trustee must provide a written confirmation that the transaction is based on normal commercial terms, at arm's length, and not prejudicial to the unitholders' interests.

Role of the Audit Committee for Related Party Transactions

All Related Party Transactions are subject to regular periodic reviews by the Audit Committee. The Manager's internal control procedures are intended to ensure that Related Party Transactions are conducted at arm's length and on normal commercial terms and are not prejudicial to unitholders' interests. The Manager maintains a register to record all Related Party Transactions which are entered into by CMMT (and the basis, including the quotations obtained to support such basis, on which they are entered into). The Manager then incorporates into its internal audit plan a review of all Related Party Transactions entered into by CMMT. The Audit Committee reviews the internal audit reports to ascertain that the guidelines and procedures established to monitor Related Party Transactions have been complied with.

The Audit Committee periodically reviews Related Party Transactions to ensure compliance with the internal control procedures and the relevant provisions of the REITs Guidelines, the Deed and the Listing Requirements. The review includes the examination of the nature of the transaction and its supporting documents or such other data deemed necessary by the Audit Committee. If a member of the Audit Committee has an interest in a transaction, he/she is to abstain from participating in the review and approval process in relation to that transaction.

Details of all Related Party Transactions entered into by CMMT during the financial period are disclosed on page 124 of this Report.

Dealings with Conflicts of Interest

The following procedures have been established to deal with potential conflicts of interest which the Manager (including its Directors, executive officers and employees) may encounter in managing CMMT:

- The Manager will be a dedicated manager to CMMT and will not manage any other REIT or be involved in any other real property business.
- All executive officers of the Manager will be employed by the Manager.
- All resolutions at meetings of the Board of Directors of the Manager in relation to matters concerning CMMT must be decided by a majority vote of the Directors, including at least one Independent Director who does not have any interest, direct or indirect in the matter which is subject to the resolutions concerned.
- In respect of matters in which CMA and/or its subsidiaries have an interest, direct or indirect, any nominees appointed by CMA and/or its subsidiaries to the Board will abstain from voting.
- If the Manager is required to decide whether or not to take any action against any person in relation to any breach of any agreement entered into by the Trustee for and on behalf of CMMT with an affiliate of the Manager, the Manager shall be obliged to consult with a reputable law firm (acceptable to the Trustee) which shall provide legal advice on the matter. If the said law firm is of the opinion that the Trustee, on behalf of CMMT, has a *prima facie* case against the party allegedly in breach under such agreements, the Manager is obliged to pursue the appropriate remedies under such agreements. The

Directors of the Manager will have a duty to ensure that the Manager complies with the aforesaid. Notwithstanding the foregoing, the Manager shall inform the Trustee as soon as it becomes aware of any breach of any agreement entered into by the Trustee for and on behalf of CMMT with an affiliate of the Manager, and the Trustee may take such action as it deems necessary to protect the rights of unitholders and/or which is in the interests of unitholders. Any decision by the Manager not to take action against an affiliate of the Manager shall not constitute a waiver of the Trustee's right to take such action as it deems fit against such affiliate.

- The Board shall comprise at least one-third of the Independent Directors.

The Directors of the Manager are under a fiduciary duty to act in its best interests in relation to decisions affecting CMMT when they are voting as members of the Board. In addition, the Directors and executive officers of the Manager are expected to act with integrity and honesty at all times.

In addition, the Manager and the Trustee have been granted a right of first refusal (ROFR) by CMA where:

- For so long as the Manager shall remain the manager of CMMT and a subsidiary of CMA, neither CMA nor any subsidiary of CMA, will (a) purchase any relevant retail property which CMA and/or its subsidiaries may identify and target for acquisition in the future without granting the ROFR to CMMT to purchase such relevant retail property at the offer price and based on the terms and conditions as proposed to the relevant member of CMA and its subsidiaries, subject to various procedural requirements, including notice provisions, as set out in the letters of undertakings; or (b) sponsor or act as the manager or, another REIT or any listed company in Malaysia that competes or will compete for the acquisition of relevant retail property, save that (a) and (b) shall not be applicable to any relevant retail property which is the subject matter of any of the following:
 - o Joint venture or proposed joint venture with CMA and/or its subsidiaries and any third party or parties; or
 - o A proposal made exclusively available to CMA and/or its subsidiaries; or
 - o A fund or proposed fund managed by CMA and/or its subsidiaries.

- In the event CMA should sponsor a Malaysian retail property fund for the acquisition and/or development of relevant retail property, CMA shall endeavour to procure such fund to grant CMMT a ROFR in relation to any relevant retail properties of which the fund wishes to dispose.

This undertaking has the effect of limiting the ability of CMA from undertaking or participating in certain business activities, as described above.

RISK ASSESSMENT AND MANAGEMENT OF BUSINESS RISK

Effective risk management is a fundamental part of CMMT's business strategy. Recognising and managing risk is central to the business and to protecting unitholders' interests and value. CMMT operates within overall guidelines and specific parameters set by the Board. Each transaction is comprehensively analysed to understand the risk involved. Responsibility for managing risk lies initially with the operation unit concerned, working within the overall strategy outlined by the Board.

The Manager's focus on risk management recognises that risk management is, *prima facie*, an issue for management. The risk management framework supports this focus but provides a structured context for those personnel to undertake a half-yearly review of the past performance of, and to profile the current and future risks facing their areas of responsibility.

This risk information is consolidated and used as key input into the corporate strategy sessions attended by management and the Property Manager. Such sessions are held regularly to review CMMT's strategic direction in detail, and include specific focus on the identification of key business and financial risks which could prevent CMMT from achieving its objectives. Management is then required to ensure that appropriate controls are in place to effectively manage those risks, and such risks and controls are monitored by the Board on a regular basis. The internal audit plan is developed in conjunction with the risk management programme and is focused on ensuring the operation of internal controls and assessing the effectiveness and efficiency of the control environment.

The Board generally meets quarterly, or more often if necessary to review the financial performance of the Manager and CMMT against a previously approved budget. The Board also reviews the risks to the assets of CMMT and acts upon any comments by the auditors of CMMT. In assessing business risk, the Board considers

the economic environment and the property industry risk. The Board and its Executive Committee review and approve all investment decisions. Management meets regularly to review the operations of the Manager and CMMT and discuss continuous disclosure issues.

The Manager has determined that significant risk for CMMT will most likely arise when making property investment decisions. Accordingly, the Manager has established procedures to be followed when making such decisions. In accordance with this policy, the Board requires comprehensive due diligence to be carried out in relation to the proposed investment and a suitable determination is made as to whether the anticipated return on investment is appropriate, having regard to the level of risk.

DEALINGS IN SECURITIES

The Manager adopts best practices and issues guidelines to its Directors and employees which prohibit dealings in CMMT's units while in possession of material unpublished price-sensitive information. Under these guidelines, the Directors and employees of the Manager are prohibited from dealing in CMMT's units during the period commencing on and from 30 calendar days prior to the targeted date of announcement of CMMT's quarterly results to the Bursa Malaysia, up to one full market day after the announcement of CMMT's quarterly results. In addition, if any of such affected persons deal in CMMT's units during closed periods under the Listing Requirements, they are required to comply with the conditions as set out in Rule 14.08 of the Listing Requirements. They are also made aware of the applicability of the insider trading laws at all times, which may impose stricter requirements than the Manager's guidelines.

WHISTLE-BLOWING

The Audit Committee has put in place procedures to provide employees of the Manager with well defined and accessible channels to report on suspected fraud, corruption, dishonest practices or other similar matters relating to CMMT and the Manager, and for the independent investigation of any reports by employees and appropriate follow up action. The aim of the whistle-blowing policy is to encourage the reporting of such matters in good faith, with the confidence that employees making such reports will be treated fairly, and to the extent possible, be protected from reprisal. On an ongoing basis, the whistle-blowing policy is covered during staff training to promote fraud awareness.

STATEMENT ON INTERNAL CONTROL

INTRODUCTION

Paragraph 15.26(b) of the Listing Requirements of Bursa Securities requires the board of directors of any given publicly listed company to include in its annual report a 'statement about the state of internal control of the listed issuer as a group.' Although CMMT is a REIT, and not required to comply with Paragraph 15.26(b), the Board of Directors of the Manager has voluntarily adopted the relevant corporate governance disclosure under this section of the Listing Requirements.

As part of Manager's corporate governance framework for CMMT, an internal audit function has been established and internal audit services have been procured from CMA. CMMT's full corporate governance framework is set out on pages 31 to 42. These efforts, and the inclusion of this Statement on Internal Control in CMMT's annual report, demonstrate the Board's recognition that strong corporate governance has been and is a key priority and that an effective corporate governance culture is critical to the Manager's performance and consequently to the success of CMMT. The Board is committed to maintaining a sound system of internal control with a view to safeguard the interests of CMMT's unitholders, assets and investments and to provide the following statements, which outline the nature and scope of internal control of the Manager during FP2010.

BOARD'S RESPONSIBILITY

In discharging the Board's principal responsibilities, the Board assumes the responsibility for the system of internal controls and risk management, as set out by the Manager for CMMT. The Board is responsible for the adequacy and integrity of the system of internal controls and risk management. It is an essential part of the Board's responsibilities to identify principal risks, ensure that appropriate systems and policies are in place to manage these risks and to review the adequacy and integrity of such internal controls system and policies. However, the Board acknowledges that this system of internal controls is designed to manage rather than eliminate the risk of failure to achieve the policies and business objectives of CMMT. It therefore can only provide reasonable and not absolute assurance against material misstatements, losses or fraud.

In order to mitigate any potential loss of value of unitholders' investment in CMMT, the Board has established strategies and procedures for identifying principal risks when making property investment decisions for CMMT. The Board also considers the changes during the period under review, in particular the business and economic environment as well as property industry risk, to ensure that there are appropriate policies and processes to manage any such potential risk when making property investment decisions and to consider CMMT's ability to respond to such changes.

The Board defines the processes to be adopted for its review of the adequacy and integrity of internal control. This includes both the scope and frequency of the reports it receives and reviews during the period and for such reports to be accompanied and supported with sound and appropriately assessed documents. The Board's assessment of the adequacy and integrity of CMMT's system of internal control includes identifying any significant failings or weaknesses in internal control and whether necessary actions are being taken promptly to remedy any such significant failings or weaknesses.

KEY INTERNAL CONTROL PROCESSES

The key internal control processes of CMMT's system of internal control that have been in place for FP2010 under review include the following:

- Risk management is evidenced by the risk management framework that has been setup under an operational manual. These operational procedures provides a structure and framework in managing and assessing risk which includes, amongst others, policies and procedures for the acquisition of property, financial and operational reporting, continuing listing and compliance obligations. The operational manual is subject to periodic review and provides a structured context for the Manager and its personnel to review their past performance and to profile the current and future risks facing their area of responsibility;

Statement on Internal Control

- The Board has adopted a set of internal controls which sets out the approval/authority limits for operating and capital expenditure, investments and divestments, bank borrowings, lease renewals, marketing and other operational matters. Only authorised signatories are empowered to make payments on behalf of the Manager or CMMT. The Board approves transactions exceeding certain threshold limits, while delegating authority for transactions below those limits to Board committees. Appropriate delegation of authority is also provided at the management level to facilitate operational efficiency. Further, the Board and its committees operate within defined terms of reference with delegation of responsibilities set out;
- Internal control procedures are established to ensure that related party transactions are undertaken in compliance with the REITs Guidelines, the Listing Requirements and the Deed and are carried out on an arm's length basis and on normal commercial terms, which are in the best interest of CMMT's unitholders. The Manager incorporates into its annual internal audit plan a review of all related party transactions. These established procedures are further explained in pages 40 and 41;
- Policies, guidelines and processes are established for dealing with any potential conflicts of interest. This is explained in further detail on pages 41 and 42. In order to deal with any potential conflict of interest situations that may arise, the Manager's policy is that any such transactions carried out for and on behalf of CMMT are to be executed on terms that are the best available to CMMT and which are no less favourable to CMMT than on arm's length transactions between independent parties; and
- The Audit Committee has put in place a whistle-blowing policy to provide employees of the Manager with procedures and accessible channels to report suspected fraud, corruption, dishonest practices or other similar matters relating to CMMT and

the Manager and for independent investigation of any reports by employees and appropriate follow up action. This whistle-blowing policy has been established to promote fraud awareness and to encourage the reporting of such matters in good faith, with the confidence that employees making such reports will be treated fairly and, to the extent possible, protected from reprisals.

The key processes that have been established to review the adequacy and integrity of the ongoing internal control systems include the following:

- The Manager has an internal audit function, which is provided by CMA, which reports directly to the Audit Committee its findings and is independent from the Manager's management team. The principal role of the internal audit function is to conduct reviews of the system of internal control of CMMT and to report on the effectiveness and efficiency of the operations, risk management and internal controls, highlighting to the Audit Committee significant findings in cases of non-compliance, if any.

The scope of the internal audit function for FP2010 under review entailed the following:

- o Preparing an annual internal audit plan for 2011;
- o Reviewing related party transactions and presentation of the findings of the review to the Audit Committee;
- o Providing an update to the Audit Committee on the key findings and recommendations arising from internal control reviews carried out by CapitaLand Limited's internal audit team for 2009 and 2010 prior to the listing of CMMT;
- o Reviewing the operational audit report conducted by BDO Governance Advisory Sdn Bhd, which is a requirement of Securities Commission Malaysia; and
- o Investigating various matters when required and as directed by the Audit Committee.

Statement on Internal Control

The Board is satisfied that CMMT's internal controls are adequate.

- The Audit Committee reviews, monitors and evaluates the effectiveness and adequacy of CMMT's internal controls and financial and risk management issues raised by the external and internal auditors, regulatory authorities and management. The review includes reviewing written reports from the internal and external auditors, to ensure that where deficiencies in internal controls have been identified, appropriate and prompt remedial action is taken by management. The Audit Committee also convenes meetings with external auditors, internal auditors, or both excluding the attendance of the other Directors and management/employees of the Manager (where necessary). In addition, the Audit Committee reviews the adequacy of the scope, functions and competency of the internal audit function. The Audit Committee also reviews and evaluates the procedures established to ensure compliance with applicable legislation, the Listing Requirements and the REITs Guidelines;
- On a quarterly basis the management team of the Manager prepares a management report for the Board to:
 - o Explain any major variation in CMMT's financial results against the budget approved by the Board, which mirrors the forecast stated in CMMT's initial public offering prospectus;
 - o Inform it of the status of major asset enhancement works carried out on the properties and whether the cost, scope and timing of such works are in accordance with the said prospectus, and;
 - o Provide an update on other operational matters.

THE BOARD'S COMMITMENT

The Board remains committed towards maintaining a sound system of internal control and believes that CMMT's business objectives and operational efficiency can be achieved. The Board is of the view that no material losses were incurred during FP2010 as a result of weaknesses in internal control. CMMT continues to take measures to strengthen the internal control environment.

CONCLUSIONS

The Board is of the view that the systems of internal controls in place for FP2010 under review and up to the date of issuance of the annual report and financial statements is sound and sufficient to safeguard the interests of CMMT's unitholders, assets and investments.

RISK AND CAPITAL MANAGEMENT

RISK MANAGEMENT

Effective enterprise-wide risk management is a fundamental part of the Manager's business strategy for CMMT. Potential risks are identified and controls to mitigate these risks are established to protect unitholders' interests and the value of CMMT. The key risks and control measures are described below.

Operational Risk

To mitigate and manage operational risks, the Manager has integrated risk management into the day-to-day activities across all functions. Risk management includes the establishment of planning and control systems and guidelines, information technology control systems, and operational reporting and monitoring procedures involving the Executive Management Committee and Board of Directors. The risk management system is regularly monitored and examined to ensure effectiveness.

The risk management framework is designed to ensure appropriate processes and procedures are in place to prevent, manage and mitigate any operational risk.

Investment Risk

The main sources of growth for CMMT are the acquisition of properties and asset enhancement initiatives. The risks involved in such investment activities are managed through a rigorous set of investment criteria which includes yield accretion, market catchment, rental sustainability, growth potential and fit within CMMT's portfolio. The assumptions underlying financial projections are carefully reviewed and a sensitivity analysis is conducted on key variables.

The potential risks associated with proposed projects and the issues that may prevent their smooth implementation or projected outcomes are identified at the evaluation stage. This enables the Manager to determine actions that need to be taken to manage or mitigate risks as early as possible.

Interest Rate Risk

CMMT's exposure to changes in interest rates relates primarily to interest-bearing borrowings. Interest rate risk is managed on an ongoing basis with the primary objective of limiting the extent to which interest expense could be affected by adverse movements in interest rates. To reduce CMMT's exposure to increases in interest rates, the Manager has locked in a proportion of CMMT's borrowings at fixed interest rates. As at 31 December 2010, 70.0% of CMMT's borrowings are based on fixed rates. There is no immediate refinancing risk as the tranches of CMMT's term loan have tenures of five and seven years.

Currency Risk

As the assets of CMMT are currently based in Malaysia, there is little or no foreign exchange exposure from operations. CMMT borrows in Malaysia Ringgit from domestic banks.

Credit Risk

Credit risk is the potential earnings volatility caused by tenants' inability and/or unwillingness to fulfill their contractual lease obligations, as and when they fall due. There is a stringent collection policy in place to ensure that credit risk is minimised. Other than the collection of security deposits, which typically amounts to an average of three months' rent in the form of cash or bankers' guarantee, CMMT also has vigilant monitoring and debt collection procedures. Debt turnover of CMMT as at 31 December 2010 was approximately 20 days.

Liquidity Risk

The Manager actively monitors CMMT's cash flow position to ensure that there are sufficient liquid reserves in terms of cash and credit facilities to finance CMMT's operations. The Manager diligently monitors and observes bank covenants for borrowings.

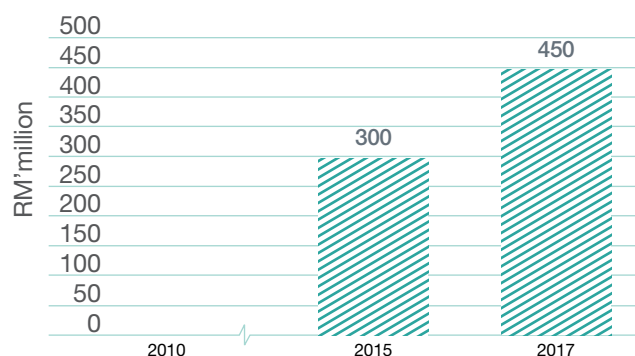
CAPITAL MANAGEMENT

In conjunction with the listing of CMMT, the Manager obtained financing from a local bank with a term loan facility of up to a principal amount of RM750.0 million for the purpose of financing the acquisition of the properties, namely Gurney Plaza, an interest in Sungei Wang Plaza and The Mines, and it also obtained a revolving credit facility and a bank guarantee facility with a combined limit of up to a principal amount of RM61.0 million. As at 31 December 2010, CMMT had drawn down RM750.0 million for the acquisition and RM3.0 million for the bank guarantee facility, leaving an unutilised credit limit of RM58.0 million.

The total borrowings of CMMT as at 31 December 2010 was RM750.0 million, which equates to a gearing level of 33.6%. The average cost of borrowing for CMMT for FP2010 was approximately 4.7% per annum.

Debt Maturity Profile

The loan maturity profile for CMMT as at 31 December 2010 was as follows:



As at 31 December 2010, 40.0% or RM300.0 million of CMMT's borrowing will mature in 2015 and 60.0% or RM450.0 million will mature in 2017. The Manager of CMMT will continue to adopt a rigorous and focused approach to capital management. The Manager's capital management strategy involves adopting and maintaining an appropriate aggregate leverage level to ensure optimal returns to unitholders, while maintaining flexibility in respect of future capital expenditures or acquisitions.

Cash Flows And Liquidity

The Manager takes a proactive role in monitoring its cash and liquid reserves to ensure adequate funding is available for distribution to the unitholders as well as to meet any short-term liabilities.

Cash And Cash Equivalent

Between the date of establishment of CMMT on 7 June 2010 and 31 December 2010, the cash balance of CMMT increased by RM127.4 million. The increase was mainly due to RM131.6 million cash inflow from operating activities and RM749.9 million cash inflow from financing activities, partially offset by RM754.1 million cash outflow from investing activities.

The most significant cash inflows from financing activities were the proceeds from interest bearing borrowings of RM750.0 million and proceeds from the issuance of new units of RM21.6 million, which were partially offset by payment of issue and financing expenses of RM14.9 million. These financing activities all took place at listing. The cash outflow from investing activities was mainly due to the acquisition of investment properties of RM750.0 million, investment in plant and equipment of RM1.4 million and capital expenditure on investment properties of RM3.7 million, which were partially offset by interest received of RM1.0 million.

ACCOUNTING POLICIES

The financial statements have been prepared in accordance with the provisions of the Deed, the REITs Guidelines, applicable Financial Reporting Standards and accounting principles generally accepted in Malaysia. These financial statements also comply with the applicable disclosure provisions of the Listing Requirements.

HUMAN CAPITAL



Staff team-building event

People are our greatest asset and it is their passion, professionalism, talent and commitment that form the backbone of our success. Recognising that people make the ultimate difference in the success of our business, we have adopted an integrated human capital strategy to recruit, retain, develop and motivate employees.

TALENT MANAGEMENT STRATEGY

The Manager continually seeks outstanding talent both internally and externally to strengthen the management bench and to support the growth in Malaysia. As part of the Manager's talent management strategy, talented individuals are recruited at different points in their careers, from fresh graduates to young, mid-career professionals and industry veterans.

The Manager is committed to staff development and life-long learning. A comprehensive development programme has been developed for all employees to enable them to acquire the relevant knowledge and skills to perform at their best. This encompasses sponsorship of diplomas, degrees, masters and executive development programmes, as well as rotations across different malls or functions to gain exposure and learn new skills.

At the core of each development programme is a three-day local orientation programme for new hires. Many new hires also attend the five to ten days immersion programmes organised by CMA in Singapore. Such programmes give new hires insights into the Manager's business operations, strategies, core values and management philosophy. They also help them integrate into the Manager's culture and become versed in systems rapidly and effectively. In addition, local training providers are engaged to provide employees with a wide range of professional and personal development courses in areas such as communication, innovation, finance, management and leadership development.

Overseas study visits are an important development tool as they enable employees to widen their exposure and gain insights into overseas retail mall management and unique retail concepts. In 2010, selected employees went on study trips to Singapore, Australia and Japan.

This comprehensive and systematic approach to staff development enables the Manager to groom talent to drive and support CMMT's business growth and operations in Malaysia.

COMPETITIVE COMPENSATION AND BENEFITS

Employees are motivated and rewarded with comprehensive and competitive compensation and benefits which are contingent on them achieving performance targets. The incentive plan includes both short-term cash bonuses and long-term equity-based rewards, with the latter in the form of a restricted performance-based share plan. Regular benchmarking across markets and innovation in compensation strategies ensure that the Manager remains competitive and continues to attract and retain talent.

PEOPLE ENGAGEMENT PROGRAMME

Beyond providing employees with exciting and challenging careers, the Manager believes that it is equally important to cultivate an open work culture that facilitates communication and teamwork and promotes the open exchange of ideas.

In line with this staff engagement strategy, senior management conducts regular staff communication sessions to share key financial results and strategic business thrusts and to encourage staff to pose questions and articulate their views and ideas.

CARING FOR PEOPLE – TOTAL WELL BEING

Key to the Manager's human resource management philosophy is the total wellness of employees. Workplace total wellness initiatives in 2010 included regular talks and outdoor recreational and team building activities such as a badminton tournament, bowling tournaments, white water rafting and offsite staff gatherings. Such activities promote team bonding and work-life balance.

INVESTOR AND MEDIA RELATIONS

Effective and regular engagement with the investment community is an essential part of any corporation. We believe in engaging and communicating information to stakeholders on a timely, consistent and accurate basis.

INVESTOR AND MEDIA ENGAGEMENT

The media and investment community is engaged through news releases, media and analyst briefings, one-on-one meetings, conferences, roadshows, site visits and email alerts. CMMT's corporate website is the main avenue through which investors and the general public can obtain the latest announcements as soon as they are released to Bursa Malaysia.

Such announcements include quarterly results, material transactions and other developments relating to CMMT. General corporate information such as property descriptions, annual reports and investor presentations are also updated regularly on the website for investors and the general public. Real-time information relating to CMMT's unit price performance is also available. The general public can also post questions to CMMT via an 'Ask Us' email and queries are answered accordingly.

Mall tours are conducted occasionally for analysts and investors who are keen to visit CMMT's properties to enhance their understanding of the respective mall's positioning, tenant mix and operations, as well as any asset enhancement initiatives that have been, or are about to be, implemented.

The key events in CMMT's 2010 investor and media relations calendar are as follows:

Date	Event
28 Jun	Launch of CMMT's initial public offering prospectus and the retail offering
13 Jul	Engagement with Hong Leong remisiers, Kuala Lumpur
15 Jul	Engagement with Kenanga remisiers, Kuala Lumpur
21 Jul	Engagement with CIMB Private Banking clients, Kuala Lumpur
16 Aug	Engagement with Hwang-DBS remisier, Penang
27 Aug	Daiwa REIT Day, Tokyo
1 Sep	UBS ASEAN-India Conference, Singapore
10 Nov	Engagement with CIMB retail investors, Selangor
25 Nov	CMA Investor Open Day, Singapore

UNIT PRICE PERFORMANCE

CMMT's unit price has performed well, increasing from RM0.98 at listing to RM1.12 at 30 December 2010, which represents a 14.3% gain. At the end of 2010, CMMT's unit price was trading at an 8.7% premium above its NAV (after income distribution) of RM1.03. Since listing, CMMT has also been included in the FTSE indices.

CMMT's trading volume has averaged at 1.7 million units per day, which is a healthy level of investor interest in Malaysia. During FP2010, CMMT's unit price performance was in line with its performance benchmarks, namely the FTSE Bursa Malaysia Kuala Lumpur Composite Index (KLCI) and FTSE Bursa Malaysia EMAS Index.

TRADING DATA IN FP2010

Highest (RM per unit)	1.140
Lowest (RM per unit)	0.975
Average Closing (RM per unit)	1.071
Last Done (RM per unit)	1.120
Trading Volume (million units)	196.1

UNITHOLDERS' ENQUIRIES

If you have any enquiries or would like to find out more about CMMT, please contact:

Ms Low Peck Chen

Manager, Finance

Mr Lee Hui Yeow

Head, Finance and Compliance

Mr Lim Seng Jin

Corporate Communications

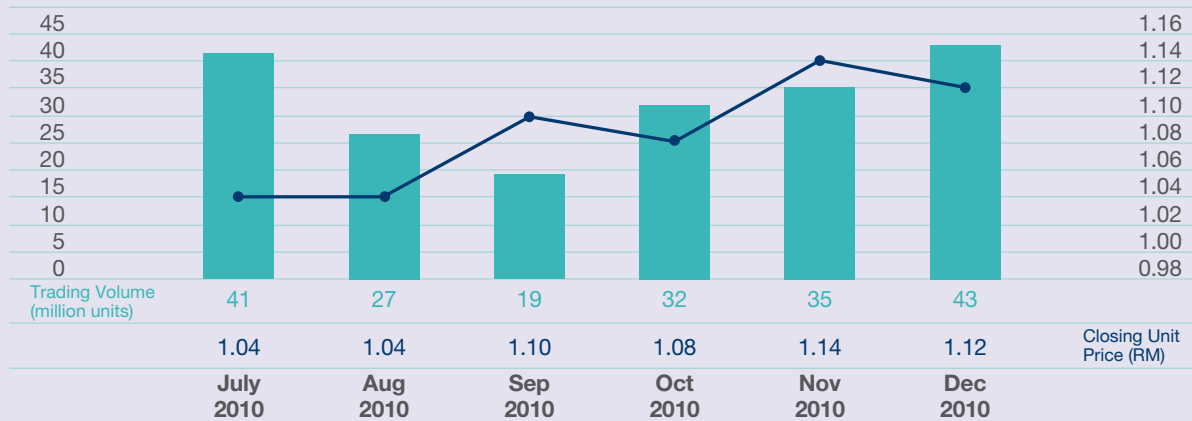
Telephone No.: +60 3 2279 9888

Facsimile No.: +60 3 2279 9889

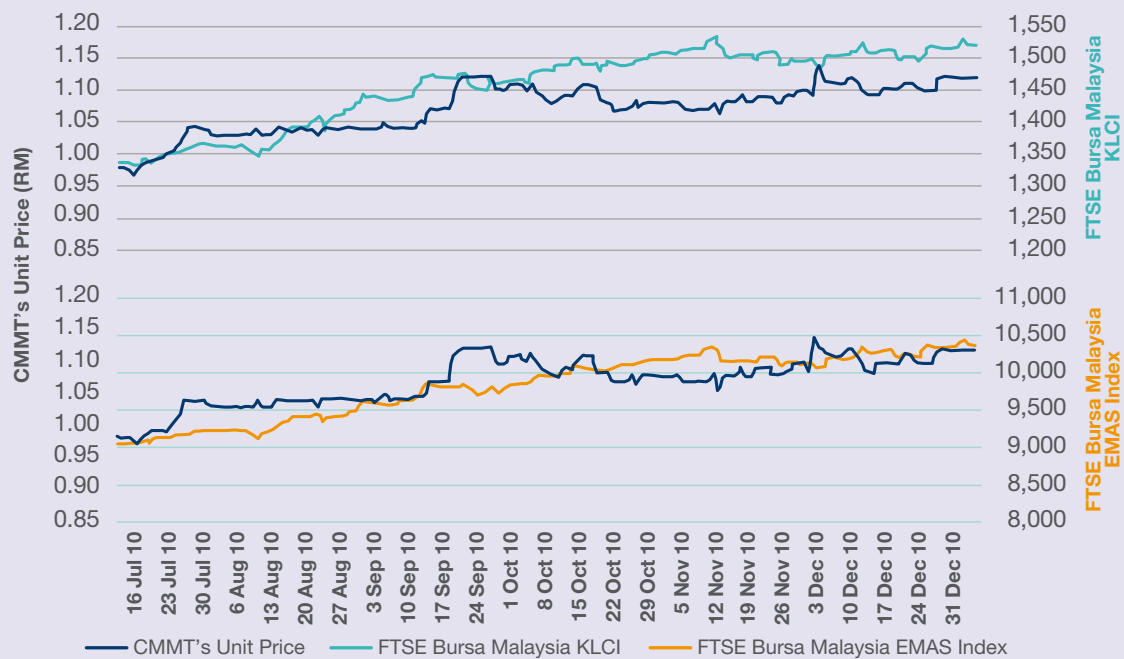
Email: ask-us@capitamallsmalaysia.com

Website: www.capitamallsmalaysia.com

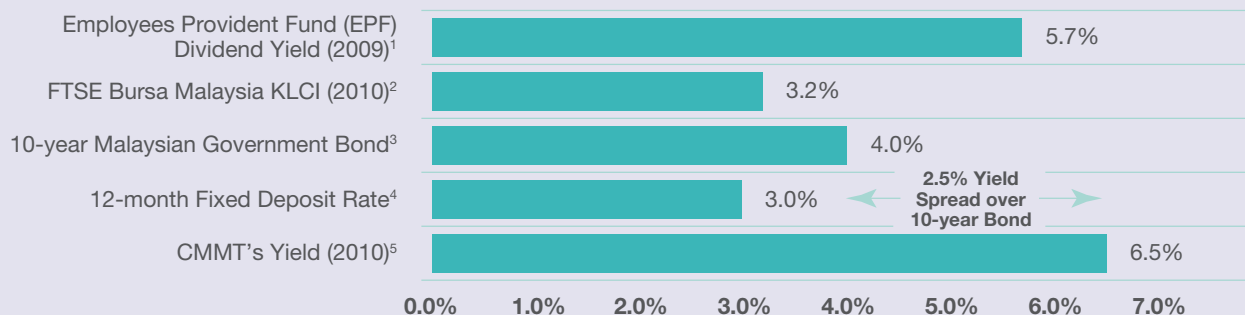
CMMT's Monthly Trading Performance in 2010



CMMT's Unit Price Versus Performance Benchmarks



Comparative Yields



¹ Employees Provident Fund (EPF) Dividend Yield for 2009, as announced on 5 March 2009 (Source: EPF website)

² Dividend Yield of FTSE Bursa Malaysia KLCI as at 31 December 2010 (Source: Bloomberg)

³ 10-year Malaysian Government Bond as at 31 December 2010 (Source: Bloomberg)

⁴ Average 12-month Fixed Deposit Rate (RM) as at 31 December 2010 (Source: Bloomberg)

⁵ Based on the annualised DPU of 7.26 sen for FP2010 and the closing unit price of RM1.12 on 30 December 2010.

CORPORATE SOCIAL RESPONSIBILITY



Sungei Wang Plaza Christmas charitable programme for the children from Our Family Home in Kajang

‘Doing well by doing good.’ This is the essence of corporate social responsibility (CSR) and we are firm believers in this philosophy. We are committed to being a good corporate citizen by operating in an economically, socially and environmentally sustainable manner whilst balancing stakeholders’ interests.

As CSR encompasses ‘people, planet and profit’, many of its facets are covered throughout this annual report. The Manager’s efforts in philanthropy and volunteerism, as well as environment, health and safety, are described below.

PHILANTHROPY AND VOLUNTEERISM

The Manager recognises the importance of giving back to the community and partners with various organisations to hold civic and community events within CMMT’s malls. The Manager also promotes volunteerism by organising humanitarian events that staff can volunteer in and providing three days of volunteer leave per year for each employee.

Gurney Plaza

In June 2010, the team at Gurney Plaza invited underprivileged children from the Salvation Army and Children’s Protection Society for the event, ‘Children’s Day Out @ Gurney Plaza’. Each child was given vouchers to shop at the stationery and toys department of Parkson department store. The day ended with a meal at Pastamania and a movie screening of ‘Toy Story 3’ at Golden Screen Cinemas.

In November 2010, 40 underprivileged children from the shelter homes Rumah Seri Cahaya and House of Hope were invited to Gurney Plaza for a complimentary eye and medical check-up. Medical officers from Loh Guan Lye Hospital conducted the medical check-up, whilst tenant Pro Eyes conducted eye examinations. 15 children with poor eye sight were given spectacles. The children also received complimentary gift packs, which included Rotiboy buns and Vitagen, and new haircuts.



Staff members and volunteers from The Mines visiting children at the shelter home Yayasan Sunbeams in Cheras

Sungei Wang Plaza

Sungei Wang Plaza also hosted a number of fund raising campaigns for the victims of the Haiti earthquake in January and February 2010.

Sungei Wang Plaza has been the venue sponsor for the 'KLM Annual Charity Tulip Sale' for 12 consecutive years. The event, which was held in May 2010, was graced by the newly appointed Ambassador of the Royal Netherlands Embassy to Malaysia, H.E. Lody Embrechts. The proceeds raised were donated to the Children's Cancer Fund at the Universiti Malaya Medical Centre.

In November 2010, the tenth 'World AIDS Day', which was jointly organised by the Malaysia AIDS Council and PT Foundation, was held at Fiesta Street of Sungei Wang Plaza. The event was a platform to educate members of the public and create awareness regards to AIDS and the associated risks.

As part of Sungei Wang Plaza's Christmas charitable programme 28 underprivileged children from Our Family Home in Kajang were treated to Christmas gifts from Watsons, goody bags from Sungei Wang Plaza

Management Corporation, lunch at Bistro Delifrance and complimentary haircuts and were also entertained by cheerleading performances.

Sungei Wang Plaza's philanthropic activities are spearheaded by the Sungei Wang Plaza Management Corporation team.

The Mines

At The Mines, children from the shelter homes Gereja Charis Puchong and Persatuan Kebajikan Ti-Ratana were invited for a meet-and-greet session with the movie characters from the film 'Despicable Me'. Donations were made to both homes and the children were presented with goody bags containing stationery and accessories.

In conjunction with Christmas festivities, over 40 volunteers from the team at The Mines visited shelter home Yayasan Sunbeams Home in Cheras. Staff and volunteers helped to deck Christmas trees with ornaments and garlands. The surprise appearance by cartoon characters Mr Bean, Irma and Mrs Wicket was a hit with the 60 children who attended the event.

ENVIRONMENT, HEALTH AND SAFETY

The Manager recognises that the environment and economy are interdependent and is committed to adopting environmentally sustainable practices and policies. The health and safety of shoppers, tenants, staff and vendors are also a priority, and safety is continually assessed using a hazard identification risk assessment approach.

In 2010, environment, health and safety (EHS) management systems were established at CMMT's malls and the Manager's office and ISO14001 certification and OHSAS 18001 certification were attained. Emphasis was placed on staff education in order to instill an EHS consciousness within the Manager's corporate culture.

Health and safety measures implemented in 2010 included quarterly safety inspections at the malls, quarterly safety and health (S&H) committee meetings to review S&H programs, as well as an ergonomics program for office and operations staff. In addition, lock-out-tag-out (LOTO) equipment was deployed to ensure that machinery is properly shut off and not started up again prior to the completion of maintenance or servicing work. The LOTO safety procedure requires that hazardous power sources be isolated and rendered inoperative before any repair procedure is started.

Ongoing environmental improvement efforts within CMMT's malls include utilities conservation, pollution minimisation and the embracing of green technology, such as Energy Star rated equipment and light-efficient diode (LED) lighting.

The Manager is in the process of making the mechanical and electrical equipment within the malls more eco-friendly. For example, in 2010, the ozone depleting refrigerant used by the chiller at The Mines was replaced with an environmentally-friendly equivalent. Activated carbon filters and silencers have been installed in exhaust systems to minimise noise pollution.

Water efficient fittings are being progressively installed in the washrooms of Gurney Plaza and The Mines. Utility sub-meter devices have been installed to track water consumption and to allow for the fast identification of any leaks.

In 2010, the teams began monitoring the energy consumption of chillers and air conditioning, and mechanical ventilation (ACMV) systems on a daily basis. Doing so allows them to quickly identify any problems that may result in a loss of energy efficiency and to help them identify opportunities to improve the energy efficiency of such equipment.

Operationally, eco-friendly actions taken within CMMT's malls in 2010 included converting more lights to energy-efficient LED bulbs and harvesting rainwater for cleaning and landscaping use.

On 27 March 2010, Gurney Plaza and The Mines participated in the global 'Earth Hour' campaign organised by World Wildlife Fund (WWF) to combat global warming. Each mall's façade, signage and other non-essential lights were switched off for four hours to promote awareness on energy conservation among shoppers, tenants and staff.



Upin & Ipin appearance and Hari Raya celebration at The Mines with the kids from The Budimas Charitable Foundation

**CREATING
VALUE**

**WE ARE
MALAYSIA'S**

LARGEST

“PURE-PLAY”

SHOPPING MALL

REAL ESTATE

INVESTMENT TRUST

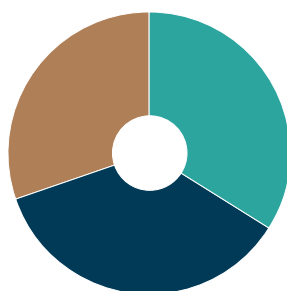


Sungei Wang Plaza, Kuala Lumpur

FINANCIAL REVIEW

GROSS REVENUE

FP 2010¹



RM'000

● Gurney Plaza	38.4%	36,368
● Sungei Wang Plaza³	33.4%	31,627
● The Mines	28.2%	26,641

Property	Actual¹ RM'000	Forecast² RM'000
Gurney Plaza	36,368	36,001
Sungei Wang Plaza³	31,627	31,787
The Mines	26,641	26,148
Total	94,636	93,936

Gross revenue for FP2010 was RM94.6 million, which was higher than the forecast by RM0.7 million or 0.7%. Gross revenue from Gurney Plaza was higher than the forecast by RM0.4 million or 1.0% mainly due to higher gross rent and higher other revenue generated from storage space and converted rentable area in the atrium. Gross revenue from CMMT's interest in Sungei Wang Plaza was lower than the forecast by RM0.2 million or 0.5% mainly due to lower gross rent as a result of the non renewal of a tenant in the third quarter of 2010 and vacant lots. Gross revenue from The Mines was higher than the forecast by RM0.5 million or 1.9% mainly attributed to higher gross rent, higher income generated from the atrium space and higher car park income as a result of improved shopper traffic.

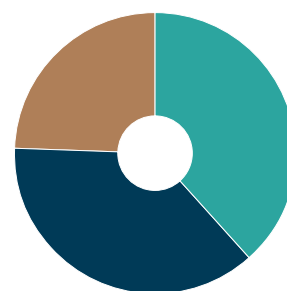
¹ For the financial period from 14 July 2010 to 31 December 2010.

² Extracted from the profit forecast for the 8-month period ended 31 December 2010 for the relevant period as disclosed in the CMMT's initial public offering prospectus.

³ All references of Sungei Wang Plaza in this section of the annual report pertain to CMMT's interest in Sungei Wang Plaza.

NET PROPERTY INCOME

FP 2010¹



RM'000

● Gurney Plaza	38.4%	25,294
● Sungei Wang Plaza³	37.3%	24,562
● The Mines	24.3%	15,969

Property	Actual¹ RM'000	Forecast² RM'000
Gurney Plaza	25,294	25,171
Sungei Wang Plaza³	24,562	24,458
The Mines	15,969	15,860
Total	65,825	65,489

On a portfolio basis, net property income for FP2010 was RM65.8 million, equating to a RM0.3 million or 0.5% increase versus the forecast of RM65.5 million for the same period.

INVESTMENT PROPERTIES AND CAPITAL EXPENDITURE

The valuation of CMMT's portfolio increased RM13.0 million from RM2,130.0 million at listing to RM2,143.0 million as at 31 December 2010, which represents a valuation gain of RM81.3 million versus the book value of the assets.

CMMT has incurred RM2.5 million on asset enhancement works and RM1.1 million on regular capital expenditure for Gurney Plaza and The Mines during the FP2010. Maintenance costs were normal expenses incurred for the upkeep of the buildings.

Valuation and Property Yield

CMMT Portfolio	Acquisition Cost 14 Jul 2010 RM 'mil	Valuation ¹ 31 Dec 2010 RM 'mil	Increase / (Decrease) RM 'mil	Valuation (RM per sq ft NLA ²)	Property Yield ³		Cap Rate ⁴ 31 Dec 2010
					Forecast	Actual	
Gurney Plaza	800	856	56	1,213	6.4%	6.3%	7.0%
Sungei Wang Plaza	724	745	21	1,644	7.1%	7.0%	7.5%
The Mines	530	542	12	753	6.2%	6.3%	7.5%
Portfolio	2,054	2,143	89		6.6%	6.6%	
Less: Additions during the period ⁵			(8)				
Fair value gain in FP 2010			81				

¹ Based on the valuation of Gurney Plaza, Sungei Wang Plaza and The Mines as at 31 December 2010, commissioned by the Trustee.

² NLA – Net Lettable Area

³ Property yield is calculated by dividing annualised NPI for the period by the independent valuation of the property.

⁴ Cap rate refers to the capitalisation rate adopted by the independent valuers to derive the market values of each property as at 31 December 2010.

⁵ Additions refer to asset enhancement works and regular capital expenditure incurred by Gurney Plaza and The Mines during the financial period, as well as the registration fee payable to the state authority for the transfer of Gurney Plaza's land title.

UTILISATION OF PROCEEDS RAISED FROM THE ISSUANCE OF NEW UNITS

In conjunction with CMMT's initial public offering of 786,552,000 units in CMMT, CMMT received gross proceeds of RM21.6 million (based on the final retail price

of RM0.98 per unit) from the public issue. The status of the utilisation of proceeds raised from the initial public offering as of 31 December 2010 is as follows:

Purpose	Proposed Utilisation RM'000	Actual Utilisation RM'000	Intended Timeframe for Utilisation	Deviation		Explanation
				RM'000	%	
Listing expenses	14,000	13,746	Within 3 months	254	1.8	*
Transaction costs on borrowings	6,000	5,199	Within 3 months	801	13.4	*
Working capital	3,760	2,615	Within 12 months	1,145	30.5	
Total	23,760	21,560		2,200	9.3	

* Pending receipt of all invoices from vendors.

OPERATIONS REVIEW

ASSET ENHANCEMENT INITIATIVES

AEIs were a value creation driver for CMMT in 2010. The following is a summary of the enhancement works executed in 2010.

At Gurney Plaza the 'Market Place' concept at Basement 1 was successfully completed. 16 open concept kiosks replaced low-yielding temporary kiosk space, providing shoppers with a good mix of dining and retail specialty offerings. A karaoke mini-anchor tenant was relocated from Basement 1 to Level 7 to improve the mall's trade mix, strengthening Level 7 as the destination for quality entertainment and, through reconfiguration of the mini-anchor space, providing greater variety at Basement 1. Reconfiguration of the mini-anchor space also permits the opening of an entrance to allow direct access from the main entrance's drop-off to Basement 1.

In Sungei Wang Plaza, major upgrading works were carried out at the basement's car parks and comprised the installation of a parking guidance system and autopay system, completion of the epoxy coating for the car park flooring, re-painting of car park bays, replacement of the carpark exhaust system and installation of closed circuit cameras.

The Mines underwent a major asset enhancement exercise in 2008 and 2009. In 2010, further improvement works were carried out at the mall, including the installation of a new information counter and taxi stand, as well as re-tiling works at Levels 1 and 2.

LEASE RENEWALS AND NEW LEASES

On a portfolio basis, renewal rental rates (first year rental of the renewed term) for CMMT's portfolio increased by 4.9% compared to preceding rates (last year rental of the preceding term).

Portfolio – Summary of Renewals / New Leases

(as at 31 December 2010) (excluding newly created and reconfigured units)

Property	Number of Renewals/ New Leases	Retention Rate (%)	Net Lettable Area Area (sq ft)	Percentage of Mall (%)	Increase in Current Rental Rates vs Preceding Rental Rates (%)
Gurney Plaza	88	97.8	186,380	26.4	6.1
Sungei Wang Plaza	98	91.6	88,975	19.6	2.8
The Mines	69	98.6	143,756	20.0	6.6
Total	255	95.5	419,111	22.3	4.9

LEASE EXPIRY PROFILE

Tenants are typically on a three year tenancy term. The portfolio lease expiry remained well spread out as at 31 December 2010 with 39.9% and 30.7% of tenancies by gross rental income due for renewal in 2011 and 2012 respectively. 376 leases are due to expire in 2011.

Portfolio – Lease Expiry Profile

(as at 31 December 2010)

Year	Number of Leases	By Net Lettable Area (%)	By Gross Rental Income (%)
2011	376	41.6	39.9
2012	389	32.4	30.7
2013 and beyond	277	26.0	29.4

Portfolio – Lease Expiry Profile For 2011

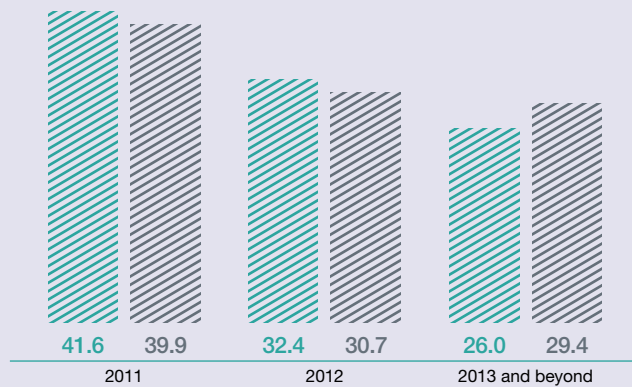
(as at 31 December 2010)

Property	Number of Leases	By Net Lettable Area (%)	By Gross Rental Income (%)
Gurney Plaza	116	54.8	46.8
Sungei Wang Plaza	114	47.7	37.0
The Mines	146	24.9	34.9
Total	376	41.6	39.9

Operations Review

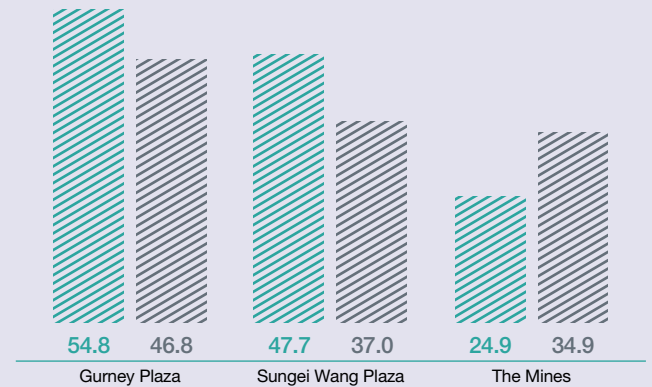
Portfolio - Lease Expiry Profile (%)

(as at 31 December 2010)



Portfolio - Lease Expiry Profile for 2011 (%)

(as at 31 December 2010)

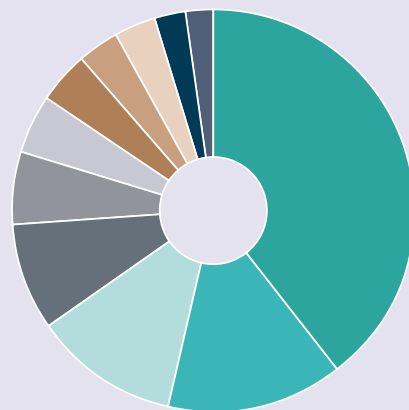


● % of Net Lettable Area

● % of Gross Rental Income

Portfolio - Trade Sector Analysis by Gross Rental Income (%)

(as at 31 December 2010)

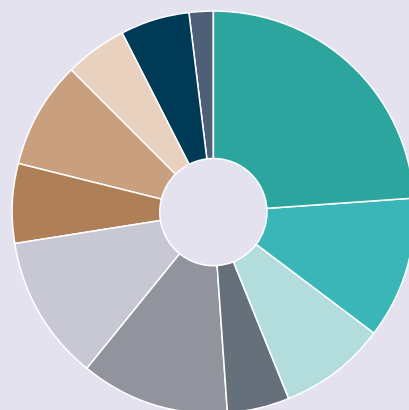


Fashion/ Accessories	:39.6%
Food & Beverages	:14.1%
Beauty/ Health	:11.7%
Services	: 8.5%
Departmental Store	: 5.9%
Leisure & Entertainment/ Sports & Fitness	: 4.8%

Electronics/ I.T.	: 4.2%
Supermarket/ Hypermarket	: 3.3%
Gift/ Specialty/ Books/ Hobbies/ Toys/ Lifestyle	: 3.3%
Houseware/ Furnishings	: 2.5%
Others	: 2.1%

Portfolio - Trade Sector Analysis by Net Lettable Area (%)

(as at 31 December 2010)



Fashion/ Accessories	:24.0%
Food & Beverages	:11.3%
Beauty/ Health	: 8.6%
Services	: 5.2%
Departmental Store	:12.0%
Leisure & Entertainment/ Sports & Fitness	:11.4%

Electronics/ I.T.	: 6.6%
Supermarket/ Hypermarket	: 8.6%
Gift/ Specialty/ Books/ Hobbies/ Toys/ Lifestyle	: 4.8%
Houseware/ Furnishings	: 5.8%
Others	: 1.7%

TOP 10 TENANTS

CMMT's gross rental income is well distributed within its portfolio of 1,042 leases. Collectively, the ten largest tenants accounted for about 16.3% of the portfolio gross rental income.

Portfolio – 10 Largest Tenants by Total Gross Rental

(as at 31 December 2010)

Tenant	Trade Sector	By Gross Rental Income (%)	Expiry Date ¹
Parkson	Departmental Store	5.9	02 Aug 11 – 15 Oct 11
Giant	Supermarket/ Hypermarket	2.7	15 Oct 11 – 02 Jan 12
Factory Outlet Store (F.O.S)/ F.O.S Kids & Teens	Fashion/ Accessories	1.7	28 Feb 11 – 05 Oct 12
Padini	Fashion/ Accessories	1.2	03 May 11 – 31 Dec 11
KFC	Food & Beverages	1.0	30 Apr 12 – 17 Nov 13
Nichii	Fashion/ Accessories	0.9	14 Sep 11 – 02 Nov 11
McDonald's	Food & Beverages	0.8	30 Sep 11 – 04 Mar 12
G2000	Fashion/ Accessories	0.7	16 Dec 11 – 11 Jan 12
Reject Shop	Fashion/ Accessories	0.7	09 Sep 12 – 09 Jan 14
Challenger	Electronics/ I.T.	0.7	09 Jul 11

¹ In cases where leases have more than one expiry date (i.e. the tenants have several leases), lease expiry dates are shown as a range.

Portfolio – Trade Sector Analysis

(as at 31 December 2010)

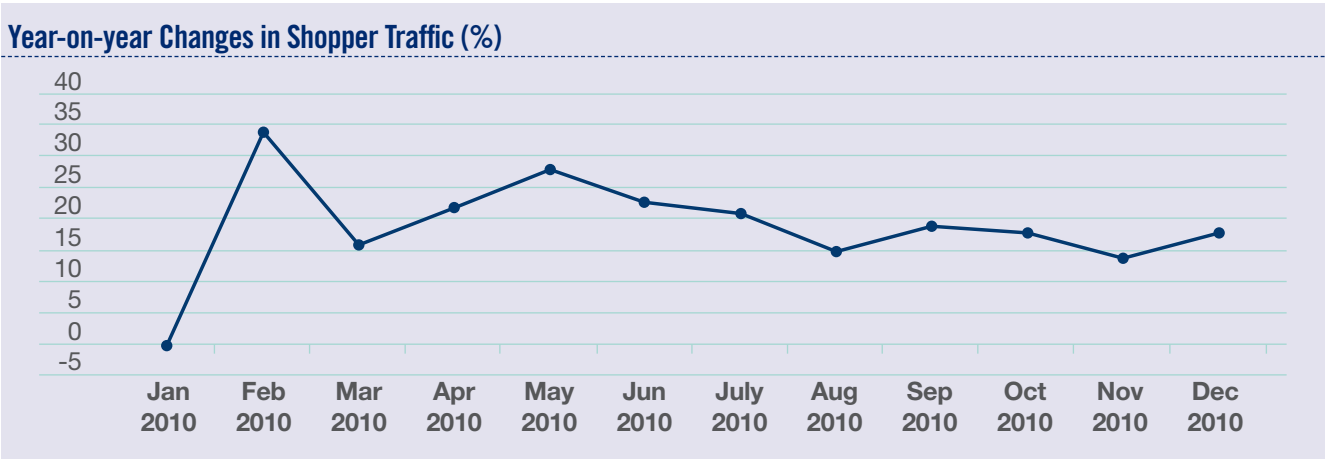
Trade Sector	By Net Lettable Area (%)	By Gross Rental Income (%)
Fashion/ Accessories	24.0	39.6
Food & Beverages	11.3	14.1
Beauty/ Health	8.6	11.7
Services	5.2	8.5
Departmental Store	12.0	5.9
Leisure & Entertainment/Sports & Fitness	11.4	4.8
Electronics/ I.T.	6.6	4.2
Supermarket/ Hypermarket	8.6	3.3
Gifts/ Specialty/ Books/ Hobbies/ Toys/ Lifestyle	4.8	3.3
Houseware/ Furnishings	5.8	2.5
Others	1.7	2.1

TRADE SECTOR ANALYSIS

CMMT's portfolio is well diversified and relies on many different trade sectors for rental income. As at 31 December 2010, fashion remains the largest contributor to gross rental income at 39.6% of the total portfolio. The food and beverage trade was the second largest contributor in terms of rental income at 14.1%, and occupied 11.3% of the total net lettable area.

SHOPPER TRAFFIC

Shopper traffic for the portfolio was strong and increased by approximately 18.5% from 41.7 million in 2009 to 49.4 million in 2010 whilst vehicular traffic increased slightly from 5.4 million in 2009 to 5.7 million in 2010.



MARKETING AND PROMOTIONS

We reinforce the positioning and brand identity of each of CMMT's properties through memorable promotional activities and theme-based events. Such activities also draw shopper traffic which can help to increase tenants' sales.



Gurney Plaza's Christmas Celebration and Live Show 2010

GURNEY PLAZA, PENANG

Gurney Plaza is positioned as Penang's premier lifestyle shopping mall and the team strengthens this positioning by hosting and organising mall-centered events that cater to the tastes of locals as well as international tourists.

Some of the first-of-its-kind events hosted by Gurney Plaza were the Penang State's body building championship 'Mr. Penang 2010', 'Beach Babes and Beach Hunks Competition', 'Most Beautiful Legs Competition' and 'Cutest Cat Competition'.

'Miss Malaysia Tourism Queen International and Queen of Malaysia Pageant 2010', which was held for the third consecutive year, was an iconic event organised by the team at Gurney Plaza in partnership with Marigold HL Milk. The event drew large crowds, including photography enthusiasts, media and tourists.

The 'Topshop, Topman and Dorothy Perkins Fall Fashion Review' was held in Gurney Plaza in August 2010. This marked the first fashion show for the brands in one of the northern states of Malaysia.

Gurney Plaza is also a popular stopover for many meet-and-greet sessions with international celebrities. In August 2010 Hong Kong artistes Chris Lai, Maggie Shiu, Michael Tse and Nancy Wu made an appearance at the mall and shopper traffic increased by 22% compared to the same period in 2009.

During the Hari Raya and Deepavali festive celebrations, Gurney Plaza hosted beauty pageants suited to the occasions, namely the 'Ratu Kebaya' and 'Saree Queen' contests respectively.

For the Christmas holidays, Gurney Plaza hosted the 'Toy Toy Amazon Adventure Live Show'. The show, which was held at the central atrium, had a combination of songs, dances and acrobatics performances. An artificial snowing Christmas tree was also displayed at the entrance of Gurney Plaza to add to the magical feel of Christmas.

Gurney Plaza's New Year 2011 celebration was held at the al fresco area and captured crowds of revelers enticed by the human beat boxing performances of award winning DJ COEX and HITZ FM DJ JAKEMAN. In addition, the revelers were entertained with a unique cabaret dance and stylish break-dancing.



International Taiwanese pop band Power Station performing live at Sungei Wang Plaza Street Countdown 2011

SUNGEI WANG PLAZA, KUALA LUMPUR

Positioned as a one-stop shopping mall 'For All Kinds of Everything', Sungei Wang Plaza's vibrant marketing and promotional activities are organised by Sungei Wang Plaza Management Corporation.

In conjunction with the Chinese New Year celebration in January and February 2010, Sungei Wang Plaza hosted a month long event titled 'Spring Time Rhapsody', which showcased, among others, acrobatic shows, 'Dragon Dance' and 'Lion Dance' performances, a 'Lion Dance' competition, and a Chinese arts and crafts exhibition. The event was officially launched by YB Senator Datin Paduka Chew Mei Fun, Deputy Minister of Women, Family and Community Development on 21 January 2010 in Sungei Wang Plaza. Senior citizens from the home Rumah Orang-Orang Tua Seri Setia, Sungei Way were invited to join the ceremony.

Sungei Wang Plaza has long been a favourite stop for fashion enthusiasts. In the month of April 2010, Sungei Wang Plaza showcased the collections of 15 fashion brands as well as the latest collections from local designers and fashion schools.

In June 2010, Sungei Wang Plaza created much excitement for shoppers with young children. In conjunction with the school holidays, Sungei Wang Plaza hosted a ten-day event showcasing the superheroes characters of the popular Japanese Sci-Fi action packed movie and TV series 'Masked Rider Den-O Showdown'.

Sungei Wang Plaza was the official launch venue for 'Malaysia Mega Sale Carnival 2010'. The event, which was organised by Tourism Malaysia and the Shopping Secretariat of Malaysia, was launched by Tourism Minister YB Dato' Sri Ng Yen Yen on 20 July 2010. Following the launch ceremony, YB Dato' Sri Ng Yen Yen officiated the launch of Sungei Wang Plaza's 'Shop & Win Lucky Draw'. The response from shoppers was very positive and the event garnered much publicity from local television channels and newspapers.

'Jumbo Queen 2010', an iconic beauty pageant for plus-sized women, was held in October 2010. It was hosted and organised by Sungei Wang Plaza Management Corporation, in collaboration and partnership with MY FM, MIX FM (official radio stations), Feminine (official magazine), Moleque Design Boutique (casual wear sponsor) and Secolo Hairdressing (make-up and hair-do stylists).

During the month of December 2010, Sungei Wang Plaza hosted a 'Cheer-y Merry Christmas' theme with cheerleading performances, workshops and competitions, Christmas caroling and an appearance by Santa Claus.

Sungei Wang Plaza ended the year 2010 by organising a large scale street party concert 'Street Party Countdown 2011 Celebration' featuring international celebrities such as Power Station and Tank from Taiwan.



Doraemon and Friends character show during Chinese New Year 2010 at The Mines

THE MINES, SELANGOR

Following its rebranding exercise in March 2010, The Mines, previously known as Mines Shopping Fair, has received positive feedback from both shoppers and retailers within the southern region of Selangor. A series of activities and campaigns, including character appearances, movie tie-ups and thematic events, were initiated throughout 2010 to maintain the momentum.

The celebration of Chinese New Year at The Mines was particularly memorable with character appearances from 'Doraemon and Friends', which appealed to families.

In conjunction with the launch of the name 'The Mines', 90 under-privileged kids from Persatuan Kebajikan Ti-Ratana were invited to the mall to watch the musical show 'Alvin and The Chipmunks' and presented with goody bags.

In 25 April 2010, the inaugural 'Super Dancers Competition' took place at The Mines in collaboration with Mypartners, powered by TM Streamyx and sponsored by hip hop fashion tenants Tropicana Life and Echo Park. More than 100 dance enthusiasts from throughout Malaysia took part in the preliminary rounds and the competition garnered extensive coverage in major newspapers.

In May 2010, for the third consecutive year, The Mines, in collaboration with its tenants Tomei, SenQ, Nichii and Kitschen, presented the annual iconic beauty pageant 'My Lovely Mum 2010'. Over 200 entries were submitted during the preliminary recruitment period and media

coverage included major newspapers and local TV stations.

Also in the month of May, The Mines was the exclusive venue for the launch of Taiwanese pop sensation Show Lo's new album 'Show Lo'. The launch drew fans from all over the Klang Valley, as well as other states.

During the 'Malaysia Mega Sale Carnival 2010', which was fashion-themed, The Mines co-organised with G2000 and Celebrity Fitness its very first 'Metro Man Search'. The contest, which took place in July 2010, garnered extensive coverage in major newspapers and shopper traffic increased 21.5% compared to same period in 2009.

In September 2010, The Mines celebrated Ramadan and Hari Raya Puasa with special appearances from the local animated cartoon series 'Upin and Ipin'. In October 2010, 'The Jeans Icon' and 'Twin Halloween Costume Contest' were well received by shoppers and the media.

The Mines collaborated exclusively with the blockbuster movie 'The Chronicles of Narnia: The Voyage of the Dawn Treader' in November and December for the event, 'Return to Magic @ The Mines' together with EON Bank as the official bank and Sharp as the official LCD TV.

Christmas at The Mines was a surprise for shoppers who were able to celebrate Christmas with cartoon characters Mr Bean, Irma and Mrs Wicket.



RENEW YOUR EXPERIENCES @ THE MINES

Come discover a whole new temptation at The Mines. Indulge yourself with one of the most unique and desirable shopping experience in town, offering the best in fashion, accessories, consumer electronics, food and entertainment!

Be enthralled by the surroundings that transform the mall into a one-stop shopping paradise for all. Whether you are here for a short or a long stay, The Mines surely fulfills your contemporary lifestyle in every way. If your first visit is yet to come, savor the anticipation with a taste of The Mines.



TENANTS SPEAK



NANDO'S CHICKENLAND MALAYSIA SDN BHD

"The CMMT team is professional in its management style as evidenced by the way the management has transformed its shopping malls. Nando's is a tenant in all three CMMT malls, and we have seen the shopper footfall grown yearly. The sales in our outlets have grown steadily, even exponentially in certain outlets at CMMT's malls. I like the partnership we have with CMMT, and the fact that it crosses waters where we can build our relationship both locally and internationally. Expectations are high on both parts, but I believe that this will take us both to the next level."

Ms Mac Chung Lynn
Chief Executive Officer



GRAND SURF SDN BHD Red Box Karaoke Group of Companies

"Red Box Karaoke is pleased to work with the professional team of CMMT. We are tenants of Gurney Plaza and Sungei Wang Plaza. The management team understands our needs as a tenant and we are happy to work closely with them on events and promotions to further enhance the shoppers' awareness of our presence in CMMT's shopping malls. We believe that with constant dialogue and engagement between the CMMT team and its tenants, CMMT's malls will become more vibrant and be a benchmark for retail shopping experiences in Malaysia. We look forward to a long term partnership that adds value for both us and CMMT."

Ms Valerie Choo
Managing Director



SENHENG ELECTRIC (KL) SDN BHD

"SenQ is pleased to be a tenant in two of the malls owned and operated by CMMT - The Mines in Selangor and Gurney Plaza in Penang. We have witnessed the transformation of The Mines and experienced firsthand the benefits that it has brought like the higher quality and quantity of shoppers, better tenant mix and improved mall facilities like the upgraded car park. After the enhancement works at The Mines, our turnover has grown beyond our initial expectation and we are excited to see further growth in the foreseeable future. We are definitely looking forward to a long term partnership with CMMT."

Mr Lim Kim Yew
Executive Director,
South Wing Division

Mr Lim Kim Chieng
Executive Director,
North Wing Division



ESPRIT DE CORP (MALAYSIA) SDN BHD

"Esprit's relationship with CMMT goes back to the early days when Gurney Plaza in Penang was managed by CapitaLand. We appreciate the three dimensions that the team at CMMT brings to the retail industry in Malaysia - the level of professionalism that CMMT's management team practices at its malls and facilities, the continuous effort to improve the tenant mix together with the differentiation in offerings at the malls; and its innovation in marketing and promotional activities at the malls. We value our partnership and look to expand our business together with CMMT."

Mr Yeoh Oon Lai
Country Manager

Tenants Speak



CHARLIE CELLULAR MARKETING SDN BHD

"We started out our first mobile phone business in Gurney Plaza about nine years ago, and over the years we have seen that the management team continually innovates, upgrades and improves the mall's facilities. In our experience, CMMT has always shown its commitment to providing quality shopping experiences for its shoppers. We are very pleased to be a tenant in a shopping mall of CMMT as the CMMT management team continues to set new standards that will provide a platform to differentiate its malls from others. We value this partnership and look forward to a long and fruitful working relationship with CMMT."

Mr Charlie Lim
Managing Director



EXERTAINMENT MALAYSIA SDN. BHD.

"CMMT has a remarkable record in carrying out successful asset enhancement initiatives where you can see significant results. Celebrity Fitness is proud to work with a team of specialists who are passionate about bringing innovation and excitement to the shopping industry in Malaysia. In our dealings with CMMT, we find that the team not only pays attention to understanding the intricacies of their tenants' industries but that they also seek to understand and meet our needs and requirements. We definitely would like to work with CMMT in the expansion of our business in the region."

Mr Kwangho Choi
Managing Director



REVENUE VALLEY SDN BHD

"As an owner of several F&B brands in Malaysia and across the region, we value our relationship with CMMT, in particular the professionalism of the management team at CMMT which we experience as tenants operating the Manhattan Fish Market, Popeye's Louisiana Kitchen and Chicago Rib House brands in CMMT's properties. A shopping mall is just another building unless it is managed by people who understand the industry, the business and the positioning of the centres that they manage. We find that the team at CMMT understands this well and this translates to well managed, successful malls that delight guests. We are proud to be tenants in Gurney Plaza and The Mines and look forward to strengthening our relationship with them."

Mr George Ang
Group Chief Executive Director



PARKSON MALAYSIA Parkson Holdings Bhd

"Being the anchor tenant in two malls owned and managed by CMMT, we enjoy working with a team that is professional and trustworthy. We are happy with the working relationship that we have with the management team, the teamwork and synergy that promotes a win-win situation for both the tenant and landlord."

Mr Toh Peng Koon
Chief Executive Officer

SHOPPERS SPEAK



"I'm truly impressed with the improvements made to The Mines. It has more popular fashion brands like G2000, Nichii and Kitschen now, compared to last time. I am also able to find most of what I need here at affordable prices, which I previously could not find. My personal favourite is the DC Super Heroes outlet as I'm a fan of DC Super Heroes."

**Ms Lee Hui Shean and friends
at The Mines**



"The newly landscaped rooftop garden is an ideal hang out place for my kids. Now I can enjoy my personal shopping time over the weekends, while my husband and kids enjoy themselves at the Splash Park. The new car park guidance system has also made it more convenient for us to locate available parking bays, especially during the weekends where it was always a hassle before it was upgraded. My family visits the mall more often now, as it's such a huge make-over. I think that the new management has done a remarkable job."

**Ms Lee Tieng Tieng and family
at The Mines**



"I came to The Mines to experience the boat ride with my fiancé. This shopping mall is really special and unique as I have never seen any mall that has a canal running through it. The boat tour was a good experience and I must say that this mall has a lot of offerings. I don't mind coming back here again."

**Ms Mona and fiancé
at The Mines**



"Our family visits The Mines at least once a week, as we live nearby. My kids like to go on the boat rides here as it gives them an enjoyable experience. There is also a wide variety of local food to choose from and we particularly frequent the Iranian meals offered by Caspian Kebab here, as it gives us a sense of reminiscence of our home."

**Ms Shabnam and family
at The Mines**

Shoppers Speak



"My family comes here very often to watch movies, have meals and bowl at the bowling alley. This is such a convenient location as we stay nearby. Our favorite restaurant has always been Big Apple Donuts & Coffee as we like their donuts very much! The wide selection of fashionable apparel for work and casual wear has also given me more reason to shop here!"

**Ms Efarima Hassan and family
at The Mines**



"I come to Gurney Plaza once a week for groceries and the activities that it offers. It is a good mall - it has everything! I also like the spaciousness of Gurney Plaza, as well as its car parks."

**Mrs A Garland and mother
at Gurney Plaza**



"Gurney Plaza is the Number 1 shopping destination in Penang."

**Mr Norlisham Bin Nordin (Sean) with friend
at Gurney Plaza**



"I find Gurney Plaza to be quite spacious and luxurious compared to other malls in Penang Island. I also like the brands carried by this mall as they provide variety."

**Mr Jouni Saarinen
at Gurney Plaza**

Shoppers Speak



"Whenever my family and I come to Kuala Lumpur – typically three times a year – we always visit Sungei Wang Plaza. We usually shop for fashionable clothing and shoes at the mall."

**Mr Thomas Laan
at Sungei Wang Plaza**



"I like coming to Sungei Wang Plaza as it has many fashion and bag outlets. I always come with my friends to shop and dine at the many F&B outlets."

**Ms Chua Shu Pin
at Sungei Wang Plaza**



"The fashion shops at Sungei Wang Plaza are a 'must visit'. The prices are affordable and there is a lot of variety to choose from. Outlets such as Seed, Giordano and many more always have me coming back for more."

**Cik Nuraina Binti Mohd Norizan with friend
at Sungei Wang Plaza**



"I come to Sungei Wang Plaza very often for gadget shopping as the mall has many IT gadget stalls where I can view the latest in IT gadgets such as GPS, hand phones and Apple products. I will be back soon!"

**Encik Khairuddin Bin Omar
at Sungei Wang Plaza**

PORTFOLIO AT A GLANCE

CMMT's portfolio consists of three quality properties that are strategically located in Penang, Kuala Lumpur and Selangor, thus providing investors with geographical diversification within Malaysia. The properties are:

- Gurney Plaza, which is located along Gurney Drive in Penang, is a popular destination for both tourists and locals. It is the premier lifestyle shopping mall in Penang and is connected to G Hotel, a modern concept designer hotel.
- Sungei Wang Plaza, which is positioned as a one-stop shopping mall 'For All Kinds of Everything', is a well-known shopping mall located in Kuala Lumpur's Bukit Bintang shopping precinct. It enjoys heavy shopper traffic and is well-known for its specialty stores offering shoppers a wide range of products and services.
- The Mines, which is located in Selangor's Mines Resort City and is a suburban family-focused shopping mall, provides shoppers with a complete offering of retail, entertainment and dining options.

The Manager continues to strive to ensure that each mall in CMMT's portfolio optimises its financial performance, strengthens its market position as the leading mall serving its respective target market, as well as provides the ideal shopping experiences for its shoppers. This is achieved through a combination of active tenant remixing, stringent mall maintenance standards, and unique mall-centric marketing and promotional activities.

Knight Frank (Ooi & Zaharin Sdn. Bhd.) is the property manager for Gurney Plaza, CMMT's interest in Sungei Wang Plaza and The Mines.

Property Portfolio Summary (as at 31 December 2010)

Portfolio Property Valuation	RM2,143 million
Net Lettable Area	1,878,477 sq ft
Portfolio Committed Occupancy Rate	98.3%
Number of Committed Leases	1,042
Total Annual Shopper Traffic ¹	49.4 million

¹ For the year ended 31 December 2010



Portfolio at a Glance

PORTFOLIO - KEY INFORMATION

	Gurney Plaza	Sungei Wang Plaza	The Mines
Gross Floor Area (sq ft)	1,106,926	511,103 ¹	1,257,086
Net Lettable Area (sq ft) (as at 31 December 2010)	705,495	453,088	719,894
Number of Committed Leases (as at 31 December 2010)	280	384	378
Committed Occupancy (as at 31 December 2010)	98.2%	98.3%	98.6%
Car Park Lots (as at 31 December 2010)	1,075	1,298	1,282
Year of Completion	2001	1977	1997
Acquisition Price (RM million)	800.0	724.0	530.0
Market Valuation/ Net Book Value (RM million) (as at 31 December 2010)	856.0	745.0	542.0
Gross Revenue (RM million) (For FP 2010)	36.4	31.6	26.6
Net Property Income (RM million) (For FP 2010)	25.3	24.6	16.0
Shopper Traffic in 2010	14.5 million	24.3 million	10.6 million
Key Tenants	Parkson, Padini Concept Store, Red Box Karaoke, Cold Storage, Celebrity Fitness, Golden Screen Cinemas, Popular Book Store, SenQ, Toys R Us and MPH	Parkson, F.O.S, Giant, KFC, McDonald's, Roller Sports World, Fashion City and Green Box Karaoke	Giant, Challenger, Cobay, AtHome, Ace Hardware, Spices of Malaysia, Courts, Gramedia, TGV Cinemas, Nichii, Mines Bowl, F.O.S and SenQ

¹ Equal to 47,483 square metres, representing approximately 61.9% of the aggregate retail floor area of Sungei Wang Plaza.

ACQUISITIONS AND DIVESTMENTS

The acquisition of Gurney Plaza by CMMT from CapitaRetail Gurney Sdn. Bhd. on 14 July 2010 was deemed a related party transaction in view of the following:

- CapitaRetail Gurney Sdn. Bhd. was (and remains) an indirect wholly-owned subsidiary of CMA; and
- The Manager was (and remains) indirectly owned by CMA due to its 70.0% stake.

At the date of acquisition, Vast Winners Sdn. Bhd., the vendor of Sungei Wang Plaza, was an asset-backed securitisation vehicle. It had issued subordinated medium term notes to Gain 888 Investments Pte. Ltd., and secured senior class medium term notes to Luxury

Ace Sdn. Bhd. Both entities were (and remain) indirect wholly-owned subsidiaries of CMA.

At the date of acquisition, Mutual Streams Sdn. Bhd., the vendor of The Mines, was an asset-backed securitisation vehicle. It had issued subordinated medium term notes to Pronto One Investment Pte. Ltd., an indirect wholly-owned subsidiary of CMA, and senior class medium term notes to non-related parties.

Other than CMMT's acquisition of Gurney Plaza, an interest in Sungei Wang Plaza and The Mines on 14 July 2010, the portfolio composition of CMMT remained unchanged from the establishment of CMMT on 7 June 2010 to 31 December 2010.

TITLE PARTICULARS

Gurney Plaza - Title Particulars

Title	HSD 17259, Lot 5626, Seksyen 1, Bandar Georgetown, Daerah Timor Laut, Negeri Pulau Pinang
Tenure	Freehold
Restrictions-in-Interest	Nil
Express Conditions	The Land comprised in the title: • shall not be affected by any provision of the National Land Code limiting the compensation payable on the exercise by the State Authority of a right of access or use conferred by Chapter 3 of Part Three of the Code or on the creation of a Land Administrator's right of way; and • subject to the implied condition that land is liable to be re-entered if it is abandoned for more than three years shall revert to the State only if the proprietor for the time being dies without heirs; and • the title shall confer the absolute right to all forest produce and to all oil, mineral and other natural deposits on or below the surface of the land (including the right to work or extract any such produce or deposit and remove it beyond the boundaries of the land).
Encumbrances	Charge in favour of Malayan Banking Berhad, registered vide presentation no. 0799SC2004010268 on 29 April 2004
Endorsements	Part of the land is sub-leased to Parkson Corporation Sdn Bhd for a term of 15 years commencing 3 August 2001 and expiring on 2 August 2016 vide presentation no. 0799C2004029845 dated 13 October 2004

Sungei Wang Plaza - Title Particulars

Title	205 strata titles held under GRN 11043, Lot 1197 Seksyen 67, Bandar Kuala Lumpur, Daerah Kuala Lumpur, Negeri Wilayah Persekutuan Kuala Lumpur ¹
Tenure	Freehold
Restrictions-in-Interest	Nil
Express Conditions	• The land must only be used for commercial purposes; and • Development on the land must comply with the development order issued by the Commissioner of the City of Kuala Lumpur (known as Dato Bandar Kuala Lumpur in Malay, it is a body corporate appointed pursuant to Section 4 of the Federal Capital Act 1960 to administer municipal affairs of the City of Kuala Lumpur).
Encumbrances	Nil
Endorsements	Easements between Sungei Wang Plaza and Bukit Bintang Plaza vide presentation nos. 15174/2001 and 15171/2001 pursuant to two easement agreements made between the owner of Bukit Bintang Plaza, UDA Holdings Berhad (“UDA”) and the developer of Sungei Wang Plaza, SWPSB. These easements relate to the arrangement between Sungei Wang Plaza and Bukit Bintang Plaza for the exchange of car park areas on terms set out in a car park management agreement dated 2 October 2007 between UDA and SWPSB. Pursuant to the two easement agreements between UDA and SWPSB, UDA agreed to grant to SWPSB a right of way over Basements 1 and 2 of Bukit Bintang Plaza and SWPSB in turn agreed to grant to UDA the right of way over Levels 4 and 5 of Sungei Wang Plaza (which form part of CMMT’s interest in Sungei Wang Plaza).

¹ The land title particulars stated in the table is in respect of the land title to Sungei Wang Plaza. The total share units allocated to the 205 strata titles owned by CMMT represent approximately 62.8% of the voting rights in Sungei Wang Plaza Management Corporation.

The Mines - Title Particulars

Title	HSD 59894, PT 16722, Mukim Petaling, Daerah Petaling, Negeri Selangor
Tenure	Leasehold interest for 99 years expiring on 20 March 2091
Restrictions-in-Interest	The land cannot be transferred, leased or charged without the prior consent of the State Authority. The State Authority's consent to transfer the land in favour of the Trustee and charge the land in favour of Public Bank Berhad were obtained on 5 July 2010.
Express Conditions	Nil
Encumbrances	Charge in favour of Public Bank Berhad, registered vide presentation no. 98340/2010 on 23 September 2010.
Endorsements	Easement between The Mines and Mines International Exhibition and Convention Centre registered vide presentation no. 117530/2009 on 15 December 2009 pursuant to an easement agreement made between Mutual Streams Sdn Bhd and the owner of Mines International Exhibition and Convention Centre.

GURNEY PLAZA



Night view of Gurney Plaza's facade

Gurney Plaza is strategically located in the famous Gurney Drive promenade in Penang. It is approximately three kilometres to the north-west of Georgetown centre, Penang Island's capital. The building is an eight-storey shopping complex with two levels of basements. Gurney Plaza has seven floors of retail space, each with a distinctive character, and houses various well-known brands for shopping, dining and entertainment.

Gurney Plaza's strong anchor tenant Parkson further enhances the mall's positioning as Penang's premier lifestyle shopping mall. Gurney Plaza is also the only mall in Penang State that carries well-established international fashion brands such as Rolex, Mont Blanc, Dorothy Perkins, Fossil, CK Jeans, Kiehl's, Toy Watch and Birkenstock.

With many food and beverage outlets in the mall, Gurney Plaza is a popular destination for food lovers. Gurney Plaza is also known for its regular thematic fairs, roadshows, fashion showcases and product and lifestyle launches, which draw significant footfall to the mall.

CENTRE MANAGEMENT

Lawrence Teh
Centre Manager

Vanessa Lee
Assistant Manager Leasing

Peter Chan
Marcom Manager

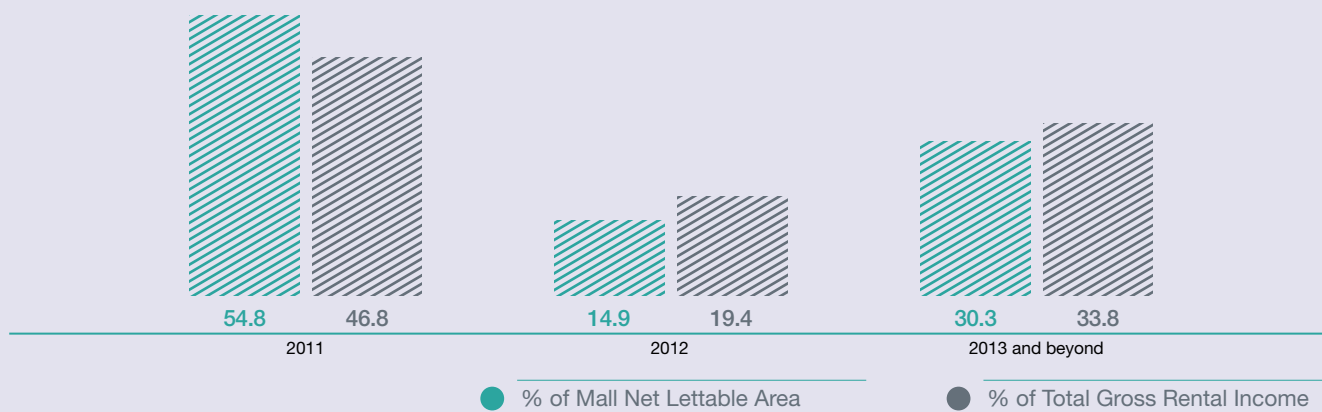
Yeoh Kim Bock
Operations Manager

Gurney Plaza Property Information

Net Lettable Area (NLA) (as at 31 December 2010)	705,495 sq ft
Number of Committed Leases (as at 31 December 2010)	280
Car Park Lots (as at 31 December 2010)	1,075
Title	HSD 17259, Lot 5626, Seksyen 1, Bandar Georgetown, Daerah Timor Laut, Negeri Pulau Pinang
Market Valuation Conducted by PPC International Sdn Bhd (as at 31 December 2010)	RM856.0 million
Gross Revenue (for FP 2010)	RM36.4 million
Net Property Income (for FP 2010)	RM25.3 million
Committed Occupancy (as at 31 December 2010)	98.2%
Shopper Traffic in 2010	14.5 million
Key Tenants	Parkson, Padini Concept Store, Red Box Karaoke, Cold Storage, Celebrity Fitness, Golden Screen Cinemas, Popular Book Store, SenQ, Toys R Us and MPH

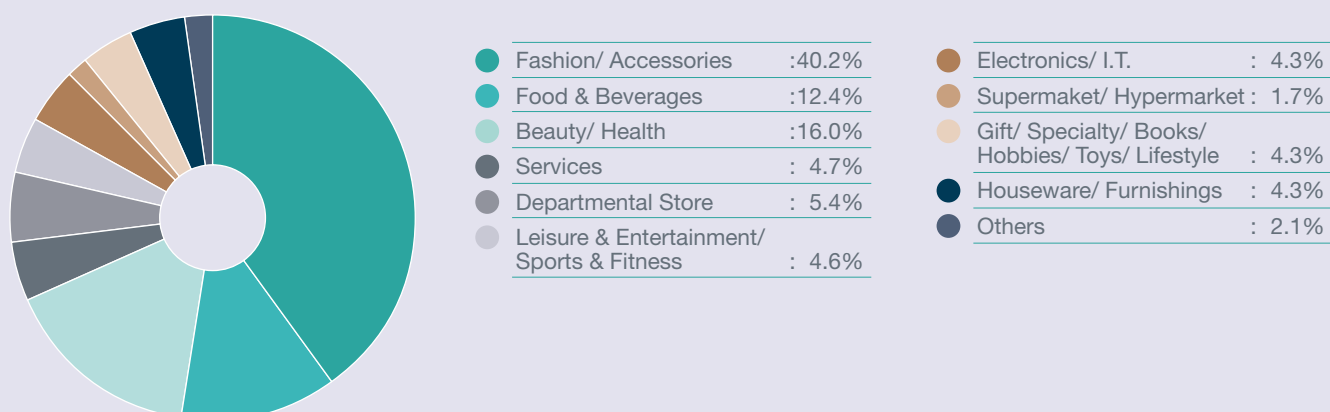
Gurney Plaza - Lease Expiry Profile (%)

(as at 31 December 2010)



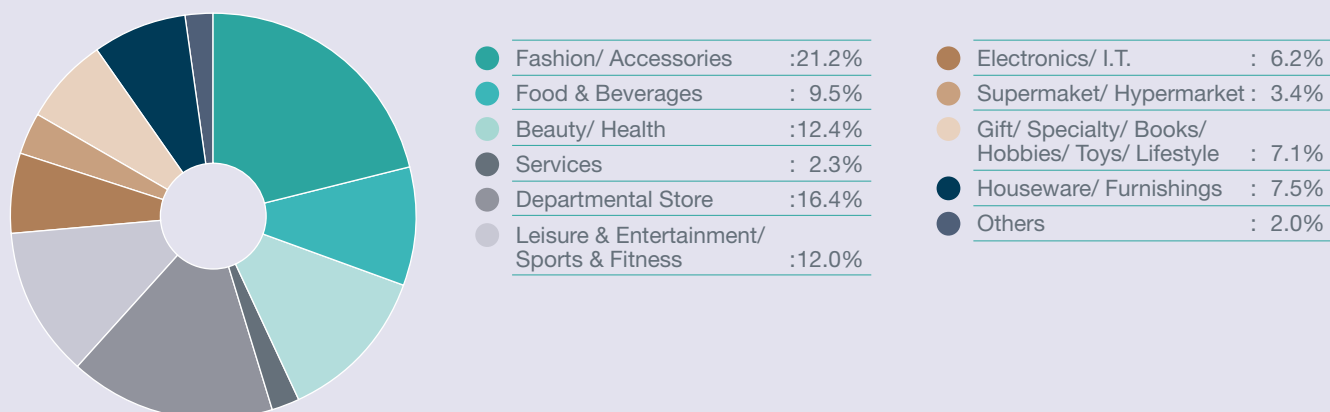
Gurney Plaza - Trade Sector Analysis by Gross Rental Income (%)

(as at 31 December 2010)



Gurney Plaza - Trade Sector Analysis by Net Lettable Area (%)

(as at 31 December 2010)



SUNGEI WANG PLAZA



Main entrance of Sungei Wang Plaza, Kuala Lumpur

Sungei Wang Plaza or 'The River of Gold' was opened in 1977. The mall is one of the most popular shopping centres in Kuala Lumpur's prime shopping and commercial precinct - the 'Golden Triangle' - an area that comprises three bordering streets, namely Jalan Imbi, Jalan Sultan Ismail and Jalan Raja Chulan.

Sungei Wang Plaza has mass market appeal. It also commands strong patronage from local and international tourists, being strategically located in the Bukit Bintang shopping precinct.

Sungei Wang Plaza is an 11-storey retail shopping centre with two basement levels and two elevated levels of car park with a gross retail floor area in excess of 820,000 sq ft.

Sungei Wang Plaza is anchored by Parkson Grand. Other key tenants in CMMT's strata parcels include F.O.S, Giant, KFC, McDonald's, Roller Sports World, Fashion City and Green Box Karaoke.

CENTRE MANAGEMENT

Alicia Yuen
Centre Manager

Crystal Chan
Assistant Manager Leasing

Doreen Teh
Marcom Manager

Jonathan Naming
Senior Executive Operations

Sungei Wang Plaza Property Information¹

Net Lettable Area (NLA) (as at 31 December 2010)	453,088 sq ft
Number of Committed Leases (as at 31 December 2010)	384
Car Park Lots (as at 31 December 2010)	1,298
Title	205 strata titles held under GRN 11043, Lot 1197, Seksyen 67, Bandar Kuala Lumpur, Daerah Kuala Lumpur, Negeri Wilayah Persekutuan Kuala Lumpur
Market Valuation Conducted by CB Richard Ellis (Malaysia) Sdn Bhd (as at 31 December 2010)	RM745.0 million
Gross Revenue (for FP 2010)	RM31.6 million
Net Property Income (for FP 2010)	RM24.6 million
Committed Occupancy (as at 31 December 2010)	98.3%
Shopper Traffic in 2010	24.3 million
Key Tenants	Parkson, F.O.S, Giant, KFC, McDonald's, Roller Sports World, Fashion City and Green Box Karaoke

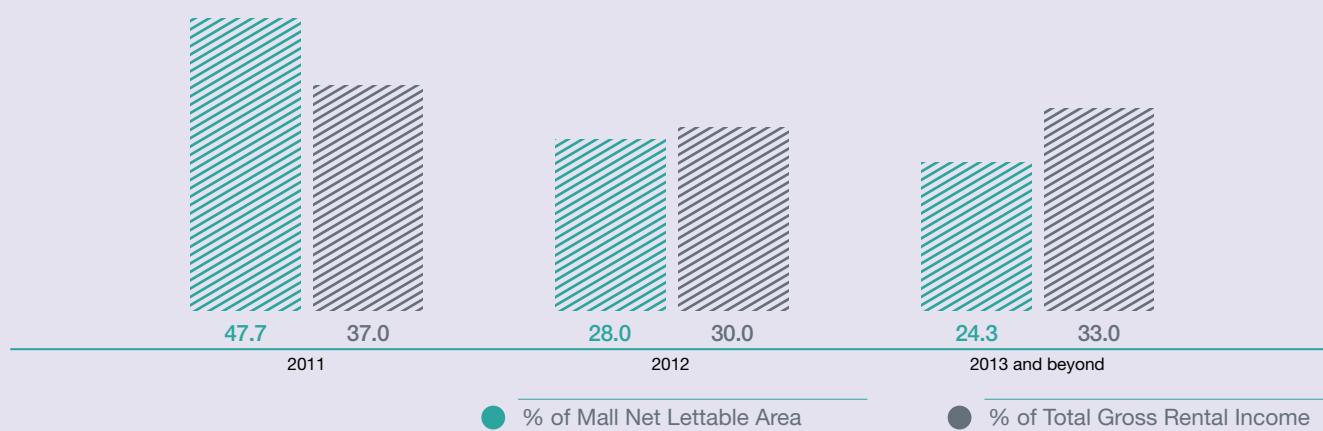
¹ All information in this table and pertaining to the lease expiry profile, top ten tenants and trade sector analysis pertain to CMMT's interest in Sungei Wang Plaza.

The strata titles of Sungei Wang Plaza have been issued and the management corporation, Sungei Wang Plaza Management Corporation, is responsible for the maintenance and management of common areas within Sungei Wang Plaza, as well as mall-specific marketing and events.

CMMT's interest in Sungei Wang Plaza comprises 205 strata parcels within the mall which, based on the total share units allocated to the 205 strata parcels, represents 62.8% of the voting rights in Sungei Wang Plaza Management Corporation. These 205 strata parcels consist of retail space with an aggregate floor area of approximately 511,103 sq ft (representing approximately 61.9% of the aggregate retail floor area of Sungei Wang Plaza) and approximately 1,298 car park bays with an aggregate floor area of approximately 435,411 sq ft, (which comprises 100.0% of the car park bays in Sungei Wang Plaza).

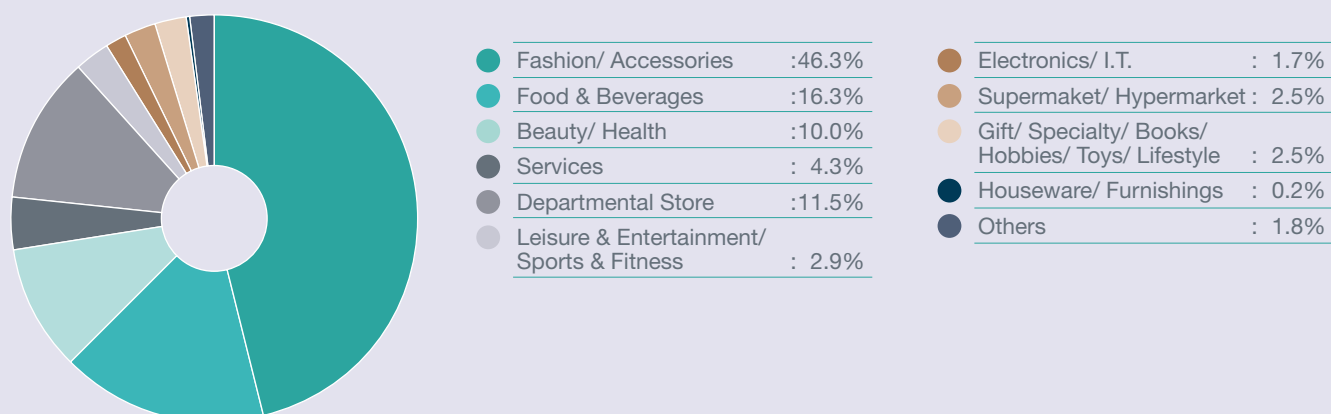
Sungei Wang Plaza - Lease Expiry Profile (%)

(as at 31 December 2010)



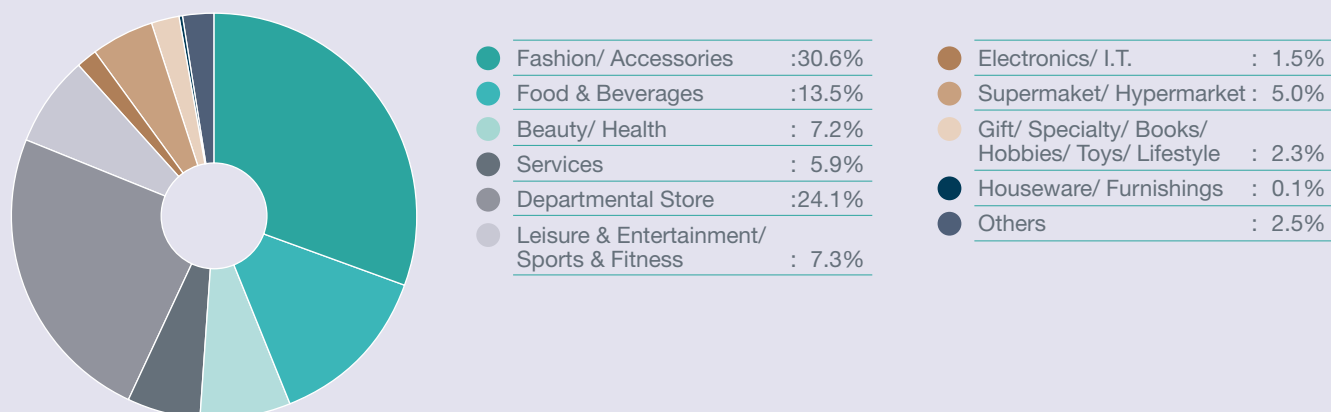
Sungei Wang Plaza - Trade Sector Analysis by Gross Rental Income (%)

(as at 31 December 2010)



Sungei Wang Plaza - Trade Sector Analysis by Net Lettable Area (%)

(as at 31 December 2010)



THE MINES



Night view of the façade of The Mines

The Mines is located about 15 kilometres south of Kuala Lumpur City Centre and within one kilometre from the Seri Kembangan town centre. The Mines has five levels of retail and car park area and is well-known for its Venetian-like internal water canal.

In 2008 and 2009, The Mines underwent a major asset enhancement initiative, which involved, among other things, construction of a three-storey extension block, construction of three link bridges to improve connectivity between various parts of the complex, creation of a roof top open plaza with a wet-and-dry playground (known as the 'Splash Park'), reconfiguration of retail lots located on Levels 1 to 4 by way of subdivision and amalgamation to optimise space usage and to improve the tenant mix, and improvement of vertical transportation through escalator works.

The asset enhancement initiative resulted in a gain in net lettable area of approximately 80,000 sq ft, while the occupancy has increased from about 84.8% as at 31 December 2007 to 97.5% as at 30 April 2010 (as published in CMMT's initial public offering prospectus), and stands at 98.6% as at 31 December 2010. In March 2010, the mall, which was previously known as 'Mines Shopping Fair' was renamed as 'The Mines' and a rebranding campaign, centred round the theme 'fun, food, fashion, future', was launched.

CENTRE MANAGEMENT

Fern Tan

Centre Manager

Lynn Chia

Assistant Manager Leasing

Alan Cheong

Marcom Manager

Anandan Perumal

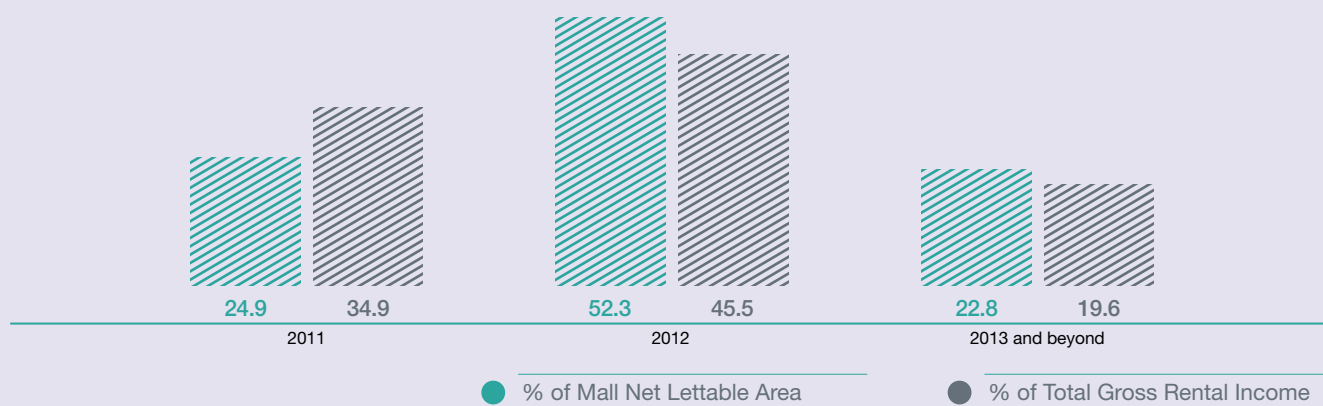
Operations Manager

The Mines Property Information

Net Lettable Area (NLA) (as at 31 December 2010)	719,894 sq ft
Number of Committed Leases (as at 31 December 2010)	378
Car Park Lots (as at 31 December 2010)	1,282
Title	HSD 59894, PT 16722, Mukim Petaling, Daerah Petaling, Negeri Selangor
Market Valuation Conducted by CB Richard Ellis (Malaysia) Sdn Bhd (as at 31 December 2010)	RM542.0 million
Gross Revenue (for FP 2010)	RM26.6 million
Net Property Income (for FP 2010)	RM16.0 million
Committed Occupancy (as at 31 December 2010)	98.6%
Shopper Traffic in 2010	10.6 million
Key Tenants	Giant, Challenger, Cobay, AtHome, Ace Hardware, Spices of Malaysia, Courts, Gramedia, TGV Cinemas, Nichii, Mines Bowl, F.O.S and SenQ

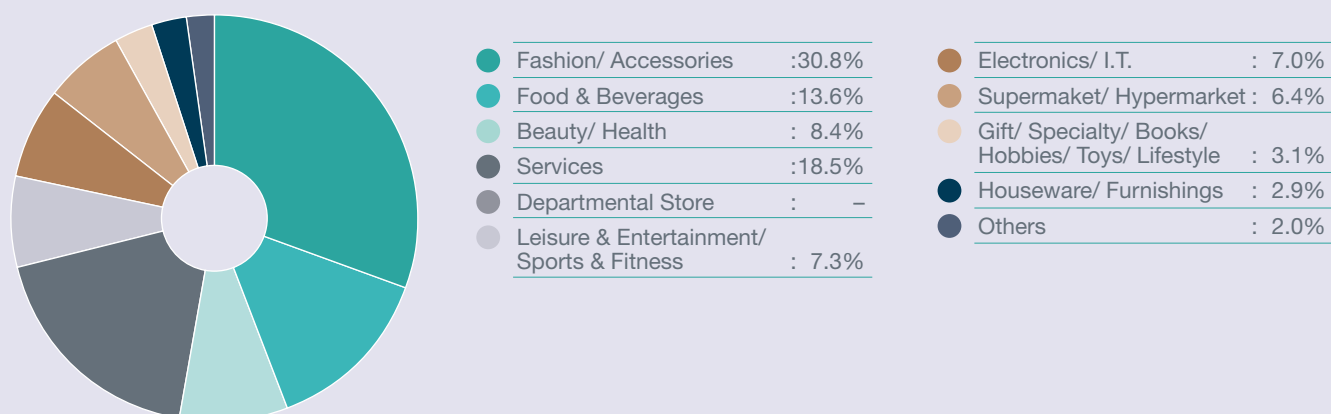
The Mines - Lease Expiry Profile (%)

(as at 31 December 2010)



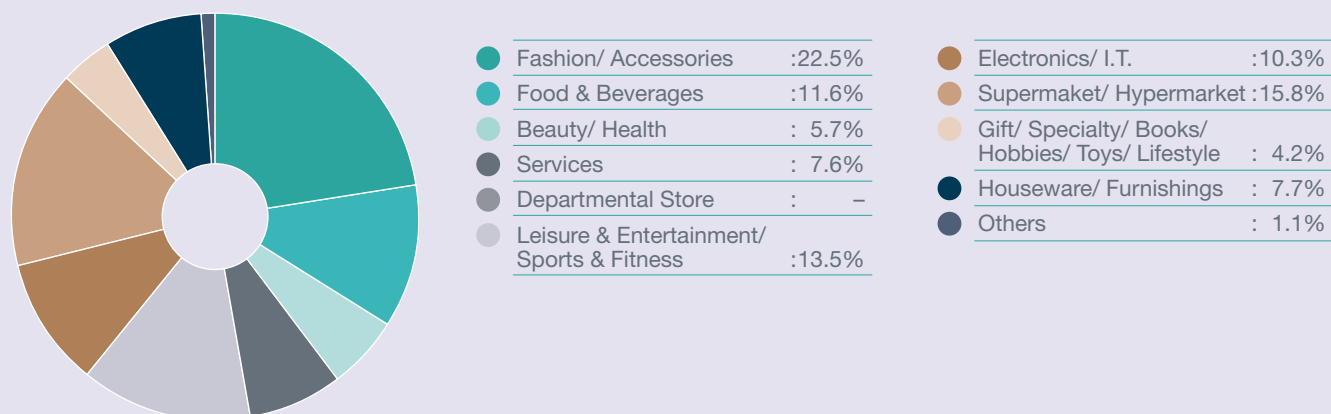
The Mines - Trade Sector Analysis by Gross Rental Income (%)

(as at 31 December 2010)



The Mines - Trade Sector Analysis by Net Lettable Area (%)

(as at 31 December 2010)



MALL DIRECTORY

Mall	Contact	Website
Gurney Plaza	Plaza Gurney Persiaran Gurney 10250 Penang Malaysia Tel: +60 4 222 8111 Centre Management Office Location: Level 6 (Lot No. 170-06-01) Tel: +60 4 222 8222 Fax: +60 4 228 6666	www.gurneyplaza.com.my
The Mines	The Mines Jalan Dulang MINES Resort City Seri Kembangan 43300 Selangor Darul Ehsan Malaysia Tel: +60 3 8949 6333 Centre Management Office Location: Level 4 (Box No. 228) Tel: +60 3 8949 6288 Fax: +60 3 8949 6388	www.the-mines.com.my
Sungei Wang Plaza	Sungei Wang Plaza Jalan Bukit Bintang 55100 Kuala Lumpur Malaysia Tel: +60 3 2148 6109 Centre Management Office¹ Location: Level 6 (SWP Box No. 129, Lot 6F-111) Tel: +60 3 2117 0288 Fax: +60 3 2117 0388	www.sungeiawang.com

¹ Centre Management Office for CMMT's 205 strata parcels only.

CORPORATE INFORMATION

CMMT's Registered Address

AmTrustee Berhad

(Company Number: 163032-V)
Level 22, Bangunan AmBank Group
55, Jalan Raja Chulan
50200 Kuala Lumpur
Telephone No.: +60 3 2036 2633
Facsimile No.: +60 3 2032 4303
Website: www.capitamallsmalaysia.com
Email: ask-us@capitamallsmalaysia.com

Trustee

AmTrustee Berhad

(Company Number: 163032-V)
Level 22, Bangunan AmBank Group
55, Jalan Raja Chulan
50200 Kuala Lumpur
Telephone No.: +60 3 2036 2633
Facsimile No.: +60 3 2032 4303

Auditors

KPMG

(Firm No: AF0758)
Chartered Accountants
Level 10, KPMG Tower
8, First Avenue, Bandar Utama
47800 Petaling Jaya
Selangor Darul Ehsan
Telephone No.: +60 3 7721 3388
Facsimile No.: +60 3 7721 3399
Partner-In-Charge: Mr Foong Mun Kong

Unit Registrar

MIDF Consultancy and

Corporate Services Sendirian Berhad

(Company Number: 11324-H)
Level 8, Menara MIDF
82, Jalan Raja Chulan
50200 Kuala Lumpur
Telephone No.: +60 3 2173 8888
Facsimile No.: +60 3 2173 8677

Property Manager

Knight Frank (Ooi & Zaharin Sdn. Bhd.)

(Company Number: 585479-A)
Suite 9.01, 9th Floor
Menara IGB, Mid Valley City
Lingkar Syed Putra
59200 Kuala Lumpur
Telephone No.: +60 3 2289 9688
Facsimile No.: +60 3 2289 9788

The Manager

CapitaMalls Malaysia REIT Management Sdn. Bhd.

(formerly known as CapitaRetail Malaysia REIT Management Sdn. Bhd.)

(Company Number: 819351-H)
Level 2, Ascott Kuala Lumpur
No. 9 Jalan Pinang
50450 Kuala Lumpur
Telephone No.: +60 3 2279 9888
Facsimile No.: +60 3 2279 9889

Directors of the Manager

Mr Kee Teck Koon

Chairman & Non-Independent Non-Executive Director

Mr Lim Beng Chee

Non-Independent Non-Executive Director

Mr Ng Kok Siong

Non-Independent Non-Executive Director

Mr Lock Wai Han

Non-Independent Non-Executive Director

Datuk Mohd. Najib Bin Hj. Abdullah

Non-Independent Non-Executive Director

Mr IG Chandran (Gnanachandran S Ayadurai)

Independent Non-Executive Director

Ms Tan Siew Bee

Independent Non-Executive Director

Mr Peter Tay Buan Huat

Independent Non-Executive Director

Ms Sharon Lim Hwee Li

Non-Independent Executive Director

Executive Committee

Mr Lim Beng Chee

Mr Ng Kok Siong

Mr Lock Wai Han

Ms Sharon Lim Hwee Li

Audit Committee

Mr IG Chandran (Gnanachandran S Ayadurai)

Ms Tan Siew Bee

Mr Ng Kok Siong

Corporate Disclosure Committee

Mr Kee Teck Koon

Mr Lim Beng Chee

Mr Ng Kok Siong

Corporate Information

Company Secretaries

Ms Ng Lay Leng (MAICSA 7008584)
A-05-3A, Desa Putra Condominium
No. 4 Jalan Wangsa Perdana 3
Wangsa Maju
53300 Kuala Lumpur

Cik Aida Binti Karim (LS0008384)
No. 8, Blok B, Tingkat 5
Apartment Taman Cahaya
Jalan Cahaya 14
68000 Ampang
Selangor Darul Ehsan

Ms Low Peck Chen (MIA26798)
28-8-6, Winner Heights
Jalan 2/125 Desa Petaling
57100 Kuala Lumpur

Principal Bankers

AmBank (M) Berhad
(Company Number: 8515-D)
Menara AmBank
No.8, Jalan Yap Kwan Seng
50450 Kuala Lumpur

Public Bank Berhad
(Company Number: 6463-H)
Menara Public Bank
146, Jalan Ampang
50450 Kuala Lumpur

United Overseas Bank (Malaysia) Bhd
(Company Number: 271809K)
Menara UOB
Jalan Raja Laut
P.O. Box 11212
50738 Kuala Lumpur

DELIVERING RESULTS

OUR PORTFOLIO:

1,880,000 SQ FT
OF LETTABLE AREA

AND

RM2.14 BILLION
TOTAL VALUATION



イノビッセ
hiino
pieces
4.06A
韩服装
Japan Korea
FASHION
myplace.com

AQUOS
Quattron

SHARP

mines

DUNKIN' DONUTS

The Mines, Selangor

FINANCIAL STATEMENTS



The DigiMart, The Mines, Selangor

CONTENTS

91	Trustee's Report
92	Statement by the Manager
94	Statutory Declaration

95	Independent Auditors' Report
97	Statement of Financial Position
98	Statement of Comprehensive Income

100	Statement of Changes in Net Asset Value
101	Statement of Cash Flow
102	Notes to the Financial Statements

TRUSTEE'S REPORT

to the unitholders of CapitaMalls Malaysia Trust (established in Malaysia)

We have acted as Trustee of CapitaMalls Malaysia Trust (CMMT) for the financial period ended 31 December 2010. In our opinion and to the best of our knowledge, CapitaMalls Malaysia REIT Management Sdn. Bhd. (formerly known as CapitaRetail Malaysia REIT Management Sdn. Bhd.), the Manager of CMMT, has managed CMMT in accordance with the limitations imposed on the investment powers of the Manager and the Trustee under the Deed dated 7 June 2010 (the Deed), the Capital Markets and Services Act, 2007, Securities Commission Malaysia's Guidelines on Real Estate Investment Trusts and other applicable laws during the financial period then ended.

We have also ensured the following:

- (a) the valuation/pricing is carried out in accordance with the Deed and other regulatory requirements; and
- (b) the creation of units is carried out in accordance with the Deed and other regulatory requirements.

We confirm that the recommended gross income distribution of 3.40 sen per unit for the financial period ended 31 December 2010 is in line with and is reflective of the objectives of CMMT.

For and on behalf of the Trustee,
AmTrustee Berhad



Tan Kok Cheeng
Chief Executive Officer

Kuala Lumpur
Date: 26 February 2011

STATEMENT BY THE MANAGER

The Manager acknowledges its responsibility for the preparation of the annual audited accounts of CMMT. In the opinion of the Directors of the Manager, CapitaMalls Malaysia REIT Management Sdn. Bhd. (formerly known as CapitaRetail Malaysia REIT Management Sdn. Bhd.), the financial statements set out on pages 97 to 125 are drawn up in accordance with the provisions of the Deed dated 7 June 2010, Securities Commission Act, 1993 and the Capital Markets and Services Act, 2007, Securities Commission Malaysia's Guidelines on Real Estate Investment Trusts and Financial Reporting Standards in Malaysia so as to give a true and fair view of the financial position of CapitaMalls Malaysia Trust as at 31 December 2010 and of its financial performance and cash flows for the financial period then ended.

In addition, the Directors confirm the following:

SANCTIONS AND/OR PENALTIES

During the financial period there were no sanctions and/or penalties imposed by CMMT, its Manager and/or the Directors by any of the relevant regulatory bodies.

MATERIAL CONTRACTS INVOLVING CMMT AND SUBSTANTIAL UNITHOLDERS

There are no material contracts involving CMMT and substantial unitholders other than the Manager's management fee and other related party transactions disclosed in Note 23 to the financial statements.

OTHER SIGNIFICANT EVENTS

In addition to the significant events disclosed elsewhere in this report, other significant events are disclosed in Note 25 to the financial statements.

SIGNIFICANT CHANGES IN THE STATE OF AFFAIRS

There have been no significant changes in the state of affairs of the fund during the financial period and up to the date of this report other than those disclosed in the financial statements.

CIRCUMSTANCES WHICH MATERIALLY AFFECT THE INTERESTS OF UNITHOLDERS

There are no circumstances which materially affect the interests of unitholders.

CHANGES IN MATERIAL LITIGATION

The Manager is not aware of any pending material litigation since 31 December 2010 up to the date of this report.

MANAGER'S REMUNERATION AND SOFT COMMISSION

The Manager's remuneration is accrued and paid in accordance with the Deed. No fee or commission has been earned by the Manager in managing CMMT other than as disclosed in Note 11 to the financial statements.

During the financial period, the Manager did not receive any soft commission (i.e. goods and services) from its broker, by virtue of any transaction conducted by CMMT.

STATEMENT BY THE MANAGER

INFORMATION ON DIRECTORS

There are no family relationships among the Directors and/or substantial unitholders. None of the Directors has any conflict of interest with CMMT. None of the Directors has been convicted for any offence in the past ten years.

Signed on behalf of the Directors of the Manager in accordance with a resolution of the Board of Directors dated 26 February 2011.



Kee Teck Koon
Chairman



Sharon Lim Hwee Li
Chief Executive Officer

Kuala Lumpur
Date: 26 February 2011

STATUTORY DECLARATION

I, Lee Hui Yeow, the officer of CapitaMalls Malaysia REIT Management Sdn. Bhd. (formerly known as CapitaRetail Malaysia REIT Management Sdn. Bhd.), primarily responsible for the financial management of CapitaMalls Malaysia Trust, do solemnly and sincerely declare that the financial statements set out on pages 97 to 125, are, to the best of my knowledge and belief, correct and I make this solemn declaration conscientiously believing the same to be true, and by virtue of the provisions of the Statutory Declarations Act, 1960.

Subscribed and solemnly declared by the above named at Kuala Lumpur on 26 February 2011.



Lee Hui Yeow

Before me:



INDEPENDENT AUDITORS' REPORT

to the unitholders of CapitaMalls Malaysia Trust (established in Malaysia)

REPORT ON THE FINANCIAL STATEMENTS

We have audited the financial statements of CapitaMalls Malaysia Trust (CMMT), which comprise the statement of financial position as at 31 December 2010, and the statement of comprehensive income, changes in net asset value and cash flow for the financial period then ended, and a summary of significant accounting policies and other explanatory notes, as set out on pages 97 to 125.

RESPONSIBILITY OF THE DIRECTORS OF THE MANAGER FOR THE FINANCIAL STATEMENTS

The Directors of the Manager of CMMT are responsible for the preparation of financial statements that give a true and fair view in accordance with the Deed dated 7 June 2010, Securities Commission Act, 1993 and the Capital Markets and Services Act, 2007, Securities Commission Malaysia's Guidelines on Real Estate Investment Trusts and Financial Reporting Standards and for such internal control as the Directors of the Manager determine are necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

AUDITORS' RESPONSIBILITY

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with approved standards on auditing in Malaysia. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgment, including the assessment of risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we consider internal control relevant to CMMT's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of CMMT's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the Directors of the Manager, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

OPINION

In our opinion, the financial statements have been properly drawn up in accordance with the Financial Reporting Standards so as to give a true and fair view of the financial position of CMMT as of 31 December 2010 and of its financial performance and cash flows for the financial period then ended.

OTHER REPORTING RESPONSIBILITIES

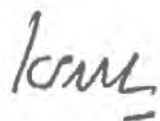
Our audit was made for the purpose of forming an opinion on the financial statements taken as a whole. The information on the breakdown of realised and unrealised profits or losses included in Note 7 (b) to the financial statements has been compiled by CMMT as required by the Bursa Malaysia Securities Berhad Listing Requirements and is not a required part of the financial statements. We have extended our audit procedures to report on the process of compilation of such information. In our opinion, the information has been properly compiled, in all material respects, in accordance with the Guidance on Special Matter No.1, Determination of Realised and Unrealised Profits or Losses in the Context of Disclosures Pursuant to Bursa Malaysia Securities Berhad Listing Requirements, issued by the Malaysian Institute of Accountants and presented based on the format prescribed by Bursa Malaysia Securities Berhad.

INDEPENDENT AUDITORS' REPORT

to the unitholders of CapitaMalls Malaysia Trust (established in Malaysia)

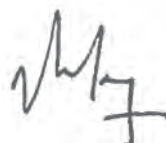
OTHER MATTERS

This report is made solely to the unitholders of CMMT and for no other purpose. We do not assume responsibility to any other person for the content of this report.



KPMG
AF 0758
Chartered Accountants

Petaling Jaya
Date: 26 February 2011



Foong Mun Kong
Approval Number: 2613/12/12 (J)
Chartered Accountant

STATEMENT OF FINANCIAL POSITION

as at 31 December 2010

	Note	2010 RM'000
Assets		
Plant and equipment	3	1,097
Investment properties	4	2,143,000
Total non-current assets		2,144,097
Trade and other receivables	5	6,692
Cash and cash equivalents	6	127,431
Total current assets		134,123
Total assets		2,278,220
Equity		
Unitholders' capital		1,325,560
Undistributed income		109,396
Total unitholders' funds	7	1,434,956
Liabilities		
Borrowings	8	745,122
Trade and other payables	9	23,512
Total non-current liabilities		768,634
Trade and other payables	9	74,630
Total current liabilities		74,630
Total liabilities		843,264
Total equity and liabilities		2,278,220
Net assets value (NAV)		
- before income distribution		1,434,956
- after income distribution		1,389,046
Units in circulation ('000)	7	1,350,000
NAV per unit (RM)		
- before income distribution		1.0629
- after income distribution		1.0289

The accompanying notes form an integral part of these financial statements.

STATEMENT OF COMPREHENSIVE INCOME

for the financial period from 7 June 2010 to 31 December 2010

		7 June 2010 to 31 December 2010 RM'000
	Note	
Gross rental income		80,129
Car park income		6,411
Other revenue		8,096
Gross revenue		94,636
Maintenance expenses		(9,333)
Utilities		(10,041)
Other operating expenses	10	(9,437)
Property operating expenses		(28,811)
Net property income		65,825
Interest income		954
Fair value gain of investment properties		81,347
Net investment income		148,126
Manager's management fee	11	(6,506)
Trustee's fee	12	(199)
Auditor's fee		(100)
Tax agent's fee		(21)
Valuation fee		(30)
Finance costs	13	(17,319)
Other non-operating expenses	14	(14,555)
Total non-operating and trust expenses		(38,730)
Profit before taxation		109,396
Tax expense	15	–
Profit for the financial period		109,396
Other comprehensive income, net of tax		–
Total comprehensive income for the financial period		109,396
Less: Distribution adjustments	A	(63,486)
Distributable income		45,910

The accompanying notes form an integral part of these financial statements.

STATEMENT OF COMPREHENSIVE INCOME

for the financial period from 7 June 2010 to 31 December 2010 (continued)

	Note	7 June 2010 to 31 December 2010 RM'000
Total comprehensive income for the financial period is made up as follows:		
Realised		28,049
Unrealised		81,347
	7 (b)	109,396
Earnings per unit (sen)	16	
- before manager's management fee		8.59
- after manager's management fee		8.10
Distribution per unit (DPU)(sen)		
- for the financial period ¹		3.40
- annualised		7.26
Income distribution²	26	
Proposed final distribution		
- payable on 25 February 2011 (RM)		45,909,450
- DPU (sen)		
- Gross		3.40
- Net ³		*
Note A		
Distribution adjustments comprise:		RM'000
Fair value gain of investment properties		(81,347)
Manager's management fee payable in units		3,127
Listing expenses		14,000
Depreciation		294
Amortisation of transaction costs on borrowings		440
		(63,486)

¹ CMMT was established on 7 June 2010 and registered with Securities Commission Malaysia on 9 June 2010. The acquisition by CMMT of the properties was completed on 14 July 2010 and CMMT was listed on the Main Market of Bursa Malaysia Securities Berhad on 16 July 2010. The financial results reported refer to the financial period from 14 July 2010 to 31 December 2010.

² The proposed final income distribution will be recognised in the immediate subsequent financial year.

³ Income distribution is based on 1,350,000,000 units entitled to distribution. Income distributable to resident individuals, non-resident individuals, resident institutional investors, non-resident institutional investors and non-resident companies are subject to withholding tax.

The accompanying notes form an integral part of these financial statements.

STATEMENT OF CHANGES IN NET ASSET VALUE

for the financial period ended 31 December 2010

	Unitholders' capital RM'000	Undistributed income RM'000	Total unitholders' funds RM'000
At 7 June 2010 (Date of establishment)	–	–	–
Total comprehensive income for the financial period	–	109,396	109,396
Increase in net assets resulting from operations	–	109,396	109,396
Unitholders' transactions			
- Issue of new units	1,325,560	–	1,325,560
- Units to be issued as satisfaction of the portion Manager's management fee payable in units	–	–	–
Increase in net assets resulting from unitholders' transactions	1,325,560	–	1,325,560
At 31 December 2010	1,325,560	109,396	1,434,956
	Note 7 (a)	Note 7 (b)	

The accompanying notes form an integral part of these financial statements.

STATEMENT OF CASH FLOW

for the financial period from 7 June 2010 to 31 December 2010

		7 June 2010 to 31 December 2010 RM'000
	Note	
Cash flows from operating activities		
Profit before taxation		109,396
Adjustments for:		
Manager's management fee payable in units		3,127
Depreciation	3	294
Fair value gain of investment properties	4	(81,347)
Finance costs	13	17,319
Interest income		(954)
Listing expenses	14	14,000
Operating profit before changes in working capital		61,835
Changes in working capital:		
Trade and other receivables		(6,692)
Trade and other payables		76,475
Net cash from operating activities		131,618
Cash flows from investing activities		
Acquisition of plant and equipment	3	(1,391)
Acquisition of investment properties	4	(750,000)
Capital expenditure on investment properties	4	(3,657)
Interest received		954
Net cash used in investing activities		(754,094)
Cash flows from financing activities		
Interest paid		(6,760)
Proceeds from issuance of new units		21,560
Payment of financing expenses		(5,318)
Payment of listing expenses		(9,575)
Proceeds from interest bearing borrowings		750,000
Net cash from financing activities		749,907
Net increase in cash and cash equivalents		127,431
Cash and cash equivalents at date of establishment		—
Cash and cash equivalents at 31 December 2010	6	127,431

The accompanying notes form an integral part of these financial statements.

NOTES TO THE FINANCIAL STATEMENTS

CapitaMalls Malaysia Trust (CMMT) is a Malaysia domiciled real estate investment trust constituted by a deed dated 7 June 2010 (the Deed) entered into between CapitaMalls Malaysia REIT Management Sdn. Bhd. (formerly known as CapitaRetail Malaysia REIT Management Sdn. Bhd.) (the Manager) and AmTrustee Berhad (the Trustee). The Deed was registered with Securities Commission Malaysia (SC) on 9 June 2010 and is regulated by the SC, the SC's Guidelines on Real Estate Investment Trusts (REITs Guidelines), the Listing Requirement of Bursa Malaysia Securities Berhad (Bursa Securities) and other relevant laws and requirements.

CMMT was listed on the Main Board of Bursa Securities on 16 July 2010.

The principal activity of CMMT is to invest, on a long term basis, in a portfolio of income-producing real estate primarily used for retail purposes and located primarily in Malaysia or such other non-real estate investments as may be permitted under the Deed, the REITs Guidelines or by the SC, with the view of providing unitholders with long term and sustainable distribution of income and potential capital growth. There have been no significant changes in the nature of these activities during the financial period.

The principal activity of the Manager is to manage and administer CMMT. The Manager, incorporated in Malaysia, is a subsidiary of CapitaLand Retail RECM Pte Ltd which is a wholly-owned subsidiary of CapitaMalls Asia Limited (CMA). Both companies are incorporated in Singapore.

The Manager's registered office and principal place of business are as follows:

Level 2, Ascott Kuala Lumpur
No 9, Jalan Pinang
50450 Kuala Lumpur

The financial statements were approved by the Manager's Board of Directors on 26 February 2011.

1. BASIS OF PREPARATION

(a) Statement of compliance

These financial statements have been prepared in accordance with the provisions of the Deed, the REITs Guidelines, applicable Financial Reporting Standards (FRSs) and accounting principles generally accepted in Malaysia.

CMMT has not applied the following accounting standards, amendments and interpretations that have been issued by the Malaysian Accounting Standards Board (MASB) but are not yet effective:

FRSs, Interpretations and amendments effective for annual periods beginning on or after 1 July 2010

- FRS 3, Business Combinations (revised)
- FRS 127, Consolidated and Separate Financial Statements (revised)
- Amendments to FRS 2, Share-based Payment
- Amendments to FRS 5, Non-current Assets Held for Sale and Discontinued Operations
- Amendments to FRS 138, Intangible Assets
- Interpretations Committee (IC) Interpretation 12, Service Concession Agreements
- IC Interpretation 16, Hedges of a Net Investment in a Foreign Operation
- IC Interpretation 17, Distributions of Non-cash Assets to Owners
- Amendments to IC Interpretation 9, Reassessment of Embedded Derivatives

NOTES TO THE FINANCIAL STATEMENTS

1. BASIS OF PREPARATION (continued)

(a) Statement of compliance (continued)

FRSs, Interpretations and amendments effective for annual periods beginning on or after 1 January 2011

- Amendments to FRS 1, First-time Adoption of Financial Reporting Standards
 - Limited Exemption from Comparative FRS 7 Disclosures for First-time Adopters
 - Additional Exemptions for First-time Adopters
- Amendments to FRS 7, Financial Instruments: Disclosures – Improving Disclosures about Financial Instruments
- Amendments to FRS 2, Group Cash-settled Share Based Payment Transactions
- IC Interpretation 4, Determining Whether an Arrangement Contains a Lease
- IC Interpretation 18, Transfers of Assets from Customers
- Improvement to FRSs (2010)

FRSs, Interpretations and amendments effective for annual periods beginning on or after 1 July 2011

- IC Interpretation 19, Extinguishing Financial Liabilities with Equity Instruments
- Amendments to IC Interpretation 14, Minimum Funding Requirement

FRSs, Interpretations and amendments effective for annual periods beginning on or after 1 January 2012

- FRS 124, Related Party Disclosure
- IC Interpretation 15, Agreements for the Construction of Real Estate

CMMT plans to apply the above standards, amendments and interpretations:

- from the annual period beginning 1 January 2011 for those standards, amendments or interpretations that will be effective for annual periods beginning on or after 1 July 2010, except for FRS 3, FRS 127, Amendments to FRS 2, Amendments to FRS 138, IC Interpretation 12, IC Interpretation 16 and IC Interpretation 17 which are not applicable to CMMT.
- from the annual period beginning 1 January and 1 July 2011 for those standards, amendments or interpretations that will be effective for annual periods beginning on or after 1 January and 1 July 2011, except for Amendments to FRS 2 which is not applicable to CMMT.
- from the annual period beginning 1 January 2012 for those standards, amendments or interpretations that will be effective for annual periods beginning on or after 1 January 2012, except for IC Interpretation 15 which is not applicable to CMMT.

The initial application of a standard, an amendment or an interpretation, which will be applied prospectively, is not expected to have any financial impacts to the current financial statements upon their first adoption.

(b) Basis of measurement

The financial statements have been prepared on the historical cost basis except for investment properties as disclosed in Note 2(c) and finance instruments as disclosed in Note 2(e).

(c) Functional and presentation currency

These financial statements are presented in Ringgit Malaysia (RM), which is CMMT's functional currency. All financial information presented in RM has been rounded to the nearest thousand, unless otherwise stated.

NOTES TO THE FINANCIAL STATEMENTS

1. BASIS OF PREPARATION (continued)

(d) Use of estimates and judgments

The preparation of financial statements requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in any future periods affected.

There are no significant areas of estimation uncertainty and critical judgment in applying accounting policies that have significant effect on the amounts recognised in the financial statements other than as disclosed in Note 4.

2. SIGNIFICANT ACCOUNTING POLICIES

The accounting policies set out below have been applied consistently to the periods presented in these financial statements, unless otherwise stated.

(a) Foreign currencies

Transactions in foreign currencies are translated to the functional currency of CMMT at exchange rates at the dates of transaction. Monetary assets and liabilities denominated in foreign currencies at the end of the financial period are translated to the functional currency at the exchange rates at that date. Non-monetary assets and liabilities denominated in foreign currencies that are measured at fair value are retranslated to the functional currency at the exchange rate at the date fair value was determined. Foreign currency differences arising on retranslation are recognised in the profit or loss.

(b) Plant and equipment

i) Recognition and measurement

Items of plant and equipment are stated at cost less accumulated depreciation and accumulated impairment losses, if any.

Cost includes expenditures that are directly attributable to the acquisition of the asset and any other costs directly attributable to bringing the asset to working condition for its intended use, and the costs of dismantling and removing the items and restoring the site on which they are located. Purchased software that is integral to the functionality of the related equipment is capitalised as part of that equipment.

When significant parts of an item of plant and equipment have different useful lives, they are accounted for as separate items (major components) of plant and equipment.

Gains and losses on disposal of an item of plant and equipment are determined by comparing the proceeds from disposal with the carrying amount of plant and equipment and are recognised net within 'other operating income' or 'other operating expenses' respectively in the profit or loss.

NOTES TO THE FINANCIAL STATEMENTS

2. SIGNIFICANT ACCOUNTING POLICIES (continued)

(b) Plant and equipment (continued)

ii) Subsequent costs

The cost of replacing part of an item of plant and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to CMMT and its cost can be measured reliably. The carrying amount of the replaced part is derecognised. The costs of the day-to-day servicing of equipment are recognised in the profit or loss as incurred.

iii) Depreciation

Depreciation is recognised in the profit or loss on a straight-line basis over the estimated useful lives of each part of an item of plant and equipment.

The estimated useful lives are as follows:

Computer	2 - 3 years
Office equipment	3 years

Depreciation methods, useful lives and residual values are reassessed at the end of the reporting period.

(c) Investment properties

Investment properties are properties held under leasehold or freehold interest either to earn rental income or for capital appreciation or for both. It does not include properties for sale in the ordinary course of business, used in the production or supply of goods or services, or for administrative purposes. Investment properties are initially recognised at cost including transaction costs, and subsequently at fair value with any change therein recognised in the profit or loss for the period in which they arise.

Fair value is determined in accordance with the Deed, the REITs Guidelines and the Guidelines on Asset Valuation which requires the investment properties to be valued by independent professional valuers. In determining the fair value, the valuers have used valuation techniques which involve certain estimates. In relying on the valuation reports, the Manager has exercised its judgment and is satisfied that the valuation methods and estimates reflect the current market conditions. The fair value is determined once every six months based on internal valuation or independent professional valuation.

When an investment property is disposed of, the resulting gain or loss is recognised in the profit or loss in the period in which the item is derecognised.

Investment properties are not depreciated. The properties are subject to continued maintenance and are regularly revalued on the basis mentioned above. For taxation purposes, CMMT may claim capital allowances on assets that qualify as plant and machinery under the Income Tax Act, 1967.

NOTES TO THE FINANCIAL STATEMENTS

2. SIGNIFICANT ACCOUNTING POLICIES (continued)

(d) Leases

When CMMT is the lessee of an operating lease

Where CMMT has the use of assets under operating leases, payments made under the leases are recognised in the profit or loss on a straight-line basis over the term of the lease. Lease incentives received are recognised in the profit or loss as an integral part of the total lease payments made. Contingent rents are charged to the profit or loss in the financial period in which they are incurred.

When CMMT is the lessor of an operating lease

Assets subject to operating leases are included in investment properties and are stated at fair value and not depreciated.

(e) Financial instruments

Non-derivative financial instruments

Non-derivative financial instruments comprise trade and other receivables, cash and cash equivalents, borrowings and trade and other payables.

i) Trade and other receivables

Trade and other receivables are recognised initially at fair value. Subsequent to initial recognition, they are measured at amortised cost using the effective interest method, less impairment losses if any.

ii) Cash and cash equivalents

Cash and cash equivalents comprise cash balances and bank deposits.

iii) Interest-bearing borrowings

Interest-bearing borrowings are recognised initially at fair value less attributable transaction costs. Subsequent to initial recognition, interest bearing borrowings are stated at amortised cost using the effective interest method.

iv) Trade and other payables

Trade and other payables are recognised initially at fair value. Subsequent to initial recognition, they are measured at amortised cost using the effective interest method.

v) Provision

A provision is recognised if, as a result of a past event, CMMT has a present or legal or constructive obligation that can be estimated reliably and is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability.

A financial instrument is recognised if CMMT becomes a party to the contractual provisions of the instrument. Financial assets are derecognised if CMMT's contractual rights to the cash flow from the financial assets expire or if CMMT transfers the financial asset to another party without retaining control or if CMMT transfers substantially all the risks and rewards of the asset. Regular way purchases and sales of financial assets are accounted for at trade date, i.e. the date that CMMT commits itself to purchase or sell the asset. Financial liabilities are derecognised if CMMT's obligations specified in the contract expire or are discharged or cancelled.

NOTES TO THE FINANCIAL STATEMENTS

2. SIGNIFICANT ACCOUNTING POLICIES (continued)

(f) Impairment of assets

Financial assets

A financial asset is assessed at each reporting date to determine whether there is any objective evidence that it is impaired. A financial asset is considered to be impaired if objective evidence indicates that one or more events have had a negative effect on the estimated future cash flows of the assets.

An impairment loss in respect of a financial asset measured at amortised cost is calculated as the difference between its carrying amount, and the present value of the estimated future cash flows discounted at the original effective interest rate.

Individually significant financial assets are tested for impairment on an individual basis. The remaining financial assets are assessed collectively in groups that share similar credit risk characteristics.

All impairment losses are recognised in the profit or loss. An impairment loss is reversed if the reversal can be related objectively to an event occurring after the impairment loss was recognised. For financial assets measured at amortised cost, the reversal is recognised in the profit or loss.

Non-financial assets

The carrying amounts of CMMT's non-financial assets, other than investment properties, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists then the asset's recoverable amount is estimated.

The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset and cash generating unit.

An impairment loss is recognised if the carrying amount of an asset or its cash-generating unit exceeds its estimated recoverable amount. Impairment losses are recognised in the profit or loss.

(g) Revenue recognition

i) Rental income

Rental income from leasing out of shopping mall shops and space is recognised in the profit or loss on an accrual basis over the term of the lease and such revenue includes base rent, service charges and advertising and promotion fee. Contingent rents, which include gross turnover rent, are recognised as income in the financial period on an accrual basis. No contingent rents are recognised if there are uncertainties due to the possible return of amounts received.

ii) Car park income

Car park income is recognised on an accrual basis.

NOTES TO THE FINANCIAL STATEMENTS

2. SIGNIFICANT ACCOUNTING POLICIES (continued)

(h) Interest income

Interest income is recognised as it accrues, using the effective interest method.

(i) Expenses

i) Property operating expenses

Property operating expenses consist of quit rents, property taxes, utilities, property management fees, property management reimbursements, advertising and promotion, maintenance and other property outgoings in relation to investment properties where such expenses are the responsibility of CMMT and are recognised on an accrual basis in the period in which they are incurred.

ii) Manager's management fee

The Manager's management fee is recognised on an accrual basis using the applicable formula as set out in Note 11.

iii) Trustee's fee

The trustee's fee is recognised on an accrual basis using the applicable formula as set out in Note 12.

iv) Finance costs

Finance costs comprise interest expense on borrowings and amortisation of transaction costs on borrowings which are expensed in the profit or loss using the effective interest method over the period of borrowings.

(j) Tax expense

Tax expense comprises current and deferred tax. Tax expense is recognised in the statement of comprehensive income.

Current tax is the expected tax payable on the taxable income for the reporting period, using tax rates enacted or substantively enacted at the end of the reporting period.

Deferred tax is recognised using the liability method, providing for temporary differences between the carrying amounts of assets and liabilities for reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit (tax loss). Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the end of the reporting period.

Deferred tax liability is recognised for all taxable temporary differences.

A deferred tax asset is recognised to the extent that it is probable that future taxable profits will be available against which temporary difference can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

NOTES TO THE FINANCIAL STATEMENTS

3. PLANT AND EQUIPMENT

	Computer RM'000	Office equipment RM'000	Total RM'000
Cost			
At date of establishment	—	—	—
Additions	383	1,008	1,391
At 31 December 2010	383	1,008	1,391
Accumulated depreciation			
At date of establishment	—	—	—
Depreciation for the period	114	180	294
At 31 December 2010	114	180	294
Carrying amounts			
At 31 December 2010	269	828	1,097

4. INVESTMENT PROPERTIES

	2010 RM'000
At date of establishment	—
Acquisition of investment properties	2,054,000
Capital expenditure capitalised	3,657
Acquisition charges capitalised	3,996
Fair value adjustment	81,347
At 31 December 2010	2,143,000

During the financial period, CMMT acquired investment properties of RM2,054,000,000 of which RM750,000,000 was paid in cash and RM1,304,000,000 was paid via the issuance of units.

Investment properties refer to shopping malls which primarily generate rental income from leasing out retail shops and space to third parties via lease or licence agreements. CMMT's lease agreements are generally fixed for a period of three years and the rental rates are negotiated based on prevailing market rates and are pre-agreed over the lease tenure. Subsequent lease renewals are subject to negotiation with respective lessee. Gross turnover rent of RM2,030,000, which represents CMMT's contingent rent, was recognised as income in the financial period.

Investment properties of RM1,398,000,000 are pledged as securities for bank borrowings as disclosed in Note 8. For avoidance of doubt, the 205 CMMT's strata titles in Sungei Wang Plaza are not encumbered.

NOTES TO THE FINANCIAL STATEMENTS

4. INVESTMENT PROPERTIES (continued)

Details of the investment properties are as follows:

	Date of acquisition	Date of valuation	Location	Tenure	Initial acquisition cost RM'000	Fair value at 31 December 2010 RM'000	% of fair value to NAV at 31 December 2010 %
Gurney Plaza	14 Jul 2010	31 Dec 2010	Penang	Freehold	800,000	856,000	59.7
Sungei Wang Plaza	14 Jul 2010	31 Dec 2010	Kuala Lumpur	Freehold	724,000	745,000	51.9
The Mines	14 Jul 2010	31 Dec 2010	Selangor	Leasehold ¹	530,000	542,000	37.8
					2,054,000	2,143,000	

¹ The lease has an unexpired lease period of more than 50 years.

Investment properties are stated at fair value based on valuations performed by independent professional valuers based on the income capitalisation approach (investment method) of valuation. In determining the fair values, the valuers have used valuation techniques which involved certain estimates. In relying on the valuation reports, the Manager has exercised its judgment and is satisfied that the valuation methods and estimates are reflective of current market conditions.

Individual strata titles for the 205 CMMT's strata titles within Sungei Wang Plaza have been transferred and registered in the name of the Trustee.

In respect of Gurney Plaza, the proprietor/developer, Gurney Plaza Sdn. Bhd. has obtained approval for the subdivision of the master title on 5 July 2010. The individual block title in respect of the land upon which Gurney Plaza is located has been issued by the relevant authority held under HSD 17259, Lot 5626, Seksyen 1, Bandar Georgetown, Daerah Timor Laut, Negeri Pulau Pinang.

Land title in respect of The Mines in favour of the Trustee has been transferred and registered in the name of the Trustee.

The following is recognised in the profit or loss in respect of investment properties:

	7 June 2010 to 31 December 2010 RM'000
Gross revenue	94,636
Less : Direct operating expenses	(28,811)
	65,825

NOTES TO THE FINANCIAL STATEMENTS

5. TRADE AND OTHER RECEIVABLES

	2010 RM'000
Trade	
Trade receivables	4,601
Less: Allowance for impairment losses	(160)
	4,441
Non-trade	
Deposits	55
Interest receivable	105
Prepayments	180
Other receivables	1,911
	2,251
	6,692

The ageing of the trade receivables at the end of the financial period is as follows:

	2010 Gross amount RM'000	2010 Allowance for impairment losses RM'000
Not past due	109	—
Past due 1-30 days	3,327	—
Past due 31-90 days	874	38
More than 90 days	291	122
	4,601	160

The movement in allowance for impairment losses of trade receivables during the financial period is as follows:

	2010 RM'000
At date of establishment	—
Impairment losses recognised	160
At 31 December 2010	160

The Manager of CMMT believes that no additional allowance for impairment losses is necessary in respect of past due receivables as these receivables are mainly arising from tenants that have good payment records and there is sufficient security deposits held as collateral.

NOTES TO THE FINANCIAL STATEMENTS

6. CASH AND CASH EQUIVALENTS

	2010 RM'000
Deposits placed with licensed banks	120,856
Cash and bank balances	6,575
	127,431

Gurney Plaza and The Mines maintain separate designated revenue accounts with a licensed bank to deposit all rental proceeds as mentioned in Note 8. This forms part of the covenants and the usage of funds in these designated revenue accounts are not restricted as long as no event of default has occurred on the bank borrowings.

The balance of the designated revenue accounts at the end of the financial period that is included in the cash and bank balances is RM1,453,000.

7. EQUITY

(a) Unitholders' capital

	2010 Number of units '000
Approved fund size: At 7 June 2010/31 December 2010	1,350,000

	2010 Amount RM'000	2010 Number of units '000
Issued and fully paid:		
At 7 June 2010 (Date of establishment)	—	—
Issued at approximately RM0.98 per unit as purchase consideration for investment properties	1,304,000	1,328,000
Public issue at RM0.98 per unit	21,560	22,000
At 31 December 2010	1,325,560	1,350,000

NOTES TO THE FINANCIAL STATEMENTS

7. EQUITY (continued)

(a) Unitholders' capital (continued)

Unitholdings of the Manager and parties related to the Manager

As at 31 December 2010, the Manager has no direct unitholdings in CMMT. However, the Directors of the Manager and parties related to the Manager held units in CMMT, details of which are as follows:

	Number of units '000	2010 Percentage of unitholding %	Market value ** RM'000
Direct unitholdings of parties related to the Manager			
CMMT Investment Limited	563,478	41.74	631,095
Skim Amanah Saham Bumiputera	96,292	7.13	107,847
Direct unitholdings of the Directors of the Manager			
Mr Kee Teck Koon	100	0.01	112
Mr Lim Beng Chee	100	0.01	112
Mr Ng Kok Siong	100	0.01	112
Mr Lock Wai Han	100	0.01	112
Ms Sharon Lim Hwee Li	100	0.01	112
Mr Gnanachandran S. Ayadurai	100	0.01	112
Ms Tan Siew Bee	100	0.01	112
Mr Peter Tay Buan Huat	100	0.01	112
	660,570	48.95	739,838

** The market value of the units is computed based on the closing market price of RM1.12 per unit as at 30 December 2010.

CMMT Investment Limited is an indirect wholly-owned subsidiary of CMA who in turn is the ultimate holding company of the Manager.

Skim Amanah Saham Bumiputera is a fund managed by Amanah Saham Nasional Berhad, a wholly-owned subsidiary of Permodalan Nasional Berhad (PNB). PNB is the ultimate holding company of Malaysian Industrial Development Finance Berhad (MIDF) who in turn is a substantial shareholder of the Manager.

(b) Undistributed income

Undistributed income comprises the following:

	2010 RM'000
Realised	28,049
Unrealised	81,347
	109,396

NOTES TO THE FINANCIAL STATEMENTS

7. EQUITY (continued)

(b) Undistributed income (continued)

The disclosure of realised and unrealised profit or loss for joint venture and associated company is not applicable to CMMT.

The reconciliation of realised income to distributable income for the financial period ended 31 December 2010 is as follows:

	2010 RM'000
Realised income	28,049
Add: Adjustable expenses per the Deed	
Manager's management fee payable in units	3,127
Listing expenses	14,000
Depreciation	294
Amortisation of transaction costs on borrowings	440
Distributable income	45,910

8. BORROWINGS

	2010 RM'000
Non-current	
Secured term loan	
- Fixed rate	525,000
- Floating rate	225,000
Less: Unamortised transaction costs	(4,878)
	745,122

CMMT has entered into a facility agreement dated 10 June 2010 for financing facilities amounting to RM811.0 million (Facility Agreement) with a licensed bank (Lender).

On 14 July 2010, CMMT had drawn down the secured term loan facility of RM750.0 million (Term Loan Facility) to part finance the acquisition of investment properties.

The average effective interest rate for the secured term loan for the financial period ended 31 December 2010 is 4.7% per annum.

The principal on the Term Loan Facility is to be repaid by way of bullet repayments of RM300.0 million at the end of the fifth year and RM450.0 million at the end of the seventh year from the date of drawdown, 14 July 2010.

The Term Loan Facility is secured by the following:

- (a) the Facility Agreement;

NOTES TO THE FINANCIAL STATEMENTS

8. BORROWINGS (continued)

(b) in respect of Gurney Plaza:

- i) a deed of assignment in respect of, among other things, the Gurney Plaza Principal Agreement (excluding the rights, title, interest and benefits in relation to Gurney Plaza Extension), the Gurney Plaza SPA¹ and the deed of assignment in favour of CMMT in respect of the Gurney Plaza Principal Agreement (collectively, the Gurney Plaza Documents) incorporating an irrevocable power of attorney to deal with Gurney Plaza where necessary, including the power to sign and register as attorney of CMMT, to apply for the approvals of the State Authority that is exercisable by the Lender upon occurrence of an event of default under the Facility Agreement;
- ii) a first party fixed charge over Gurney Plaza executed by the Trustee in escrow, which will be registered over the strata titles to Gurney Plaza upon issuance of the said strata titles;
- iii) deposit of the originals of the Gurney Plaza Documents with the Lender pending issuance of the strata title;
- iv) a deed of assignment in respect of the rental proceeds payable under the various tenancies of Gurney Plaza;
- v) a deed of assignment in respect of the account opened for the purpose of depositing all rental proceeds generated from Gurney Plaza;
- vi) a private caveat over the master title of Gurney Plaza pending issuance of strata titles to Gurney Plaza.

(c) in respect of The Mines:

- i) a first party fixed charge over The Mines and, pending its registration and the approvals from the State Authority of Selangor to the transfer of The Mines in favour of CMMT and to charge The Mines in favour of the Lender, the financing shall be secured by:
 - a deed of assignment in respect of, among other things, The Mines SPA², incorporating an irrevocable power of attorney to enable the Lender to deal with The Mines, where necessary, including the power to sign and register as attorney of CMMT, to apply for the approvals of the State Authority and to exercise the power of attorney granted by Mutual Streams Sdn. Bhd. (the vendor of The Mines), in favour of CMMT which is exercisable by the Lender upon occurrence of an event of default under the Facility Agreement;

¹ Gurney Plaza SPA consists of:
The conditional sale and purchase agreement dated 10 June 2010 entered into between the Trustee and CapitaRetail Gurney Sdn. Bhd., in relation to the acquisition of Gurney Plaza for an eight-storey shopping mall known as 'Gurney Plaza' with two levels of basements erected on the land held under Geran 97112 for Lot 2903, Seksyen 1, Bandar Georgetown, Daerah Timor Laut, Negeri Pulau Pinang.

² The Mines SPA consists of:
The conditional sale and purchase agreement dated 10 June 2010 entered into between the Trustee and Mutual Streams Sdn. Bhd. in relation to the acquisition of The Mines for all that piece of leasehold land held under HSD 59894, PT 16722, Mukim Petaling, Daerah Petaling, Negeri Selangor comprising an area of approximately 4.125 hectares on which has been erected a five-storey shopping mall known as The Mines together with approximately 1,282 car park bays, bearing the address The Mines, Jalan Dulang, Mines Resort City, 43300 Seri Kembangan, Selangor Darul Ehsan.

NOTES TO THE FINANCIAL STATEMENTS

8. BORROWINGS (continued)

(c) in respect of The Mines (continued):

- a first fixed charge over The Mines executed by CMMT in escrow; and
 - a private caveat over The Mines.
- ii) a deed of assignment in respect of the rental proceeds payable under the various tenancies of The Mines;
- iii) a deed of assignment in respect of the account opened for the purpose of depositing all rental proceeds generated from The Mines.

The first party fixed charge over The Mines has been duly registered in favour of the Lender.

Covenants include an undertaking to deposit all rental proceeds generated from Gurney Plaza and The Mines into separate designated revenue accounts and an obligation for CMMT to ensure that, during the subsistence of the financing, CMA will maintain no less than a 51.00% direct or indirect shareholding in the Manager and a 20.00% direct or indirect unitholding in CMMT.

9. TRADE AND OTHER PAYABLES

	2010 RM'000
Non-current	
Security deposits	23,512
Current	
Trade	
Trade payables	9,198
Amount due to related parties	5,044
	14,242
Non-trade	
Interest payable	10,118
Accrued operating expenses	17,106
Security deposits	20,956
Other deposits and advance	12,208
	60,388
	74,630
	98,142

Included in the amount due to related parties is an amount due to the Manager of RM4,966,000 of which RM3,127,000 is payable in units of CMMT that will be issued as payment of the performance component of management fee, Trustee's fee of RM71,000 and a fee of RM7,000 payable to MIDF Consultancy & Corporate Services Sendirian Berhad. The relationship and transactions of the above are further disclosed in Note 23(c).

NOTES TO THE FINANCIAL STATEMENTS

10. OTHER OPERATING EXPENSES

	7 June 2010 to 31 December 2010 RM'000
Property management fee	3,956
Marketing expenses	1,646
Quit rent and assessment	2,660
General and administrative expenses	1,175
	9,437

The property management fee is payable to the property manager which includes reimbursable staff costs for managing the investment properties. The property management fee is based on a monthly fee of RM50,000 as stipulated in the property management agreement dated 10 June 2010.

11. MANAGER'S MANAGEMENT FEE

	7 June 2010 to 31 December 2010 RM'000
Base management fee	3,223
Performance fee	3,283
	6,506

Pursuant to the Deed, the Manager is entitled to a base fee of up to 1% per annum of the total asset value and a performance fee of up to 5% per annum of net property income. For the financial period ended 31 December 2010, the Manager has accounted for a base fee of 0.29% per annum, payable quarterly in arrears, and a performance fee of 4.75% per annum payable semi-annually in units after distribution to unitholders.

In addition to the above, the Manager is also entitled to an acquisition fee of up to 1% of the purchase price and a divestment fee of up to 0.5% of the sale price of any authorised investment.

There were no other fees paid to the Manager during the financial period other than as disclosed above.

12. TRUSTEE'S FEE

Pursuant to the Deed, the Trustee is entitled to a fee of 0.02% per annum of the total asset value for the first RM2.0 billion and a 0.01% per annum of the total asset value thereafter, payable monthly in arrears.

NOTES TO THE FINANCIAL STATEMENTS

13. FINANCE COSTS

7 June 2010 to
31 December 2010
RM'000

Interest payable on secured term loan	16,452
Amortisation of transaction cost on borrowing	440
Others	427
	17,319

14. OTHER NON-OPERATING EXPENSES

Included in the other non-operating expenses is listing expenses of RM14,000,000.

15. TAX EXPENSE

Pursuant to the amendment of Section 61A of the Income Tax Act, 1967, effective from the Year of Assessment 2007, the undistributed income of a Real Estate Investment Trust (REIT) will be exempted from income tax provided that the REIT distributes 90% or more of its total income for the year. If the REIT is unable to meet the 90% distribution criteria, the entire taxable income of the REIT for the year would be subject to income tax.

As announced on 21 January 2011, CMMT will distribute 100% of its distributable income for the financial period ended 31 December 2010 to its unitholders. As such, no provision for tax expense has been made for the financial period.

Reconciliation of tax expense is as follows:

7 June 2010 to
31 December 2010
RM'000

Profit before taxation	109,396
Income tax at Malaysian statutory tax rate of 25%	27,349
Effect of fair value gain of investment properties not subject to tax	(20,337)
Effect of income not subject to tax	(11,486)
Expenses not deductible for tax purposes	4,474
Tax expense for the financial period	–

NOTES TO THE FINANCIAL STATEMENTS

16. EARNINGS PER UNIT

The calculation of earnings per unit before Manager's management fee is based on the profit for the financial period of RM115,902,000 and on the weighted average number of units in circulation during the financial period of 1,350,000,000.

The calculation of earnings per unit after Manager's management fee is based on the profit for the financial period of RM109,396,000 and on the weighted average number of units in circulation during the financial period of 1,350,000,000.

17. PORTFOLIO TURNOVER RATIO

2010

Portfolio turnover ratio (PTR) (times)	0.73
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The calculation of the PTR is based on the average of total acquisitions and total disposals of investments in CMMT for the period to the average net asset value during the financial period.

Since the basis of calculating the PTR can vary among the REITs, there is no sound basis for providing an accurate comparison of CMMT against other REITs.

18. MANAGEMENT EXPENSE RATIO

2010

Management expense ratio (MER) (%)	1.1
------------------------------------	-----

MER is calculated based on the total fees of CMMT including the Manager's management fee, trustee's fee and other trust expenses, to the average net asset value during the financial period.

Comparison of the MER of CMMT with other REITs which use different basis of calculation may not be an accurate comparison.

19. CAPITAL COMMITMENTS

Capital expenditure commitments

Approved but not contracted for:

2010
RM'000

Regular capital expenditure	9,927
Asset enhancement initiatives	88,394
	98,321

The capital expenditure works are expected to be carried out and completed during the financial period 2010 and financial year 2011 as disclosed in CMMT's initial public offering prospectus.

NOTES TO THE FINANCIAL STATEMENTS

19. CAPITAL COMMITMENTS (continued)

Contracted but not provided for:

	2010 RM'000
Investment property (Note 25)	215,000

20. OPERATING LEASE

CMMT has the following commitments at the end of the financial period:

(a) Operating lease rental payable

Future minimum lease payments of CMMT on non-cancellable operating leases are as follows:

	2010 RM'000
Less than one year	34
Between one and five years	42
	76

CMMT leases photocopiers under operating leases. The leases run for a period of five years with an option to renew the leases upon expiry.

(b) Operating lease rental receivable

Future minimum lease rental receivable of CMMT on non-cancellable operating leases from investment properties are as follows:

	2010 RM'000
Less than one year	143,678
Between one and five years	109,167
After five years	10,311
	263,156

NOTES TO THE FINANCIAL STATEMENTS

21. FINANCIAL INSTRUMENTS

Categories of financial instruments

The financial instruments of CMMT are categorised as loans and receivables and other liabilities.

Financial risk management

CMMT has exposure to the following risks from its use of financial instruments:

- Liquidity risk
- Credit risk
- Interest risk
- Foreign currency risk

CMMT has implemented risk management policies and guidelines which sets its tolerance of risk and its general risk management philosophy.

Liquidity risk

Liquidity risk is defined as the risk that CMMT will not be able to meet its financial obligations as they fall due.

CMMT's exposure to liquidity risk arises primarily from various payables and borrowings. CMMT maintains a level of cash and cash equivalents deemed adequate by the management to ensure, as far as possible, that it will have sufficient liquidity to meet its liabilities when they fall due.

Maturity analysis

The table below summarises the maturity profile of CMMT's financial liabilities as at the end of the financial period based on undiscounted contractual payments:

2010	Carrying amount RM'000	Contractual interest rate %	Contractual cash flows RM'000	0 - 1 year RM'000	1 - 2 years RM'000	2 - 5 years RM'000	More than 5 years RM'000
Non-derivative financial liabilities							
Secured term loan	750,000	4.44 - 5.09	955,944	35,117	32,687	398,180	489,960
Trade and other payables	98,142	—	84,896	61,384	12,933	10,460	119
	<u>848,142</u>		<u>1,040,840</u>	<u>96,501</u>	<u>45,620</u>	<u>408,640</u>	<u>490,079</u>

Included in the carrying amount of trade and other payables are:

- an amount of RM10,118,000 for interest payable on the secured term loan which was incorporated in the contractual cash flows of the secured term loan; and
- an amount of RM3,127,000 for the Manager's performance fee payable in units which was not incorporated in the contractual cash flows.

NOTES TO THE FINANCIAL STATEMENTS

21. FINANCIAL INSTRUMENTS (continued)

Credit risk

Credit risk is defined as the risk of a financial loss to CMMT if a customer or counterparty to a financial instrument fails to meet its contractual obligations. CMMT's exposure to credit risk arises primarily from trade and other receivables.

Credit risk is controlled by credit verification procedures before lease agreements are entered into with tenants and ongoing balance monitoring to ensure minimum credit risk exposure. For other financial assets, CMMT minimises credit risk by dealing with restricted counterparties that meets the appropriate credit criteria and of high credit standing.

The Manager establishes an allowance for impairment that represents its estimate of incurred losses in respect of trade and other receivables. The main component of this allowance is a specific loss component that relates to the individually significant exposure. The allowance account in respect of trade and other receivables is used to record impairment losses unless the Manager is satisfied that no recovery of the amount owing is possible. At that point, the financial asset is considered irrecoverable and the amount charged to the allowance account is written off against the carrying amount of the impaired financial asset.

At the end of the financial period, there was no significant concentration of credit risk.

Cash and bank balances are placed with financial institutions which are regulated.

Interest rate risk

CMMT's investment in financial products and its fixed rate borrowings are exposed to a risk of change in the fair values of the instruments due to changes in interest rates. CMMT's floating rate borrowings are exposed to a risk of change in cash flow due to changes in interest rate. Short term receivables and payables are not significantly exposed to interest rate risk.

The investments in financial products are mainly short term in nature and not held for trading or speculative purposes but were mainly placed in fixed or short term deposits which yield better returns than cash at bank.

Exposure to interest rate risk

The interest rate profile of CMMT's significant interest-bearing financial instruments, based on carrying amounts as at end of the financial period, is as follows:

	2010 RM'000
Financial asset	
Fixed rate instruments	
Deposits placed with licensed banks	120,856
Financial liabilities	
Fixed rate instruments	
Secured term loan	525,000
Floating rate instruments	
Secured term loan	225,000
	750,000

NOTES TO THE FINANCIAL STATEMENTS

21. FINANCIAL INSTRUMENTS (continued)

Interest rate risk sensitivity analysis

Fair value sensitivity analysis for fixed rate instruments

CMMT does not account for any fixed rate financial assets and liabilities at fair value through statement of comprehensive income. Therefore, a change in interest rates at the end of the financial period would not affect statement of comprehensive income.

Cash flow sensitivity analysis for variable rate instruments

An increase of 100 basis points (bp) in interest rate at the reporting date would increase the finance cost for the financial period by RM3,514,000. A decrease in 100 bp in interest rate would have an equal but opposite effect. This analysis assumes that all other variables, in particular foreign currency rates, remain constant.

Foreign currency risk

At the end of the financial period, CMMT is not exposed to any significant foreign currency risk.

Fair values

The carrying amounts of cash and cash equivalents, trade and other receivables and trade and other payables approximate their fair values due to the relatively short term nature of these financial instruments.

The fair value of the floating rate bank borrowing approximates its carrying amount as it reprices to market interest rates for liabilities with similar risk profiles.

The fair value of the fixed rate bank borrowing at initial recognition approximates its carrying amount as its effective interest rate is considered to be market rate.

The fair values of the other non-derivative financial liabilities, which are computed for disclosure purposes, together with the carrying amounts shown in the statement of financial position are as follows:

	Carrying amount RM'000	Fair value RM'000
Security deposits	44,468	43,243
Fixed rate bank borrowings	525,000	532,322

The above fair values are calculated based on the present value of future cash flows discounted at the market rate of interest at the end of the financial period. Interest rates used to determine fair values are as follows:

	2010 %
Security deposits	2.65%
Fixed rate bank borrowings	4.59%-5.09%

NOTES TO THE FINANCIAL STATEMENTS

22. CAPITAL MANAGEMENT

CMMT's objectives when managing capital is to maintain a strong capital base so as to maintain investor, creditor and market confidence and to ensure optimal returns to unitholders, while maintaining flexibility in respect of future capital expenditure and acquisitions. The Manager monitors and is determined to maintain an optimal debt to equity ratio which complies with debt covenants and regulatory requirements.

23. RELATED PARTIES

Identity and transactions with the related parties

For the purposes of these financial statements, parties are considered to be related to CMMT if CMMT has the ability, directly or indirectly, to control the party or exercise significant influence over the party in making financial and operating decisions, or vice versa, or where CMMT and the party are subject to common control or common significant influence. Related parties may be individuals or other entities.

a) Key management personnel

Key management personnel are defined as those persons having authority and responsibility for planning, directing and controlling the activities of CMMT either directly or indirectly. The key management personnel includes all the Directors of the Manager and the Trustee and certain members of senior management of the Manager.

There were no transactions between the key management personnel and CMMT during the financial period.

b) Ultimate holding company of the Manager

CMA, the ultimate holding company of the Manager, has secondment arrangements with the Manager for some of the key management personnel, to assist in managing CMMT and its business.

Pursuant to the letter of undertaking dated 10 June 2010 between CMA, the Manager and the Trustee, CMA granted CMMT a right of first refusal to acquire a nine-storey retail extension block adjoining Gurney Plaza comprising retail space and 129 car park bays located within Gurney Plaza (Gurney Plaza Extension) erected on a parcel of freehold land held under HSD 17259, Lot 5626, Seksyen 1, Bandar Georgetown, Daerah Timor Laut, Negeri Pulau Pinang via a letter dated 11 November 2010 (Offer Notice). CMMT accepted the Offer Notice on 12 November 2010. The details are disclosed in Note 25.

c) Party related to a substantial shareholder of the Manager

MIDF Consultancy & Corporate Services Sendirian Berhad (MIDFCCS) is a subsidiary of MIDF, the substantial shareholder of the Manager.

During the financial period, a fee of RM120,000 was paid to MIDFCCS in the capacity as an issuing house in connection with the listing of CMMT. In addition, CMMT accrued a fee of RM7,000 for administrative services rendered by MIDFCCS.

Save for the transactions disclosed above and in Notes 7(a), 9, 11 and 12, there is no other significant related party transactions of CMMT during the financial period.

24. OPERATING SEGMENTS

No segment information is prepared as CMMT's activities are predominantly in one industry and its properties are located in Malaysia.

NOTES TO THE FINANCIAL STATEMENTS

25. SIGNIFICANT EVENT DURING THE FINANCIAL PERIOD

The Manager, on behalf of CMMT, exercised the right of first refusal granted by CMA via a letter dated 11 November 2010, to acquire Gurney Plaza Extension. The Trustee has, on behalf of CMMT, entered into a conditional sale and purchase agreement dated 12 November 2010 with Gurney Plaza Sdn. Bhd., the vendor, to purchase Gurney Plaza Extension for a purchase consideration of RM215,000,000. The acquisition will be funded through a combination of debt and equity financing, subject to approval by relevant authorities and unitholders of CMMT. The conditional sale and purchase agreement has yet to be completed at the end of the financial period.

26. SUBSEQUENT EVENT

As announced on 21 January 2011 and in line with the distribution policy as disclosed in CMMT's initial public offering prospectus, CMMT will be paying a final distribution income of RM45.9 million or 3.40 sen per unit on 25 February 2011, which represents 100% of its distributable income to its unitholders for the period from 14 July 2010 to 31 December 2010. The book closure date for the distribution will be on 9 February 2011.

This being CMMT's first distribution after the listing date will be recognised in the immediate subsequent financial year.

The effect of the distribution will be as follows:

	2010 RM'000
Rental income	80,129
Interest income	954
Other income	14,507
Less: Expenses and tax	(49,680)
Final income distribution	45,910
Number of units in circulation (units)	1,350,000,000
Gross distribution per unit (sen)	3.40

Income distribution is based on 1,350,000,000 units entitled to distribution. Income distributable to resident individuals, non-resident individuals, resident institutional investors, non-resident institutional investors and non-resident companies are subject to withholding tax.

27. COMPARATIVES

No comparative figures are available as CMMT was established on 7 June 2010.

STATISTICS OF UNITHOLDERS

PUBLIC SPREAD AS AT 30 DECEMBER 2010

Category	Unitholders	%	Unitholdings	%
Directors	8	0.20	800,000	0.06
Substantial Unitholders	3	0.08	774,092,700	57.34
Unitholders Holding Less Than 100	3	0.08	115	0.00
Public Unitholdings	3,871	99.64	575,107,185	42.60
Total	3,885	100.00	1,350,000,000	100.00

SUBSTANTIAL UNITHOLDERS AS AT 30 DECEMBER 2010

No	Name	No. of Units Held Through Own Name	No. of Units Held Through Nominees	Total Unitholdings	%
1	CMMT Investment Limited	563,478,000	–	563,478,000	41.74
2	Employees Provident Fund Board	–	100,000,000	114,322,600	8.47
	Employees Provident Fund Board (HDBS)		4,485,600		
	Employees Provident Fund Board (Alliance Inv)		9,837,000		
	Registered with:				
	Citigroup Nominees (Tempatan) Sdn Bhd				
3	Skim Amanah Saham Bumiputera	–	96,292,100	96,292,100	7.13
	Registered with:				
	AmanahRaya Trustees Berhad				
Total		563,478,000	210,614,700	774,092,700	57.34

ANALYSIS BY SIZE OF UNITHOLDINGS AS AT 30 DECEMBER 2010

Size of Unitholdings	No. of Unitholders	% of Unitholders	No. of Units	% of Units
Less than 100	3	0.08	115	0.00
100 - 1,000	605	15.57	531,344	0.04
1,001 - 10,000	2,236	57.55	11,918,400	0.88
10,001 - 100,000	810	20.85	30,138,600	2.23
100,001 - less than 5% of the units	228	5.87	547,641,441	40.57
5% and above	3	0.08	759,770,100	56.28
Total	3,885	100.00	1,350,000,000	100.00

LIST OF DIRECTORS' INTEREST AS AT 30 DECEMBER 2010

Name	Designation	Nationality	No. of Units Held Through Own Name	No. of Units Held Through Nominees	Total Unitholdings
Mr Kee Teck Koon	Chairman / Non-Independent Non-Executive Director	Singaporean	100,000	–	100,000
Mr Lim Beng Chee ¹	Non-Independent Non-Executive Director	Singaporean	–	100,000	100,000
Mr Ng Kok Siong ¹	Non-Independent Non-Executive Director	Singaporean	–	100,000	100,000
Mr Lock Wai Han ¹	Non-Independent Non-Executive Director	Singaporean	–	100,000	100,000
Datuk Mohd. Najib Bin Hj. Abdullah	Non-Independent Non-Executive Director	Malaysian	–	–	–
Mr IG Chandran (Gnanachandran S Ayadurai)	Independent Non-Executive Director	Malaysian	100,000	–	100,000
Ms Tan Siew Bee	Independent Non-Executive Director	Malaysian	100,000	–	100,000
Mr Peter Tay Buan Huat	Independent Non-Executive Director	Singaporean	100,000	–	100,000
Ms Sharon Lim Hwee Li	Non-Independent Executive Director	Singaporean	100,000	–	100,000
Total			500,000	300,000	800,000

¹ Registered with CIMSEC Nominees (Asing) Sdn Bhd

30 LARGEST UNITHOLDERS AS AT 30 DECEMBER 2010 AS PER RECORD OF DEPOSITORS

No	Name of Unitholder	Holdings	%
1	CMMT INVESTMENT LIMITED	563,478,000	41.74
2	CITIGROUP NOMINEES (TEMPATAN) SDN BHD EMPLOYEES PROVIDENT FUND BOARD	100,000,000	7.41
3	AMANAHRAYA TRUSTEES BERHAD SKIM AMANAH SAHAM BUMIPUTERA	96,292,100	7.13
4	CITIGROUP NOMINEES (TEMPATAN) SDN BHD EXEMPT AN FOR PRUDENTIAL FUND MANAGEMENT BERHAD	42,715,400	3.16
5	CARTABAN NOMINEES (ASING) SDN BHD GOVERNMENT OF SINGAPORE INVESTMENT CORPORATION PTE LTD FOR GOVERNMENT OF SINGAPORE (C)	36,801,800	2.73
6	MALAYSIA NOMINEES (TEMPATAN) SENDIRIAN BERHAD GREAT EASTERN LIFE ASSURANCE (MALAYSIA) BERHAD (PAR 1)	33,008,800	2.45
7	MAYBAN NOMINEES (TEMPATAN) SDN BHD MAYBAN TRUSTEES BERHAD FOR PUBLIC REGULAR SAVINGS FUND (N14011940100)	32,854,900	2.43

Statistics of Unitholders

No	Name of Unitholder	Holdings	%
8	AMANAHRAYA TRUSTEES BERHAD AMANA SAHAM WAWASAN 2020	25,000,000	1.85
9	HSBC NOMINEES (ASING) SDN BHD HSBC BK PLC FOR BRUNEI INVESTMENT AGENCY	17,097,300	1.27
10	MAYBAN NOMINEES (TEMPATAN) SDN BHD AVENUE INVEST BERHAD FOR KUMPULAN WANG PERSARAAN (DIPERBADANKAN) (E00170-220136)	16,716,000	1.24
11	VALUECAP SDN BHD	14,662,500	1.09
12	AMANAHRAYA TRUSTEES BERHAD AS 1MALAYSIA	14,106,500	1.04
13	AMANAHRAYA TRUSTEES BERHAD AMANA SAHAM MALAYSIA	14,000,000	1.04
14	AMANAHRAYA TRUSTEES BERHAD PUBLIC FAR-EAST PROPERTY & RESORTS FUND	13,630,000	1.01
15	AMANAHRAYA TRUSTEES BERHAD PUBLIC SMALLCAP FUND	13,350,000	0.99
16	AMANAHRAYA TRUSTEES BERHAD PUBLIC SECTOR SELECT FUND	12,270,000	0.91
17	CITIGROUP NOMINEES (TEMPATAN) SDN BHD EXEMPT AN FOR AMERICAN INTERNATIONAL ASSURANCE BERHAD	12,205,000	0.90
18	CARTABAN NOMINEES (ASING) SDN BHD GOVERNMENT OF SINGAPORE INVESTMENT CORPORATION PTE LTD FOR MONETARY AUTHORITY OF SINGAPORE (H)	12,140,000	0.90
19	TOKIO MARINE LIFE INSURANCE MALAYSIA BHD AS BENEFICIAL OWNER (PF)	10,000,000	0.74
20	CITIGROUP NOMINEES (TEMPATAN) SDN BHD EMPLOYEES PROVIDENT FUND BOARD (ALLIANCE INV)	9,837,000	0.73
21	MALAYSIAN REINSURANCE BERHAD	9,200,000	0.68
22	AMANAHRAYA TRUSTEES BERHAD PUBLIC DIVIDEND SELECT FUND	9,040,000	0.67
23	MALAYSIA NOMINEES (TEMPATAN) SENDIRIAN BERHAD GREAT EASTERN LIFE ASSURANCE (MALAYSIA) BERHAD (LGF)	8,180,000	0.60
24	AMANAHRAYA TRUSTEES BERHAD PUBLIC SOUTH-EAST ASIA SELECT FUND	7,650,000	0.57
25	CITIGROUP NOMINEES (TEMPATAN) SDN BHD ALLIANZ LIFE INSURANCE MALAYSIA BERHAD (P)	7,400,000	0.55
26	MALAYSIA NOMINEES (TEMPATAN) SENDIRIAN BERHAD GREAT EASTERN LIFE ASSURANCE (MALAYSIA) BERHAD (LPF)	7,200,000	0.53
27	HSBC NOMINEES (ASING) SDN BHD EXEMPT AN FOR THE HONGKONG AND SHANGHAI BANKING CORPORATION LIMITED (HBFS-I CLT ACCT)	7,123,100	0.53
28	MALAYSIA NOMINEES (TEMPATAN) SENDIRIAN BERHAD GREAT EASTERN LIFE ASSURANCE (MALAYSIA) BERHAD (PAR 2)	6,758,700	0.50
29	HSBC NOMINEES (ASING) SDN BHD EXEMPT AN FOR CREDIT SUISSE SECURITIES (EUROPE) LIMITED (CLTNON TREATY)	5,933,941	0.44
30	MALAYSIAN ASSURANCE ALLIANCE BERHAD	5,000,000	0.37
TOTAL		1,163,651,041	86.20